DOMS Industries (DOMS)

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To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Script Code - 544045

Dear Sir/ Madam,

Sub.: Transcript of the Investor C onference Call on Unaudited Standalone and Consolidated Financial Results for quarter and nine months ended December 31, 2023 .

Pursuant to Regulation 30 read with Part A of Schedule III and other applicable regulations of the SEBI (Listing Obligations and Disclosure Requir ements) Regulations, 2015 , as amended, please find enclosed the transcript of the Investor Conference Call for the Unaudited Standalone and Consolidated Financial Results for the quarter and nine months ended December 31, 2023 , held on Monday, February 12, 2024 at 5.00 p.m.

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the following link :

https://dom sindia.com/pdf/Investor_Relations/Investor_Presentation_and_Transcripts/Q3_FY24.pdf

This is for your information and records .

Thanking You ,
Yours Faithfully ,

For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl. as above

“DOMS Industries Limited
Q3 & 9M FY '2 4 Earnings Conference Call ”
Febru ary 12, 202 4

Disclaimer: E&OE – Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. Further, in case of discrepancy, the audio recordings uploaded on the website of the Company will preva il.

MANAGEMENT : MR. SANTOSH RASIKLAL RAVESHIA – MANAGING DIRECTOR – DOMS INDUSTRIES LIMITED

MR. RAHUL SHAH, – CHIEF FINANCIAL OFFICER –
DOMS INDUSTRIES LIMITED
MARATHON CAPITAL , INVESTOR RELATION ADVISOR
– DOMS INDUSTRIES LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to DOMS Industries Limited Q3 FY24 Earnings Conference Call hosted by ICICI Securities. Before we begin, a brief disclaimer - The presentation and Results Release which DOMS Industries Limited has uploaded on the Stock Exchange and their website, including the discussions during this call, may contain certain forward -looking statements concerning companies' business prospects and financial performance and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in s uch forward -looking statements.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is bein g recor ded.

I now hand the conference over to Mr. Aniru ddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Aniruddha Joshi: Yes, thanks, Lizann. On behalf of ICICI Securities, we welcome you all to Q3 FY24 and nine -month FY24 Results Conference Call of DOMS Industries Limited. We have with us Senior Management, represented by Mr. Santosh Rasiklal Rav eshia, Managing Director, and M r. Rahul Shah, Chief Financial Officer. Now I hand over the call to the management for their initial comments on the nine -month s and quarterly performance, and then we will open the floor for question -and-answer session. Thanks, and over to you, sir.

Santo sh Raveshia: Thank you. Good evening, everyone. It is our pleasure to welcome all the participants to our first Earnings Conference Call for the quarter three and nine -month s period for the financial year 24.

Joining me on this call is Rahul S hah, our CFO , and Marathon Capital, our Investor Relation Advisor . I hope everyone had an opportunity to go through our investor de ck and results release that we have uploaded on the exchange and our company's website. To begin with, I take this opportunity to thank a ll of you and the entire capital market fraternity with a special mention to our shareholders for the overwhelming faith shown in our initial public offering.

The listing marked a significant milestone in our journey, motivating us in achieving excellence ahead. Considering this is our first call post -listing, for the benefits of participants whom we are interacting for the first time, let me spend some time to provide an overview of the company.

DOM S is one of India's leading stationery and art product co mpany.

Our journey started in 1973 with the formation of RR Industries by our foun ders, my father, Late Shri Rasi k Bhai Ravesh ia and my uncle, Late Shri Mansukhl al Rajani, who over the years undertook the business of manufacturing and sale of pencils and crayons. Subsequently, in 2005, we launched the DOM S brand by incorporating this company, which was known as Wright Fine Products P rivate Limited .

In 2011, with an objective to streamline our operations and achieve integration, we merged all stationery business of group into this company. Further, in 2012, we entered into strategic partnership with FILA , a listed Italian multinational company, engage d in supply of various art materials and stationery products with a global presence. As a company, we are focused on growing substantially and remain steadfast in our mission to consistently increase our market share in the interesting Indian market.

Toda y, the company manufactures and sells well -designed quality stationery and art products categorized primarily into seven categories that include scholastic stationery, scholastic art mate

rials, paper stationery, kits and combos, office supplies, hobby and craft, and fine art products. The company's products are primarily sold under the flagship brand DOM S as well as through our other brands like C3, Amari z, and Fix y Fix. Our manufacturing facilities are located in Umargaon, Gujarat, and Bari Brahma , Jammu.

Our operations are spread over approximately 36 acres of land with over 1.25 million sq.ft. We are focused on achieving a greater degree of backward integration, which we believe enables us to improve efficiencies, ensure quality control, reduce dependenc y on third parties, and enhance profitability. At DOMS , we continue to focus on expanding our manufacturing capabilities so that we can quickly and effectively cater to the increased market demand of our products.
Our ongoing expansion at our existing facility coupled with our proposed 44 -acre expansion will provide us required resources to continue our growth momentum and enhance our market share.
The success of our company would not have been possible without our multi -distribution channel network, wh ich is spread domestically across 28 states and union territories of India, as well as in our 44 countries globally.
The company's keen focus on research and development, product engineering, backward integrated led manufacturing operations, driving a larg e and diverse product offering has enabled DOMS to become the fastest growing stationery and art material product company in India in terms of revenue over the past few years.
We believe that India continues to have a strong demand for stationery and art material segment, and DOMS is well positioned to capitalize on this growth opportunity, reinforcing a long -term vision of pursuing robust and profitable sales growth. We are sincerely thankful to our consumers, our channel partners, and our passionate team , which has helped us i n delivering consistent growth.
With this, I would like to hand over the call to our Chief Financial Officer, Mr. Rahul Shah, for the update on Q3 and 9 -month financials, year 2024 financials. Thank you very much.
Rahul Shah: Thank you, Santosh bhai. Good evening, everyone. Coming to the details of our financial performance highlights for the quarter -ended December 31, 2023, and 9 -month period ending the same.

I would like to state , our revenue from operations for Q3 FY24 g rew by 22.3% year -on-year to about INR 3,716 million and by 29.5% year -on-year 9 -month ended 31st December to INR 11,334 million. This growth was backed by increase in capacities across our core product categories as well as introduction of new product seg ments like writing instruments as well as increase in the average selling prices of our products. The EBITDA for Q3 FY24 grew by 42.7% year-on-year to INR 694 million and EBITDA margin expanded by 270 basis points year -on-year to an impressive 18.7%.
EBIT DA for 9 -month ended December 31, 2023, grew by an impressive 57.8% year -on-year to INR 1,968 million and EBITDA margin stood at 17.4%. This strong growth in EBITDA margin was primarily on account of lower raw material prices as well as owing to the change in product mix and the benefit that the company received with the consolidation of Micro Wood, our subsidiary company.
Profit after tax for Q3 FY24 grew by an impressive 43.4% year -on-year to INR 388 million and PAT margin stood at 10.4% as compared to 8 .9% in Q3 FY23. PAT for 9 -month FY24 grew by 69.1% year -on-year to INR 1,127 million and PAT margin for this period increased to 9.9% as compared to 7.6% in 9M FY23. The consistent growth in our performance reflects the power of our brand acceptance and is testimony of our effective implementation of our business strategy.
On the operational front, we continue to focus on expanding our manufacturing capabilitie s to capitali

ze on the growth potential and gain market share. Towards this aim, we have spent approximately INR 280 million in capex in the third quarter of FY24 and have recently added about 100,000 square feet of manufacturing floor space in commercial production during this quarter. The manufacturing operations at this new plant was commercialized in a record period of 90 days from the completion of construction.
Another 100,000 square feet of plant is under construction, which is likely to be operatio nal during first quarter of FY25. This coupled with our proposed 44 acres expansion will provide us with the required resources to continue our growth momentum and enhance our market share.
With this, I would request Anirud dha to open the floor for questio ns and answers. Thank you.
Moderator: Thank you. The first question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: Yes, thanks. Congratulations Santosh bhai and Rahul bhai for the listing and strong results. A few questions f rom my side. First is on the margins. EBITDA margins are fairly strong at 17.4%, more than 300 bps improvement. And if I go and look at the 4 Q last year, again, margins were strong.
It implies that you might end the year with more than 17.5% margins. So, I wanted to understand how sustainable is this and are there any adjustments which we need to be aware of?

Rahul Shah: So, Kunal bhai, like mentioned during the call, you know, the increase in margins are attributed to three key factors. One is a slight reduction in raw material prices, which was about 1.5%. There was a positive impact on account of integration of, you kno w, consolidation of micro - goods, which was about 0.6%. And the rest change is due to the change in the product mix. You

know, there are certain products that we manufacture. We have a very vast portfolio of certain products which are high on material consu mption but low on direct expenses and vice versa for some categories. So, because of change in this product mix, we saw improvement in the gross margins. At the same time, there was a slight increase in cost of manpower and power and fuel and such other ex penses, which, you know, offset the gains in the operating margins.
So, as a result of this, we achieved this EBITDA number of 17 -odd percent. Going forward from a sustainable number, we continue to, you know, have a targeted EBITDA range for this year end between 16 % to 17%. And going forward for the next year, between that sustainable number would be about 15 to 17 percentage.
Kunal Vora: But this year, like when you already had 17.4.
Rahul Shah: Yes.
Kunal Vora: And 4Q at least looks like last year wa s strong. In that case, why are you guiding to a lower number, 16 %, 17%?
Rahul Shah: Certain raw material prices, you know, which were lower in the previous quarter have, you know, again started to increase. You know, last quarter, certain polypropylene pr ices were, you know, probably very low. This year, starting this year, we started seeing a reversal in that.
Kunal Vora: Understood. Thanks. Second one is on capex. So, like, what number would you end up with in FY24? Like, if you can talk about plans for FY25 -26 and what would be the foc us period of investment?
Rahul Shah: So, in the first nine months of the year, our capex has been about INR 117 crores . You know, in the last quarter itself, we did about INR 28 crores of capex. In the current quarter, you know, we project that the capex would be upwards of INR 30 crores. We've started utilizing in this quarter some proceeds from the IPO for the proposed project.
So, given that, we will do , end up this year clo se to about INR150 crores of capex. Going forward in FY25 -FY26, our capex would be between INR 200 crores to INR 225 crores in each of the two years.
Kunal Vora: Lastly, if

you can talk about why all the divisions seem to have done well. Paper stationery s eems a little weak. Is it because of declining paper prices? Or, if you can talk about, like, why that segment seems to be weak?
Rahul Shah: So, Kunal bhai , in paper stationery, if you see, in the previous years, the contribution of export sales to the ove rall paper business was higher. In the current year, due to, some challenges in key markets like Europe, etc ., exports have been a little lower and that has impacted the paper business. But that has partially been offset by the increase in demand in the do mestic market.
Kunal Vora: I have more questions, but I will come back in the queue. Thank you.
Moderator: Thank you. The next question is in the line of Ankit Kedia from PhilipCapital. Please go ahead.

Ankit Kedia: I just wanted to understand what is the volume and value growth, you know, for the first 9 months and the quarter. And along with that, specifically in the pencils business, if you can highlight what has been the volume and value growth?
Rahul Shah: So, An kit at a company level, it is really very difficult for us to talk about, you know, volume growth because we manufacture a lot of different products and each are sold in different sizes, units, packs. But if you talk specifically about wooden pencils , whic h is a key product segment for us, compared to the quarter ended in December '22 to quarter ended December '23, the increase in volume was about 16% in terms of volume. Then there are certain products, other key products like watercolor pens, mathematical boxes, where we've increased capacity there , volume increased by about 61% and about 72%. So, there have been significant volume growths where the company has added capacities. And on terms of value growth across most of our product segments, we've seen, A SPs increasing in the range of 3 % to 5%.
Ankit Kedia: And specifically for wooden pencils, what has been the ASP increase for the quarter and 9 months?
Rahul Shah: If you talk about, again, we have two components there. One is wooden black lead pencils and wooden color lead pencils. Black lead is the significant portion where the ASP increase has been

about 3.5%.
Ankit Kedia: So, is it safe to assume that the wooden pencils is growing slower than the company average?
Rahul Shah: No, not really. Like I said, not really. If you look at the overall company level, our growth in scholastic stationery has been close to similar what has been our overall growth. Plus, also, you know, there's an interesting thing. For example, a lot of, you'll see a significant growt h in kits and combination packs. Again, these packs, pencil is a large constituent there. So, those increase in capacities get diverted towards sales of such packs also.
Ankit Kedia: Sure. And so, could you just throw some light on the channel -wise growth, what you have seen in the quarter? How has been the distribution expansion and, you know, for 9 months and for the quarter and where are you seeing a higher growth?
Rahul Shah: So, you know, like we've always maintained, our priority market has been the d omestic market. And in domestic market also, we've always focused on the general trade segment. So, general trade segment continues to have the focus for us. This segment constitutes more than 75% of our total sales. Otherwise, from a channel perspective, channel mix, it has been pretty much in line.
Ankit Kedia: So, last year, FY23, general trade was 74%. And for the 9 months, you are saying it's grown to 75% plus?
Rahul Shah: 75%, yes.
Ankit Kedia: So, the decline is coming in which channel?
Rahul Shah: So, if you see our numbers and the presentation, we'd highlighted that exports has been, which was earlier about 21%. Export has now slowed down due to certain markets where, you know,

demand has been lower like Europe and plus certain disruptions due to t his logistical challenges from Red Sea disruption. So, because of which exports have been smaller and now constitute about 18% of our sales. So, that has been absorbed by the domestic market and primarily in the general trade.
Ankit Kedia: Sure, that's hel pful. I'll come back in the queue for more questions. Thank you.
Moderator: Thank you. The next ques tion is in the line of Amit Jaiswani from St allion Assets. Please go ahead.
Amit Jaiswani: Hi, Raveshaji. First time we are speaking. Good evening. My first question, sir, is that how large is the opportunity in front of us? And where do you see DOMS being in the next three to five years? First of all, congratulations on being a billion -dollar company by market cap.
But what kind of profit pools do you aspir e to generate for the next three to five years? Like this is, would you be continuing to growing at? So, last decade, we've grown at about 25 %, 27%. Would it be right to say that that kind of growth rate is sustainable for the next three to five years?
Rahul Shah: So, Amitji, Rahul here. Yes. So, just to take your question on the growth and the guidance for this year, FY '24, we'll end with a growth rate of between 25 % to 26%. And this is a similar sort of a growth we will target to achieve in the coming financial year as well.
In terms of opportunity , we really believe that the opportunity in the Indian stationery and art material segment is significant. You know, not only is the market increasing because of certain factors like focus on, government initiatives on education, but also there's a lot of new demand coming in, with respect to, you know, whenever we've launched certain types of new products, which were not e xistent in the market. But the acceptance level of these products has also been very great.
So, we believe we'll be able to expand the market as well. So, with new product developments, with our focus on R&D, product engineering, and getting the best prod uct available at the best value, we think that the market potential is significant. And with our expertise and experience, we'll be at the forefront to leverage this benefit in the coming years.
Amit Jaiswani: And would you say that you'll be reinvesting 1 00% of your operating cash flows in the capacity every year?
Rahul Shah: You know, it's very difficult to answer this at this point of time. But yes, we continue to see good opportunity in the existing product segments. There are a lot of new product lines that we would enter. In addition to organic growth, we are always on a lookout for attractive inorganic opportunities. So, how things shape up, that will really constitute that whether we'll be doing a 100% reinvestment. But yes, we do believe that the po tential is huge. And we would want to be at the forefront with, you know, getting maximum market share as much as possible.
Amit Jaiswani: So, on our highest category, which is pencils, we are about 11% of the entire market, right?

Rahul Shah: No, entire m arket of...
Amit Jaiswani: What would be our market share?
Rahul Shah: Sorry. Market share would be about 11 % to 12% of the entire stationary market. Pencil is within that segment, if you talk about, then we are at about 29%.
Amit Jaiswani: Got it. And the industry stationary industry is growing at about 8%. Would that be the right benchmark? And we would be able to grow at three times faster than the industry?
Rahul Shah: The industry, overall industry is growing at about 11 % to 12%. Then there are certain categories within the industry, which are demonstrating a little higher growth as well. For example, pencils, writing instruments, which are close to abou

t 16% growth.
Amit Jaiswani: Got it. And our gross margins will stay at these levels broadly for goin g forward in the newer categories that we enter?
Rahul Shah: So, if you look at , gross margins across different products are different. And therefore, we as a company, always look at EBITDA as the right value into justify whether these products are doing well or no. So, on an EBITDA perspective, EBITDA level, any new product that we intend to introduce, we work with that targeted EBITDA margin of 15%. And only then, you know, proceed in terms of introducing that product in market.
Amit Jaiswani: Got it. Thank you. Thank you so much. I'll come back in the queue .
Moderator: Thank you. The next question is on the line of Mehul Desai from JM Financial. Please go ahead.
Mehul Desai: Thank you, team , for taking my question and congratulations for the great set of numbers. So, my first question is on the distribution side, if you can give some flavor as to how has distribution increased versus what you ended on FY23? And how do you look at it going forward over next two to three years in terms of your outlet reach?
That's the first question. Second question is on the regional mix. If you can give some flavor, how much of your revenues are coming from North and West market and how much is coming from South and East? And what is the strategy to drive growth more in S outh? My understanding is that we are under leveraged or under indexed in South versus our North and West market. So, if you could address these two questions.
Rahul Shah: Yes, M ehul Sure . So, Mehul, to answer your first question in terms of retail footpri nt, in Q2 we had about 1,20,000 retail outlets which were touching directly, which was serviced through our sales team. In the third quarter, this number increased by about 2,500 retail touch points. In terms of distribution reach, the increase was close t o about 200 distributors during the quarter. In terms of regional mix, if you see historically also, we were present in accordance , Sales from each region justified the population of that region. And even currently, it is similarly justifying the presence where the population is highest. North constitutes to the highest sales followed by West and then South and East. So, it's a very balanced mix in proportion to the population of that particular region.

Mehul Desai: Sure. And any guidance on where this distribution can go over the next two to three years in terms of the outlets which you mentioned?
Rahul Shah: So, it will be a gradual increase. Our strategy from earlier time has been that wherever we reach, the new retail outlet we open, we maximize the throughput from that particular retail outlet. And therefore, wherever we are entering a shop, we would want to justify the requirements of that particular retail outlet and only then expand.
So, it will be a gradual increase over a period of time. And we would not want to get into that numbers of increasing at a very fast pace but do justification to each store where we are present.
Mehul Desai: And any flavor that you would like to give on what kind of newer categories that you are looking? I think we have taken a small stake in a toy company too. So, if you could mention what's the outlook in some of these categories? What are the plans or what are the new categories that we like where we think that we can expand maybe in the next two to three years ap art from the current stationary product that we have?
Rahul Shah: So, like you were aware in this current financial year, we entered the conventional pen segment. That as a product segment is something which is seeing a very good and positive response from the market. After the launch of this product, since about seven, eight months, we have been able to meet the requirements only of a few states in

India.
We have not been able to sell this at a pan India level as well. So, this product segment is seeing a lot of demand and interest from our consumers. Similarly, scholastic adhesives , you know, we are in the process of launching a very wide range of scholastic adhesives and also expanding our product portfolio in the fin e art range. So, these are the key pr oduct segments or categories where there would be, you know, continued focus. Nevertheless, in our existing product segments,

categories also, we continue to keep coming out with new SKUs which are more relevant with what our consumers are experiencing and those product launches keep happening on a regular basis.
Mehul Desai: Sure. Thank you. That's all from me.
Rahul Shah: Thanks, Me hul.
Moderator: Thank you. The next questi on is on the line of Chinmay Ne ma from Pres ceint Capital. Please go ahead.
Chinmay Nema: Good evening, sir. Thank you for taking my question. Just trying to understand the historical performance of the company. So, if I look at the last two, three years, the top line has almost doubled from FY22 to FY23. So, could you help us understand what happened during that period? What was the reason for that?
Secondly, the working capital has also really improved in the last two, three years. So, what happened there and what should be the normalized level that we should look at?

Rahul Shah: Sure, Chinmay. So, Chinmay, firstly, just to, you know, FY '21, FY '22, these were two years which were actually impacted because of COVID. As you would be aware, most of these periods, educational institutes remained shut. And hence, the demand for stationary pro ducts decreased significantly. So it's more of a base year sort of effect rather than growing 100%. The base figure was wrong. In FY '23, with the educational institutions opening up, we continued to see good demand for our products. Plus, during the COVID years, the company had continued to do capital expenditure to enhance our capacities. So, in FY '23, due to increase in capacity, a little bit of effect of the pent-up demand, we were able to increase our sales by almost 100%. Like I said, now, this is more of a normalized period. That's why we believe from a guidance perspective, we will be doing about 25% growth in our sales. So, that would be the same. And sorry, Chinmay, I missed your second question, if you could just repeat. Working capital, yes. So, in terms of working capital, the change that you see has been primarily on account of one, earlier, our entire domestic general trade segment, where we used to extend a little bit of credit, was moved to a cash and carry advance sort of a model, because of which our debtors' days went down significantly.
Also, in terms of inventories, with the companies' operations being more increasing, there was a better inventory utilization that we could do. As a result of these factors, predominantly working capital r educed. Our current working capital is also close to that, about 37 to 38 days. And going forward, our range would be about 40 to 45 days, considering that there are certain products where we, by choice, keep a higher working capital -- higher inventory le vels and that too only in raw materials, you know, because there are dependency on certain natural resources. So, when the sales of these products increase , because of capacity addition, then the working capital days go up. In terms of debtor days, we are still at that average of 12 to 13 days only.
Chinmay Nema: Got it, sir. That's really helpful. Just lastly, if you could comment on, I mean, as a company, how do we differentiate ourselves from our peers? Just trying to understand whether the future growth is supposed to come from taking the market share from other companies, or is there enough market for everyone to grow?

Rahul Shah: Firstly, we never try to compare oursel f or place oursel f with our peers. We believe in being ourselves. Whenever we would w ant to launch a product or launch a category, we always believe that we look at what our consumers are, who are consumers, and we understand that consumers much better than anybody else could do. So, therefore, we know basically what are the requirements o f our consumers. And based on that, we design products, develop products, and this everything happens in -house, you know, right from designing to development and to conceptualizing, manufacturing. We have a completely backward integrated operation.
So, as a result of this, we become very efficient. And this is seen in the pricing of our products also. So, we are able to give a far more superior product at a very good value to our consumer, which brings them back to D OMS . So, that is one of our key success factors, which is a mix of, like I said, our manufacturing capabilities, our design capabilities, our understanding of our consumers. And this is what we want to continue doing for across all the products that we are into and we intend to enter into.

Chinm ay Nema: Got it, sir. That's really helpful. Thank you.
Moderator: Thank you. The n ext question is from the line of Jinesh Joshi from Prabhudas Lilladher Private

Limited. Please go ahead.
Jinesh Joshi: Yes, thanks for the opportunity. Sir, I want to understand our capex plan a bit better because if I look at our RHP, we had mentioned that we'll spend about INR 450 crores and the plant will be operational by December '25. But if I look at our PP T, we have al so mentioned that we have commenced a production at about 1 lakh square feet, which is within our existing infra and additional 1 lakh square feet will become operational very soon. So, what is the capex that is earmarked for this 2-lakh worth of area which is due for expansion? And which all categories will we be spending this amount into?
Rahul Shah: So, just to clarify, the RHP, what the plan was given was for the proposed facility and expansion in the newly acquired 44 acres of land . Out of the total amount which was given of about INR450 crores , the company had already acquired the land for almost INR 75 crores. So, balance was about INR 380 crores of investment of which INR 280 crores was raised in the IPO. This project is -- we just recently received the final approval, which was required before commencement of construction. This was in terms of getting the town planning approval. So, we are now soon expected to start construction on this newly acquired land. And the capex towards th at building and construction is something which we will start seeing from the coming quarters.
In terms of what we built in -house , in our existing infrastructure, we had already acquired the land. And on these lands, there was possibility of increasing -- constructing two more buildings, which we did. One building of 100,000 square feet became operational. And we started getting revenues from this from the month of October. And this building is purely for our writing instrument segment, where we've started with commercial production of the conventional ballpoint pens. And also increased slightly our capacity in markers and in brush pens.
There is a building adjacent, which is currently under construction. Construction is almost over. We will soon start setting up the plant and machinery at this building and expect to get commercial production from quarter one 2025. If you see, even with the first building, we were able to set up commercial production in a record time of 90 days from the time we got the possession of the building when construction was complete. Here also, we expect the same sort of a timeframe.
And again, this building, considering the demand for the pens t

hat we've launched is much, much
higher than what we anticipated earlier. So this b uilding also we would want to focus in terms of writing instrument to enhance our capacities in pens and the ballpoint pen segment.
Jinesh Joshi: How much are we spending incrementally for this two adjacent buildings which you just mentioned?
Rahul Shah: So in terms of construction, so like I said -- so in terms of going forward. In the nine months, like I mentioned, we spend about …

Jinesh Joshi: 170, n o, sir, I get that. My question was for this additional 2 lakh square feet , which you have just mentioned, how much are we spending specifically for that?
Rahul Shah: In terms of construction cost?
Jinesh Joshi: Yes.
Rahul Shah: So one building is already ready and the construction completed. And for the second building, you know, we'll be spending a total -- additional expense would be of about INR 17-odd-crores .
Jinesh Joshi: Got that . And the last question is with respect to our working capital. You mentioned in your answer to previous participants question that we have moved to cash and carry and hence our receivable days have come off quite a bit. So just wanted to understand in terms of positioning, if we are on this cash and carry model so to say, do we offer a higher dealer distribution margin as compared to peers? Or what is the point on which we are co mpeting to get a higher revenue share? Because I think credit period and margins are the two things which essentially anyone would compete on.
Rahul Shah: So honestly, right now we are seeing a very significant pull from the market across domestically or also in exports. There's a very strong pull for the DOMS brand because of which -- and what is happening with the retailers also is the D OMS products which they get , they are witnessing a fast turnaround. And as a result of this, the demand itself is very high.
So in terms of margins, our margins from the channel would be in line with what the entire industry offers. The pure reason that we've been able to shift the entire trade to a cash and carry sort of a model has been because of the strong demand and pull for the brand and our products.
Jinesh Joshi: Got that. And s ir what is the industry wide distribution margin or for that matter, your distribution margin, the entire channel, if you can call it out?
Rahul Shah: Our margin in terms of there are certain products, different products have different margins at the retail level. But at the stock ist level, our margins are about 5.5% . And at the distributor level, it is 9%. And then for the retail level, it's different across different products.

Jinesh Joshi: Got that. Thank you so much, sir. Thank you.
Moderator: Thank you.
Aniruddha Joshi: Rahul bhai, Aniruddha here. Some questions from my side as well . In terms of branding initiatives , so while the growth has been very, very strong and as of now, we are not investing in ad spend, but now new capacities are coming on stream. So will there be any change in the plan in terms of the branding initiatives?
Rahul Shah: So, Aniruddhaji, as you know, historically also and now also are marketi ng and advertising spends continue to be in the range of 0.4% to 0.5% . Till now, we've not seen the requirement for investing more in this with the new capacities of pens also. Like I said today , we are being able to sell only to four or five states of the country with the capacity. So the demand is already there.

But if required in future, if we see, then the capability is there to increase the spend. But as of now, we don't see such a requirement. And whenever needed, like I said, our financial profile allows us to invest in this segment.
Aniruddha Joshi: Yes, sure, sure. Un

derstood. Secondly, in terms of the pen rollout, the INR 5 pen , I guess it was initially in Gujarat market. And now how do you see the progress in terms of the rollout on a pan-India ba sis and any growth targets that you have in the mind that you can share on the pen business?
Rahul Shah: So, Aniruddha , right now initial rollout was definitely from Gujarat and then MP and t ill now, we started selling in about five states of India. Today we have today -- one building is already ready and doing commercial production of pens since October. Another building will soon be ready there. Once those capacities come in, that is when we'll expand to other states. But here also, like when we spoke abo ut our retail footprint here also, the idea is same. Wherever we enter, whatever state we enter, we want to take a position of significance of leadership, justify that position and only then move to new territories. So that's the same strategy we'll follow . Like I said, the initial response has been significant. We are happy with it and we believe this to be a key segment for the company soon.
Aniruddha Joshi: Sure. Understood. In terms of the revenue salience of the premium products, for example, in case o f premium pencils, the pricing of, let's say, INR 8 and above, we can, let's say, if we consider it as premium and luxury. So, if you can indicate the company's revenue share from the premium products and how it has moved over a period of time. Also, in ca se of these relatively premium products, what will be the company's market share versus the other brands into the market?
Rahul Shah: Aniruddha honestly, at the company level, we do not want to track it at such a micro sort of a level. See, today, in terms of when we talk about pencils, the INR 6 MRP pencil continues to be the largest selling product segment for us. New capacity is also coming in. It's well distributed across those segments. But specifically, how much market share or how much sales coming f rom that specific segment, that's something which we don't, wouldn't want to track and differentiate into.
Aniruddha Joshi: Okay. So, sir, just two more questions from my side. One, in terms of the toys business, so any update on that progress? How many ne w products that have been rolled out or are in the pipeline? And in terms of distribution, where are we as far as the toys distribution is concerned? I agree it's a very recent acquisition and still a lot of work needs to be done. But if you can share any pipeline, let's say for FY25 or so.
Rahul Shah: So, Aniruddha , like we initially discussed toys -- the acquisition that we did was to understand this market, understand the product, and to see how these products can complement with our existing distribution network. So, towards this we -- a lot of product redesigning is happening. A lot of products are being packed in such a way that they become attractive for retailers to have in their stationary shops.

We've already started selling ClapJoy products in our existing distribution network, especially in the North market. The initial feedback has been pos itive. And that is how we are thinking of expanding this segment, rolling it out on a pan -India basis. So, going forward, though very small now, but we are optimistic that in a few years' time, this segment would be attractive and decent in terms of size.
And once it becomes larger, I think we will start discussing more in terms of numbers with respect to this particular segment.

Aniruddha Joshi: Sure, understood. And very last question from my side. Now, the market shares of the key products of the company are not very easily available in public domain. So, if you can indicate the likely market share gains in this quarter or let's say in nine months, what it will be? Any further color on that means in terms o

f which are the products would have gained market share or which are the regions where you would have gained the market share? Even if you don't share the numbers, it's fine. Just the qualitative feedback is also very appreciable. Ye s, that's it from my side. Thanks.

Rahul Shah: Honestly Aniruddha , like you said it's very difficult to track the size of this market. Therefore , we would also not have lot of information in terms of the size of the marker and which segments have grown. In terms of DOMS growth we've achieved and in which particular segment tha t we've already disclosed in our presentation. So, I think nothing additional to add in terms of market size unfortunately because it's not something which is readily available.

Aniruddha Joshi: Understood. And any guidance that you would like to roll out for FY25 in terms of revenues or margins as such?

Rahul Shah: Yes, as mentioned earlier in terms of revenue for FY25 we would want to guide close to that 20%-25% sort of a range with an EBITDA margin between 15% to 17%. We always believe good to be a little conservative and deliver something better which will create VOW factor for everyone. So, we'd want to follow that as well.

Aniruddha Joshi: That's really -- actually a great guidance. Ye s. Thank you. Thanks from my side.

Moderator: Thank you. The ne xt question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora: Yes, thanks. I was looking at segments. It looks like art material and office stationery seem to have done well with let's say upwards of 35% -40% growth. So, what's h appening here and is pen contributing to the office stationery sheet ?

Rahul Shah: Yes, Kunal bhai, so pens is a part of the office supply segment. So like mentioned, we added capacities in pen. Therefore, you will see growth in that segment . In terms of art material also there has been capacity additions in our crayon segment, in our watercolor pen segment. So, these capacity additions coupled with slight increase in t he ASPs has led to that growth.

Kunal Vora: Okay. So, wherever you are adding capacity, you are immediately seeing growth so far. How big is pen right now? I mean, let's say , if you look at 3Q FY24, what will be the contribution and how big do you see it happening in FY25? Considering that you have visibi lity on capex and if you are able to sell what you are producing, in that case, how big can pen become in FY25 versus FY24?

Rahul Shah: So, I can talk about the current quarter. Like I said there's something, pen is something new. So, we want to take it s tep by step as and when we launch it. But in the current quarter, if I have to say, we did about INR 16.5 crores of revenues from the pen segment.

Kunal Vora: Okay. And how large a capacity are you, like, deploying on the pen side? Are you looking to doubl e, triple, what kind of capacity increase are you planning for pen?

Rahul Shah: So, in the current building that we've already started, our capacity is 1 million. The new building that we will now come into commercial production in the next quarter, in fir st quarter of FY25, that would be an additional 1 million. And then would be the new capacity that would come from the 44 -acre plant, which would be about 4 million. So, double of what we will have in the existing infrastructure. So, eventually, we'll targ et to have capacity in pens of about, total of about 6 million.

Kunal Vora: Okay. So, right now, it's a million and you're doing about INR 17 crore s of sales. And it will be 6 million. So, like, assuming that, let's say, it's a linear increase in that case , you're looking at a much larger number.

Rahul Shah: Even what would happen, Kunal bhai, not the entire capacity was started from day one. It was enhancement over a period of time. So, I think once we have a couple

of quarters go by in terms of full-fledged production, then we'll be able to guide on this number a little better.

Kunal Vora: Understood. Understood. Okay. And you mentioned that Micro Wood contributed to the improvement in margin in nine months. What was the revenue contribution or , like, say, if I want to look at just the organic revenue growth, how would that be compared to what you reported?

Rahul Shah: So, basically, Micro Wood, our subsidiary, basically is into manufacturing of tin box and paper packaging and boards. So, basicall y, most of these products are sold to DOMS and our other subsidiary, Pioneer. So, about 98% of the sales of Micro Wood goes to DOMS and Pioneer only. So, there's no material increase in sales because of the acquisition of Micro Wood. But it is

purely becau se of, the elimination of margins on consolidation that you see the benefit at the operating level.
Kunal Vora: Understood. Understood. So, there is a margin impact, but not really a...
Rahul Shah: Not a revenue impact. It's a margin impact.

Kunal Vora: Understood. And lastly, if I look at most mass consumption categories, we've seen a slowdown in the last few quarters. Are you seeing any slowdown at all? I mean, I understand that, like, say, through market share gains, you might be going fast. But otherw ise, what's your view on what's happening in rural markets as well as mass consumption categories?
Rahul Shah: It's absolutely in line with what it was earlier, what we were doing earlier, we continue to do so. We see the demand be healthy and strong for o ur products across markets - rural, urban, A -plus cities, everything is pretty much similar. It's healthy. We have not seen any sort of slowdown as to say.
Kunal Vora: Understood. And lastly, if you can make some comments on international as well as export s potential in FY '25, how are you looking at it, especially with the additional capacity which is coming in? Would you prioritize the local market or do you have some big plans for international markets in the near term?
Rahul Shah: So, since the time we launched D OMS Brand, our focus has been domestic and that we'll continue to do so. We believe that the opportunity in the domestic market itself is significant. And with the right sort of product and offering, we will be able to capitalize on this signific antly. So that focus will continue to remain in the domestic market. Export also has a lot of promise, but we'll be very conscious in terms of how much we want to do. It will not be at the cost of the domestic market.
Kunal Vora: But now that you have the capital, why not accelerate the investment and capture the international markets also at the earliest or do you think that…
Rahul Shah: Like I said during the int roduction part also, today , at the speed at which we are commercializing operations like, we c ommercialize our pen plant within 90 days from the day we got possession of this plant after the construction being over, which would be probably the fastest in the industry. So definitely, like y ou all, we are also very excited about the potential and wou ld want to do this as soon as possible. But then there are certain things which take their time. You could not accelerate it significantly. And we don't want to make any mistake in this entire journey.
Kunal Vora: Understood. And what's the next cash as of 9th month FY '24?
Rahul Shah: Our net cash as on 9 month, which has an impact of the IPO proceeds. So, you know, there's about net cash of about INR 430 crores with a net debt of about INR 156 crores. So if you net it off, that's the cash position.
Kuna l Vora: Understood. Cash of 430 and debt of 156. Okay. Net number .
Rahul Shah: But that’s not a right parameter because of the proceeds of the IPO which came in …
Kunal Vora: Understood. Okay

. That's it from me. Thank you.
Rahul Shah: Thanks.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to the management for the closing comments.
Rahul Shah: Thank you., Anirud dhaji, ISEC team and thank you, listeners . I would like to once again thank all of you for joining us on this call today. We hope we have been able to answer your queries. Please feel free to reach out to our IR team for any additional clarifications or feedback that you all may have. Thank you once again.
Management: Thank you, everyone.
Moder ator: Thank you, members of the management team. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us and you may now disconnect y our lines. Thank you.

Call: May 2024

Ref No. DIL/SE/2 4-25/23
Date: May 29, 2024

To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Floor 25, Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Scrip Code - 544045

Dear Sir/ Madam,

Sub.: Transcript of the Investor C onference Call on Audited Financial Results (Standalone and Consolidated) for quarter and year ended March 31, 202 4

Pursuant to Regulation 30 read with Part A of Schedule III and other applicable regulations of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , as amended, ('SEBI LODR Regulations ') please find enclosed the transcript of the Investor Conference Call for the Audited Financial Results (Standalone and Consolidated) for quarter and year ended March 31, 2024 , held on Monday, May 27, 2024 , at 03.00 p.m.

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the following link :

https://domsindia.com/pdf/Investor_Relations/Investor_Presentation_and_Transcripts/Q4_FY24.pdf

This is for your information and records .

Thanking You ,
Yours Faithfully ,
For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl. : As above

"DOMS Industries Limited
Q4 & FY '24 Results Conference Call "
Monday, May 27, 202 4

Disclaimer: E&OE - Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. Further, in case of discrepancy, the audio recordings uploaded on the website of the Company will preva il.

MANAGEMENT : MR. SANTOSH RASIKLAL RAVESHIA – MANAGING DIRECTOR – DOMS INDUSTRIES LIMITED
MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER –

DOMS INDUSTRIES LIMITED
MARATHON CAPITAL , INVESTOR RELATION ADVISOR
– DOMS INDUSTRIES LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to DOMS Industries Q4 FY '24 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference i s being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, Mr. Joshi.
Aniruddha Joshi: Yes, thanks, Saranju. On behalf of ICICI Securities, we welcome you all to Q4 and FY '24 Results Conferenc e Call of DOMS Industries Limited. We have with us today, Senior Management, represented by Mr. Santosh Rasiklal Raveshia , Managing Director, and Mr. Rahul Shah , Chief Financial Officer.
Now I hand over the call to the management for initial comments on the quarterly as well as annual performance, and then we will open the floor for question and answer session. Thanks and over to you, sir.
Santosh Raveshia: Thank you, team. Good afternoon, everyone. It is our pleasure to welcome all the participants to the earning call conference for Q4 and financial year ending March 31st, 2024. Joining me on this call is Rahul Shah, our CFO, and the team from Marathon Capital, our Investor Relation Advisors . I hope everyone had an opportunity to go through the investor p resentation and result release that we have uploaded on the exchanges and our company 's website.
We are pleased to report on a year mark by positive achievements and strategic initiatives that have reinforced our growing position in the stationery and art material market. This has been yet another year of consistent performance and the results are testimony to the growth strategy backed by growing acceptance of the DOMS brand. We have crossed INR1,500 crores of operational revenue mark in the fiscal 2024 wi th further elevation in margins.
We endeavored to set the company on course of a sustained high performance trajectory with a mix of judicious and bold moves. Listing on the exchanges in the last financial year was one of the significant milestones for DOMS. We have been very happy with the way capital market investors have welcomed us and truly aim to live up to the best of their expectations. India, with its demographic advantage and on the back of increased focus and emphasis on child 's education and overall development, has emerged as the most attractive consumption destination and provides a huge growth opportunity to be addressed.
We continue to prioritize our growth in the Indian market, focus ed distribution network expansion and customer -centric approach and are in area in process of adding new capacities which bodes well for our company in the medium and long term. Commencement of construction to create one of the largest single unit manufacturing facility at our 44 acre land in Umbergaon shall pave way for significant capacity additions for the coming years.

The Bhoo mi Poojan ceremony for the s aid land was recently held with a zeal to seek divine blessings and I am happy to inform that the construction for this capacity expansion is underway in full swing. Further, we have started capacity expansion for our wooden pen cil division which we expect to commercialize by end of Q4 FY '25. This along with our regular capex at existing facility will result into improving manufacturing capacities and put us on the path of sustainable growth.
Further, to support our growth strat egy, we shall endeavor to continue expanding our differentiated product offerings which are associated through the growing years of kids, children and young adults. The compa

ny's recent foray into ballpoint pens and scholastic adhesives was
a step in this direction and I am very pleased to share that we have received positive response

from our consumers and trade. This reinforces the company's strength in introducing attractive superior quality and value -added products.
Further, our recent acquisition of 51 % stake in SKIDO Industries, a school bag manufacturing company has helped us to enter into exciting back -to-school product segment. This move also complements our existing portfolio and distribution network.
We continue to focus on strengthening our conn ect with our consumers with interactive and focused marketing initiatives. Our launch of the DOM S Art League encourages children to engage in art contests, aligning perfectly with our endeavours to foster a lifelong love for art amongst children. Further, the recent inauguration of our DOM S Painting Studio at KidZania in Mumbai, R-City mall, offers an exciting avenue for children to experience our entire product range and explore their artistic talents in an interactive way.
Looking ahead, we are focused on further expanding our product portfolio and exploring new products and categories within the stationery and art material market, as well as products which are complementary.
We remain optimistic about the prospects of the company and remain focused to deliver on our growth agenda. We seek to leverage our market position, understanding of consumer preferences and manufacturing expertise to pursue growth opportunities that shall expand our market share and help us in delivering consistent growth.
With thi s, I would like to hand over the call to our Chief Financial Officer Mr. Rahul Shah for the update on Q4 and FY '24 financial overview. Thank you very much.
Rahul Shah: Thank you Santosh Bhai. Good afternoon everyone. Coming to the details of our financial performance highlights for the quarter -ended and for the full financial year ended March 31, 2024. Our r evenue from operations for Q4 FY '24 grew by 20% to INR 4,037.4 million as compared to INR 3,364.8 million in Q4 FY '23. A 26.8% over the financial yea r to reach INR15,371 million as compared to INR 12,118 million in FY '23. This increase in sales was predominantly on account of increase in volumes coupled with marginal increment in our AS Ps.

The EBITDA for Q4 FY '24 grew by 22.6% to INR 759.3 million as compared to INR 619.3 million in Q4 FY '23 with a margin expansion of 40 basis points over the same period last year and stood at 18.8% as compared to 18.4% in Q4 FY '23. On a full year basis, we saw further elevation in our margin profile with EBITDA growing by 46.1% to INR 2,727.3 million as compared to INR 1,866.6 million in FY '23 and a margin expansion by 230 basis points to 17.7% as compared to 15.4% in FY '23.
This margin expansion was on account of the increase in AS Ps, lower materi al costs resulting from better pricing due to improved payment terms and fall in raw material prices coupled with efficiencies playing out on account of scale and size of operations. All of this resulted in our PAT for Q4 FY '24 to improve further with a g rowth of 29.6% and achieved a PA T of INR 469.3 million as compared to INR 362.1 million in Q4 FY '23.
PAT margin for Q4 FY '24 expanded by 80 basis points to 11.6% as compared to 10.8% in Q4 FY '23. PA T for FY '24 grew much higher by 55.2% to INR 1,596.6 m illion as compared to INR 1,028.7 million in FY '23 with PA T margin expanding by 190 basis points to 10.4% as compared to 8.5% in FY '23.
The operational front, we continue to focus on expanding our manufacturing capabilities to capitalize on the growth potential and continue gaining market share. Towards this aim, we have spent approximately over INR 125 crores in capex excluding WIP and have recently added about 100,000 sq uare feet

of manufacturing floor space in commercial production during the last 6 months and are on track to add another 100,000 sq uare feet in the current quarter.
On the working capital front, our debtors are typically in the range of 10 -20 days on acc ount of certain credit to FILA Group, Modern Trade Partners as well as select credit to some of our old relationships in our general trade segment. Further, in the last financial year, on account of better liquidity we have reduced our payable cycle. This has also helped us to negotiate better rates with our suppliers which has resulted i n better margins. On account of this, there has been a slight increase in our working capital cycle to around 49 days.
With this, I would request Anirud dha to open the floor for questions and answers. Thank you very much.
Moderator: Thank you. The first question comes from the line of Percy with IIFL. Please go ahead.
Percy: Hi, sir. Congrats on a very good set of numbers. I just wanted to understand from you for FY '25 what would be a realistic margin number to go with , because in the past 2 -3 quarters, whatever we have guided, we have over -delivered on that. So, are you keeping some sort of buffer in your estimates or what actually is the potential of the business to deliver realistically in terms of

margins while at th e same time meeting your top -line aspirations?
Rahul Shah: Hi, Percy. Thanks for the question. Like you know, we always like to maintain a conservative approach when it comes to guiding for margins. We believe now with the scale and size that we received, their estimate would be between that 16 % to 17% range. There has been a change in

the product mix where certain products which are higher on other expenses and lower on material consumption have increased, which has resulted in the consumption margin impro ving in the current year. But going forward on a conservative basis, we would like to continue with a forecast of about between 16 % to 17% in terms of EBITDA margin.
Percy: Got it. Secondly, on the school bags business, what kind of ramp -up should we be ex pecting here? Is it going to be a very gentle, slow -burn kind of thing or do you think that we can expect some material top -line out of this in FY '25?
Santosh Raveshia: So, Percy you know basically, this particular school bag, back -to-school business is s omething which was missing in DOM S portfolio. I'm sure you must be aware that basically, the school acquisition very recently in place, we have already missed this particular back -to-school season. So, for us, the entire year is going to be ramping up ours elves to create a very out -of-the-league product line first and then offering the same to our consumer in a small back -to-school which we'll see prior to Diwali and in between Christmas. So, the idea is to test this particular line for now and get ready fo r the next year.
Percy: So, next year, let's say we talk about the big back -to-school season which is, let's say, March - April next year. How do we, I mean, as investors and analysts, how do we evaluate this opportunity for you? Can you give some idea in te rms of how big is the market? How much is the organized portion? Or the other way to do it is, what kind of capacities you are putting up and what kind of capacities you will have by, let's say, March -April next year. And if I just assume, let's say, a 70 %-80% kind of capacity utilization at that point, what kind of sales can it generate?
Santosh Raveshia: Basically, we ourselves are in the process of understanding this particular market to the fullest right now. You are well aware that this particular cate gory is a mix of unorganized and a little bit of organized, of course. So, what our take right now is we'll be slow enough to begin with, with a small manufacturing facility currently.
And we would like

to take this as a, not very immediate, but at least as a five -year plan to reach the expectations of our own expectations and also the investor expectations. So, it's going to be a slow process, but a very guided process and a very concrete business , in times to come. Because with our network in place, wher e we are a pan -India brand, I'm sure for us to reach to our trade and consumer is much faster than...
Percy: Right. And also, at the time of IPO, there was also some talk of a possibility of entering into some other segments like water bottles or tiffin bo xes, or even at some point of time, copier paper. So, any kind of thoughts on the timelines as to when you would like to enter these categories, whether it is sort of a priority for you or you think that you have enough on your plate with the existing prod ucts anyways?
Santosh Raveshia: As I said, as of now, we are trying to understand the entire back -to-school line. As per the philosophy and policy of DOM S, we don't want to go to the market with a me -too line of

products. Whenever we would like to get into this particular back -to-school line, we would want to be very different and very user -friendly.
So, it's quite early to right now say, but yes, we are in the process of educating first ourselves in this particular category and then adding our investment p lans. So, maybe in another conference calls, we would be able to elaborate better on this.
Percy: And any thoughts on copier paper?
Santosh Raveshia: No, no, not really now.
Percy: Okay. I'll come back in the queue, sir. Thank you very much.
Moderator: Thank you. Next question comes from the line of Mehul Desai with JM Financial. Please go ahead.
Mehul Desai: Hi, good afternoon, sir, and congratulations on a great set of numbers. So, first question, obviously, is on scholastic stationary. If you could just bifurcate this 9% kind of growth that we

have seen in the quarter, if you could give some flavour on the sub -segments within this scholastic stationary. So, how is pencil done? If you could then give some flavour on that. And how do you see this scholastic stationary and scholastic art materials going forward? These are two large categories for you. How do you see FY '25 for these two categories? And what would be the drivers apart from capacity additions?
Rahul Shah: Hi, Mehul bhai. Mehul bhai, honestly we have witnessed growth across almost all our product categories, but within the scholastic stationary, we have seen growth in pencils, which was backed by certain capacity additions that we did. Similarly, in mathematical boxes . When we talk about scholast ic art material, we saw volume increase, again, backed by capacity addition in watercolor pens, in our wax crayons and oil pastel segments, which are the key products in this segment.
So, overall, like I said if I have to say, across all products, we have seen growth, wherever capacity additions have happened, significant capacity additions, then we have seen higher growth.
Mehul Desai: Okay. And some idea on how, obviously, how exports have panned out, and I understand, I think last quarter also, because of demand weakness in the international market, export growth was relatively lower. So, how has that done in 4Q? How do you see exports, both to FILA as well as your own brand, going ahead in FY '25?
Santosh Raveshia: Yes, so, Mehul bhai , as a company our priority has always been to domestic markets. And for us, it's a good problem that we have always been at a short supply to our existing Indian trade.
So, looking at last quarter dynamics, the entire year dynamics, if I can say, the domestic demand was, just good for us, and for us, it was important to service that in priority.

Export, of course, comes with a lot of at traction, but, with the new capacities adding up, as we have briefed, we'll be able to become more vigilant on servicing our international m arkets as well. But currently, we are just trying to service our existing, domestic trade. And as far as, business from FILA , for the entire, for the stationary line, we have, entire, like we have our open books like, order books available to service FILA demand. But again, currently, we are giving priority to our domestic particular market.
Moderator: Thank you. Next question comes from the line of Hardik Doshi with White Whale Partners. Please go ahead.
Hardik Doshi: Yes, I'm just following up on the question on the scholastic art material and office supplies. Those are the big two drivers. The biggest one, obviously, being scholastic art material. So, is there anything besides this capacity addition, I mean, have you done anything different that is allowing you to kind of gain market share here? And going forward, as well what is the kind of strategy and how it look out here in terms of market share gain?
Rahul Shah: Hardik, the idea remains the same across all products like Santosh Bhai mentioned, we always had this good problem of short supplies. And because of this, whenever we've added capacities, we've seen positive traction. And at the same time, the company continues to invest significantly in research and development, product development and our focus on introducing more products in our existing categories where we are expanding the depth of our product portfolio, giving better options and new options to our consumers.
All of these things are helping us in terms of ensuring that whatever additio ns that happen in terms of capacity are well accepted in the market. As a result of this the growth is being consistent.
Hardik Doshi: Okay. And again the question I'm asking besides capacity addition is there anything different in your go -to market strategy that is driving t he market share gain? Or I mean the strategy you follow is consistent?
Santosh Raveshia: Our offering of exceptional product line something which Indian consumers there are too many products we have launched in pa st which Indian consumers never expected. And I'm sure that is one of the strongest reasons why we are getting very quickly accepted. Of course, when it comes to offer ing these products to the market which are very unique they are still affordable.
So, because, we have enough backward integration in place, so it's not that, it's very heavy to our consumers. It's comfortable for consumers, good for trade, and good for u s as well. And I'm sure this particular phenomenon is working well and the acceptance is absolutely right.
Hardik Doshi: Got it. Going to the Scholastic stationary part, I mean, that was obviously the message and like we've been trig the exposure to this p articular segment, did you think it was 46% same quarter last year and now it's down to 42%. Maybe overall the market's not growing as quickly. As you enter into bags and other areas and also expand into Scholastic art material, and other segments,

how like over a three to five -year period, what do you think our percentage of total sales will come from Scholastic stationary?
Rahul Shah: So, Harsh, I wouldn't say it is there has been a reduction in Scholastic stationary. If you see year - on-year basis, Schola stic stationary has grown by approximately 21%. Other segments have grown a little higher because there were capacity additions planned for those segments, like in Scholastic art, we increased the capacity for crayons we increased the capacity for sketch p ens. And then you would also see kits and combination bags growing at about 21%, which takes material from all segments, including the Scholastic stationary segment. So it's more a factor of capacity addition rather than a market

factor where we are seeing saturation.
So today also if you analyze our finished goods, you'll see our finished goods are still at the minimal -- finished goods inventory are still at a minimal level. And because whatever we are produc ing across segments, including s cholastic stationery segments, they are in high demand, continue to be in high demand. It's more a factor of capacity addition rather than any slowness or saturation in the market.
We are optimistic about this segment where the largest contribution comes from woode n pencils. And therefore, as we mentioned earlier, we have started the process of further enhancement of pencil capacity. And we believe that by Q4 ‘25, that capacity addition should come in commercial production.
Hardik Doshi: Okay, understood. And just l astly, on the export front, while I understand that your focus is a domestic market and you're short of supply in a lot of areas and adding capacity. Export is a potentially a big opportunity, right? Especially given the shift from China towards the rest o f the world. So, and it's a very large market. Is there any thou ght of like maybe accelerating c apex towards like not to try to cater towards that market and grow that now that the opportunity is there?
Rahul Shah: So, accelerating capex, if you would see, we've already spent about INR 125 crores in the past year. We are going full swing in terms of enhancing our capacity, starting the construction on this 44 acre land. So on the capex front, we are as aggressive as possible. During the last quarter also we did inform that we started our pen manufacturing unit in commercial production in a record time of 90 days from the time the plant was -- building was handed over to us.
So, we are being as aggressive as possible. It's just that the domestic demand and th e demand for DOMS branded products are so high that we would first want to focus on that. Yes, export and FILA group export remain attractive proposition. And as and when we have significant capacity addition, we ’ll justify that demand as well.
Moderator: Thank you. Next question comes from the line of Yash with Stali on Assets. Please go ahead.
Yash: Hi, thank you for the opportunity. Just wanted to know, what will be your capex number for FY’25?

Rahul Shah: Yash, we are planning for a capex of around INR 210 million to INR 225 million for FY ’25. Sorry, INR 210 and INR 225 crores for FY ’25. This will be like we mentioned for the setting up of the building at the 44 -acre facility as well as for enhancing our capacities for pencil and the regular modernizatio n and upgradation capex that we continue to do in our existing infrastructure.
Yash: Sure, thank you. And any revenue guidance you would like to give?
Rahul Shah: So, as mentioned in the last call also, we would continue to maintain a revenue guidance betw een 22% to 25% for FY ’25.
Prathamesh Dahake: Sure, thank you for the opportunity. Thank you.
Moderator: Thank you. Next question comes from the line of Sneha Talreja with Nuvama . Please go ahead.
Sneha Talreja: Hi, congratulations on a great set of numbers, sir. A couple of questions from my end. Firstly, regarding your pens rollout. We started with five cities. I just want to know the progress. Where are we and what's the kind of growth that we're looking out for in this particular segment? And from INR5 pens. Of course we had a launch there. Which are the range of pens that we've already launched? That's one. Second question, I'll take it after this.
Santosh Raveshia: So, thank you. Basically, for us, our important customer has always been young ki ds, school - driven consumption. So, this was the reason why we entered into INR 5 pen and also continued, like, further elevated with INR 10 pen as well. As of now, the thought process is very clear. We

want to rema

in within the interest of this particular TG of s cholastic. And further, once we are mature enough in this space , we'll think about going ahead. But for now, it's more of scholastic consumption pens only.
Sneha Talreja: Understood. And w hat about the states? Are we PAN -India now or we are planning to be there?
Santosh Raveshia: Yes, we have launched PAN -India. But it's the same we have a very good problem. Again, we are unable to supply across. But, yes, we have launched now PAN -India. And the product is getting a very good response from trad as we ll as from consumers as well.
Sneha Talreja: Understood, sir. So, that's great. So, the second question was regarding you mentioned about DOMS Painting Studio. If I'm not wrong. This is the first of its kind. So, could you explain us the concept and what a re the kind of benefits that you're seeing from the same ?
Santosh Raveshia: I'm sure you are from Mumbai.
Sneha Talreja: Yes, I am.
Santosh Raveshia: Okay. So, there is a, like, there is a mall, a very famous mall, which is R -City Mall. So, there we have, there is one kids' land, which is KidZania . So there we have opened up our DOMS Painting Studio , where there was a very common question from everyone that how can we see DOMS entire range and where. So, this is one place we were able to explore where lots of kids are

always experiencing this place. So, here a kid can spend good enough time to create, to educate himself /herself to do the art more and spend good time, with our p roducts. So, the process was very simple that, kids experience our entire range in one particular destination.
Sneha Talreja: Understood. But do we look out for more such, stores or studios that you call it, like, Pan India? I just wanted to understand that particular thing.
Santosh Raveshia: At least we would try to, put up such places , such experience zone in atleast metro cities, atleast Tier 1 cities of India.
Moderator: Thank you. Next question comes from the line of Bharat Sheth with Quest Investme nt. Please go ahead.
Bharat S heth: I want to get some sense that we are seeing that some segment of our company is growing fast. Some is not growing. And so, is it because the demand is lacking or we are having a constraint on the manufacturing side? And if at all, so how do we really try to resolve that jigsaw puzzle over the next three, four years so that all segments which is growing, we can grow much faster rate than the market?
Rahul Shah: As I mentioned , the constraint or the growth factor has been the capacity addition. So it is wherever we have added capacity at that point of time , in those categories, we have grown better . In other categories because the overall sales have increased , therefore, you wil l see as a percentage where capacity addition has not happened would have been a little lower. But otherwise, it is more of capacity additions.
Going forward, like I said, we are focused on increasing our capacities for writing instruments, for adhesives, for pencils , adding more in terms of our marker and highlighter range. So these are the aspects which will drive the growth in the coming years.
Bharat S heth: Okay. So on coming to this hobby and craft as well as fine arts product, Indian market is growing at a very rapidly pace as well as there is a lot of import is also happening because the kind of, I mean, material is not available in India or maybe price point is. So how do we really see that market for our company and what is our strategy for that mar ket?
Santosh Raveshia: So, it's a very interesting question. So basically, this particular segment, as you rightly said, it's growing at the most fastest speed right now in India. And as a company, we are also not, ignoring this space. We are fully concent rating on this space. So you would have , like t

he Indian market
has already started experiencing our launches of fine arts where we have been able to launch around five SKUs until now. And going forward, many more SKUs to be launched in this entire year.
Followed with like the hobby segment, hobby and craft segment. Here again, we are emphasizing very well on this particular segment as well. So we'll be experiencing a lot of , different type of fabric paints and a lot of different type of range like experien ces like, FixyFix from DOM S being

launched very soon. So we are fully focused on this particular segment as well. And we look forward to this as one of the futuristic take for our brand.
Bharat Sheth: To understand a little more color on this, I mean, how much this segment is currently contributing to our top line. I believe it's around less than 2%, 3% . So how do we see this business over the next five -year type journey?
Santosh Raveshia: Basically, th is particular segment , I think should become at least close to around between 3% to 5% of the DOMS portfolio in another three to five years.
Bharat Sheth : Okay, great. And , sir, last question on my side. S ir, there has been an announcement by the governmen t in August 23 on the new NCA. So do you think , will it have any kind of impact on our business on the scholastic side?
Rahul Shah: So historically, since last few years, we've been seeing that the efforts the government has been taking in terms of promoting education and the holistic development of the child has resulted in positive demand for station ery products. While there have been a lot of initiatives and different programs by which government has become a large buyer, both at the national leve l and the state level, they've become large buyers for station ery products.
This has also helped in changing , even at the lowest of the grassroot level, the rural market, a shift happening towards pencils and books and colors from what used to be chalk an d slate. All of that has bode well for the scholastic station ery segment. So we are excited about the new policy also, and we believe it will further aid in the growth of these products.
Bharat Sheth : And last question sir, how many schools do we cover as for marketing of our product as an influencer on the student?
Rahul Shah: So, Bharat bhai, since our distribution strategy centers around the general trade segment where more than 75% of our sales comes from this segment, and we've been very prudent in ter ms of ensuring and protecting this general trade segment to build a very positive and long -lasting relationship with them. And hence, we've never taken any direct orders from educational institutes. Whatever orders or inquiries that we get have always been passed through our channel partners , and we encourage them only to entertain such requests. So we as a company never do any direct sales to such educational institutes, and that's always routed through our channel partners.
Bharat Sheth : Sorry, sir. My qu estion was that how do we really influence -- the school is a major influencer on the children. So how do we really take their help in influencing children? Of course, sales may be generated through the general trade, but how do we really work on that part ?
Santosh Raveshia: So, Bharat bhai, as a company we've always like since our, we have always decided that we'll not influence schools to buy our products. So we directly we never approach schools and try to influence them. But as schools are well familiar with the product, we are within their checklist and priority list. But as a company, we have never done any influencing.

Bharat Sheth: Hello.
Santosh Raveshia: Yes, Bharat bhai.
Bharat Sheth: Thank you very much, sir and all the best.
Moderator: Thank you . Next question comes on the line of Yash with Stallion Asset . Please go ahead.
Yash: Hi. Thanks again for the opportunity. Sir, I just wanted to understand that because in Q4, our revenue growth was just a tad bit below our guidance. So is it because we had a lot of capacity constraint and that's why we were perhaps not able to grow at around 2 5%? If you can just give us some color on that, is it our plans are running at 100 % utilization or how is everything, especially in your art mater ial and stationary segment, which I believe are the largest?
Rahul Shah: Yash, w e grew by almost 8.5 plus percent in the quarter four compared to quarter three. This has been in line with our expectations also. So like I said, it's been more wherever like scholastic arts, scholastic stationary, where capacity additions have come in, for example, writing instruments, which is a part of office supplies that has also grown as expected. So the numbers have been much in line with what we had expected. There have been no surprises on that end.
Yash: Right. So is there any category where you have like almost 100 % utilization, for example, or you need to add capacity a lot in the next couple of quarters?
Rahul Shah: We are in the process, like I said, currently in this quarter, our one more additional unit of almost 100,000 square feet for writing instruments is going to get into commercial production in the current quarter itself. Plus, in our existing infrastructure, what modernization and upgrading capex that we' ve done that will allow us to improve our capacities in few of our products. And by Q4 we'll have capacity for pencil, wooden pencil where we are almost close to over 90 plus percent in terms of utilization. That will also kick in. So these will help us to achieve our target for the current financial year.

Yash: Sure. And so any new categories I know you went to the school bags, but anything else that you
have in mind in next year or any new categories that you're looking for to enter?
Santosh Raveshia: Yes, we have already identified certain categories and already launched categories like fine art.
There are certain lines which are like within hobby and craft. So I think we would like to
emphasize right now on what we have already have within the plan and which is substantial for
another couple of years to address. Of course, we are about to launch one very niche category of
a little of , for toddlers , so which is going to be one of its kind.
Yash: And sorry, so I didn't get that. You're saying a new catego ry for toddlers?
Santosh Raveshia: New category for toddlers. Yes. So that is the brand of DOMS Tots.
Rahul Shah: Okay.

Santosh Raveshia: Yes. So that will again be an exciting for the kids who are little less than three years as well.
Yash: I see. Okay . Thank you.
Moderator: Thank you. Next question comes from the line of Ankit Kedia with Philip Capital. Please go
ahead.
Ankit Kedia: Sir, first question is on the regional mix. If I look at FY '23 to '24, broadly the regional mix
remains the same. But if I look over the four -year period in the north and in the east, they're
growing at a slower pace compared to our west and south going. I just wanted to know what the
next few years, how is being the distribution mix, which is happening in south and west? And
will we continue to see a faster growth in these two geographies?
Rahul Shah: So, Ankit, we have historically , also you've seen , our sales is very much in -line with the
population concentration of the country. So north and west being the populous, more po pulous
regions of our country, there we have higher sa les compared to east and south.
But, in west I would just like to put in here that there are certain merchant export sales that
happen from the company which get categorized into t

he western region sin ce those customers
are based in western region. So the number of west looks a little higher.
But if I remove this, then it is a balanced regional mix whereby justifying the population of the
region. And hence, I think this mix would continue to remain the way it is, not have a material
change.
Ankit Kedia: Sure. And second is, are you seeing a faster growth in Tier 2, Tier 3 markets? How is the
distribution connected to the grassroots level apart from the promotion activities which we do?
And, be it a t INR 3-INR 5 pencil as customers upgrade in those geographies as well, from a
medium term perspective, are you s tarting to look at that as well? Or you are seeing more low
hanging fruit, capacity constraints. So, that will take a more longer time?
Santosh Rave shia: So what we have seen in last couple of years, like there has not been, too much difference
between the thought process of consumers from Tier 1, Tier 2 or Tier 3 cities. For example we
launched a pencil pack of INR 125. And you'd be surprised to know that we got more reception
from Tier 2 and Tier 3 markets.
So, like, as I always say that, DOMS products are super great offerings to consumers, but also
at a very reasonable , affordable prices. So every consumer and every consumer at every center,
needs a good stationery. So DOMS has become the best of its, best that to buy for a consumer,
across, Tier 1, Tier 2 or Tier 3 cities. The traction is same across. We are also emphasizing
ourselves , we are not discriminating on different fronts. So we are also giving the same justice
to all these particular markets. And the results are already expressed.
Ankit Kedia: And my last question is on the channel mix as well. We are seeing modern trade and quick
commerce gain a lot of market share for a lot of othe r FMCG and consumer brands. Are you
under penetrated in these channels? And do you think from a medium term perspective, these

channels can grow faster than GT and you being more closer to the consumers or that is not on
the plans currently?
Santosh Ravesh ia: As of now, nothing, no market, no trade is ignorable. But as we have been very strong, domestic
GT driven brand. For us, we are - I would be very fair enough to say that we are more focused
on general trade, but we are doing well in modern retail as well. But still the focus is more on
GT.
Ankit Kedia: Any particular reason why? Because modern trade is only 3% of our sales, which is compared

to the country modern trade is more than teens kind of a contribution. Right ?
Santosh Raveshia: We have a typical good problem, as I said that is supply. So whenever it is meeting the demand of the customer, we try to meet the demand of those general trade in priority. So this is the reason we are unable to justify right now to our modern trade customer . But with the growing capacities and all , we will be able to justify them as well very soon.
Ankit Kedia: Thank you so much. All the best.
Moderat or: Thank you. Next question comes from the line of Manish Goyal with Thinqwise Wealth Managers . Please go ahead.
Manish Goyal: Yes. Congratulations, Santosh bhai and Ra hulji. I have a couple of questions. First on the capacity expansion, what we are doing, like probably adding to like square feet and adding capacity for wooden pencils. So would it meet our 25 % growth for FY '25? Or w e still have some capacity left for growth in FY '26? Just want to know like what kind of revenue capacity are we creati ng at the existing facility? That was question one.
And second on, again, question related to capacity, like at our greenfield facility, I believe it will be over phases. So , what is the plan for phase 1 in terms of how much capacity we are creating? What is the capex we are likely to do? When do we expect the phase 1 to start co

ntributing in
terms of revenue? Will it have probably a better asset turn than the existing facility? These were a couple of questions. I have a couple of more and I'll come back t o it.
Rahul Shah: So Manish, honestly, capital expenditure or capex capacity addition is a continuous process. So what we spoke about guidance of growth of revenues of between 22 %-25% for the current financial year was basi s the capex plan we have in the c urrent year. There is a capex plan for the year next also.
So capacity addition is going to be a continuous process and that will drive our revenue growth for the next few yea rs in the short to medium term. In terms of the greenfield expansion to the land area that we have, which is about 44 acres, this eventually we will be able to have about 1.8 million to 1.9 million square feet of space dedicated for manufacturing activities. This development will happen in a phase -wise manner. In first phase, we will have 600,000 square feet of development in terms of building area. In second phase, another 600,000. And in the third phase, between 600 ,000 square feet to 700,000 square feet will come in.

So over a three -phase sort of a project, which we believe will co nclude by FY '27-'28. So and that's where capacity addition would keep coming in. In terms of putting in the numbers we would want to take this as and when it comes in because we would, depending upon the market dynamics, the need of the market, we want to keep that flexibility in terms of where and which segment we would like to grow. But in the near term, like we mentioned, the focus is going to be on writing instruments, adhesives, fin e arts and scholastic stationery pencils predominant ly.
Manish Goyal: Sure, Rahul bhai. So probably when do we expect this phase one of 600,000 square feet to start?
Rahul Shah: So I think by first quarter of FY '26-'27. So by March -April 26, we expect it to start.
Manish Goyal: Okay. And what would be the capex in the phase one, sir?
Rahul Shah: The overall capex, like we put in the prospectus, the overall capex for this project was about INR 450 crores. So that was the phase one. This is about 600,000 square feet that we are talking about, out of which land, which we'd alre ady purchased, was already done. The remaining was about INR 380 odd crores for which, which would be spent across the next couple of years.
Manish Goyal: Sure, sir. And last question on, we were probably looking to enter the toys category also. So any plans on that which you would like to share?
Rahul Shah: So Manish bhai, for us the toy, the acquisition we did in the toy segment was more to understand the market, understand what sort of product needs to be developed and to see how these products can complement in our existing distribution network. So we continue to remain in that phase.
We are focusing right now in redesigning the product to match the current distribution network of our company with the feedback and the learning that we are getting.
We are slowly changing the product mix with the requirements. So o nce this learning phase is over then we would be in a better position to answer your question in terms of how do we see the future panning out for this product category.
Manish Goyal: Sure. Thank you so much and wish you all the best, sir.
Moderator: Thank you. Thank you. Next question comes from the line of Mohammed Patel with Care Portfolio Managers Private Limited . Please go ahead.
Mohammed Patel: Yes, I have one question. So just wanted t o know your thoughts on the industry. How is the back to school quarter panning out versus last year? And also, what are your expectations for the industry growth for FY '25 versus '24?
Rahul Shah: So honestly, for us, things are moving as anticipated. We continue to grow every quarter . At a

broader industry level

, honestly, we do not have any exact numbers because we are present
across different sub segments of the industry. But for our product s, for our , in the market that
we are present, we are seeing good traction and we believe the momentum would continue.
There would be a continuous growth for us and we will be able to achieve the target that we set
for ourselves.

Moderator: The next in line is Bharat Sheth with Quest Investment Advisors. Please go ahead.
Bharat S heth: Thanks for the second time opportunit y. So is that fair understanding that we need to
continuously invest in the capacity to grow our business? That's a fair thing because the
opportunit y is humongous. So in order to understand. Hello.
Rahul Shah: Yes, Bharat bhai, go on.
Bharat Sheth: So understand that how this capex funding we will be able to meet or do we have to again visit
the market or?
Rahul Shah: So Bharat bhai, partly yes, we wi ll have to in the short to mid term continue to invest in
increasing our capacities . In terms of meeting the capex requirements , we believe with the funds
that we've raised from the market currently and going forward the internal accruals the company
will generate , we will be able to meet our funding requirements, especially to the three phases
of this expansion that we spoke about.
Bharat Sheth: Okay. Thank you very much and all the best.
Moderator: Thank you. Next question comes from the line of Prathames h Dahake with Motilal Oswal . Please
go ahead.
Prathamesh Dahake: Hi, sir. So writing instruments happens to be one of your future growth drivers. So wanted to
understand how big do you see this business becoming in the next three to four years in value
terms?
Rahul Shah: So Prathamesh bhai, at the product level, we would not really want to give any sort of a specific
guidance. But like Santosh bhai mentioned that with the initial launch with the limited number
of SKUs, we have seen a good positive response from our trade partners as well as our
consumers. And the company has plans to continue to increase its product offering in this
segment. A new capacity is also being added. So we believe this would become a key goal driver,
but we wouldn't want to comment anything on the specific number with respect to this segment.
Prathamesh Dahake: Sure. So would you give us some color of...
Santosh Raveshia: Prathamesh bhai , I would also like to add here that we would be fully conscious about our assets
turn rationales as well.
Prathamesh Dahake: Okay. So with the existing writing instrument capacities and the ones which are coming live,
can you give us how much capacity will we have and what is the revenue potential or something
like that?
Rahul Shah: Curren tly, our capacity that we have for the overall pen business is about 2 million pens per day.
We are currently in the process of having test runs at the new facility where we will be able to
add another 1 million pens per day in terms of capacity. So we wil l overall have about 3 million
pens per day in terms of capacity. And then, as we mentioned, with the construction now on in

full swing at the 44 acre plant, once that building is ready, then we'll add more capacity for our
writing instrument business.
Prathamesh Dahake: Okay, sir. Understood. That's all from my side.
Moderator: Thank you. Next question comes from the line of Priyank Chheda with Vallum Capital . Please
go ahead.
Priyank Chheda: Sir, my question is on distribution. We are present in 1.25 lakh retailers. How much of the
universe is yet unmet or untapped? And within the existing coverage, how are we tracking the
throughput to increase? So the two parts of the question is, one, how much do we plan to add
which is unmet and how much depth can we c reate within the existi

ng distribution channel?
Santosh Raveshia: So basically, as of now, as you said, we are catering to around 120,000 plus retail outlets. What
is important for DOMS today is to service the already existing customer to the fullest. So we are
not right now because we have this problem of supplies . We are not right now adding more retail

outlets to our universe. We want to, first of all , fully satisfy the needs of the existing one. And once we have the new plans in place, new capacities in place, we'll be adding more outlets going forward.
Priyank Chheda: Perfect. And so what would be the sales contribution coming from the new products that we have developed over the last one year or two years, whatever numbers you would like to call out for?
Rahul Shah: Specifically, like I mentioned, at product level, we would not want to give any numbers. But as you can see from our sales mix, Scholastic Stationery has done better than the company growth rate because of capacity additions and higher rev enues within the segment in crayons and watercolour pens. Office Supplies has done better, which has been driven by increasing capacities for pens. So these are the products which have done better. So has Mathematical Instrument Boxes and Wooden Pencils.
Priyank Chheda: Perfect. Thank you.
Moderator: Thank you. Next question comes from the line of Sunny, an individual investor. Please go ahead.
Sunny: Yes. I just want to know that in the last two quarters, your material cost as a percentage of sales has com e down about from 61 % to 56%. So is it due to a better price realization or a decrease in raw material price or something like that?
Rahul Shah: Sorry, we couldn't get the first if you can just ask the question.
Sunny: I just want to know that your gross m argin has increased in the last two quarters from the earlier two years. So what is the reason behind it? The increase in gross margin.
Rahul Shah: So the increase in consumption margins have been on account of three factors. One, our ability and to increa se the selling prices have resulted in our ASPs increasing a bit, which has been

because of increase in selling prices as well as change of product mix. At the same time, there have been certain cost rationalizations that have happened because of better pr ocurement. And lastly, like I said, there have been certain products which we recently enhanced capacities where, material consumption in the overall cost is lower and direct expenses are higher. So, that change of mix at the product level with more sales from product with lower consumption margin, but higher direct expenses that has also resulted in consumption margins improving.
Sunny: And secondly, can we explain, is there any seasonality factor between the four quarters or is it even out throughout the year for your entire sales?
Santosh Raveshia: So, Sunny ji, you will see that, DOM S product split, is in a way that, it has got very low limitations of, back to school seasonality. So, there are major of products which, are used, mainly daily, by kids, in the day -to-day activities. So, we don't have, of course, there is a back to school time, but stil l as a company, we have a very balanced, quarterly business, happening at company level.
Sunny: So, it's more or less similar throughout the year, your entire sales?
Santosh Raveshia: Across, yes . There is more demand, there is too much demand , at the time of back to school, but still, the demand is not always, settleable .
Sunny: And so, lastly, you were commenting about a new product for the toddlers. Can you throw some more light or is it confidential as of now?
Santosh Raveshia: A little bit , maybe in next call, we can have more discussion on that, if you are okay.
Sunny: Okay, sir. That's it. Thank you, sir. All the best, sir.
Santosh Raveshia: Thank you.

Moderator: Thank you. Next question comes from the line of Saurabh Jain with HDFC Life Insurance Company Limited. Please go ahead.
Saurabh Jain: Hi, sir. Thanks for the opportunity. I had a question on the previous remark that you made that some of the products for which you have expanded the capacity for which the consumption margins are hi gher, but the direct cost is also high. So, what do you mean here by the direct cost?
Rahul Shah: So, there are certain products in our, where we manufacture, where in that particular cost sheet of that product, you will see the consumption of material bei ng lower, but direct cost like electricity, direct labour, that being a little higher, right . So, that is why, the consumption margin looks better, but you will see a little bit increase in our employee cost also , which would partially offset the margin improvement.
Saurabh Jain: And my other question is, since you're expanding very fast on this writing instruments category, even in the existing facility and then the new plant you're setting up, and along with that other

categories in the art material seg ment. So, just want to understand from a EBITDA margin perspective, are these categories margin accretive from the current like overall margins or are they in the same ballpark range?
Rahul Shah: So, as we'd always mentioned earlier also, across almost all our product categories, we work with a very cost sheet sort of a driven approach, keeping the targeted EBITDA in mind, and that is how the products are priced. So, even for this product segment, this is where we would like to be and, that makes us a littl e more comfortable as well.
Saurabh Jain: No, I understand that. What I'm asking is that in terms of the expansion that you're doing in the select few product categories, those products have higher margins than your overall average currently or that can le ad to margin expansion in the future or how is the case? I'm just asking from the…
Rahul Shah: Only, Similar margins.
Saurabh Jain: Similar margins. Okay.
Rahul Shah: Yes.
Saurabh Jain: Yes, that's it from my end. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question and answer session. I would now like to hand the conference over to the management for closing comments.
Santosh Raveshia: So, thank you everyone for joining over this call. We look forward to talking to you again very soon. Thank you everyone. Bye-bye.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.
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Call: Aug 2024

"DOMS Industries Limited
Q1 '25 Results Conference Call "
August 13 , 202 4

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MANAGEMENT : MR. SANTOSH RASIKLAL RAVESHIA – MANAGING DIRECTOR – DOMS INDUSTRIES LIMITED
MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER – DOMS INDUSTRIES LIMITED

MODERATOR : MR. NILESH PATIL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to DOMS Industries Q1 FY25 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference has been recorded.
I now hand the conference ove r to Mr. Nilesh Patil from ICICI Securities. Thank you and over to you, sir.
Nilesh Patil: Thanks, Sumit. On behalf of ICICI Securities, we welcome you all to Q1 FY25 results conference call of DOMS Industries Limited. We have with us Mr. Santosh Rasiklal Raveshia , Managing Director, and Mr. Rahul Shah, Chief Financial Officer. Now I hand over the call to the management team for their initial comments on quarterly performance and then we will open the floor for question -and-answer session. Thanks and over to you, sir.
Santosh Raveshia: Thank you, team. Good afternoon, everyone. It is our pleasure to welcome all the participants to the earnings call conference for the first quarter ending June 30 th, 2024. Joining me on this call is Rahul Sha h, our CFO, and the team from Marathon Capital, our Investor Relations Advisors .
I look forward to the opportunity to go through the Investor presentation and the result release that we have uploaded on the exchanges on our company's website.
The start to the financial year 2025 has been positive. Despite the challenges caused due to extreme weather conditions during the first quarter, DOMS has sustained its growth trajectories with continuous momentum in sales and an improvement in margin profile. Our con tinued focus on innovation, unique product design coupled with our inheritance manufacturing focus supported by a well -entrenched distribution network, working seamlessly in tandem are the key contributors for this performance.
The encouraging market acce ptance of our recently introduced writing instrument range of our product is a testimony to a steady and focused approach to product development. We continue to further deepen and widen our portfolio in this category, and the newly commercialized manufactu ring setup of additional 1 million pens per day would further boost our capabilities.
Encouraging results like this reinforces our commitment towards continuous product development, keeping consumer needs and preferences top of the mind.
Supporting our gr owth agenda is our effort to further expand our manufacturing capacities with multiple ongoing projects, including the construction of an adjoining 44 -acre land parcel which commenced in Q1 2024. These initiatives are in line with our endeavo ur to capitali ze on the growth opportunities as well as to reaffirm and improve our market share in Indian stationery and art material markets.
Further capitalizing our brand value, manufacturing expertise, and distribution network, it is our continuous effort to not on ly work towards enhancing our market share but also to increase the targetable addressable market to continue on the growth momentum. Our recent initiatives are

aligned towards the same. Be it foraying into the toy segment with our investment in ClapJoy or

our entry into BTS segment with the acquisition of 51% in Speedo, or the recent announcement for the proposed majority buyout in a baby diaper company, Uniclan , we believe this opportunity to aid the accelerating growth of DOMS with the able support an d effort of experienced and trusted entrepreneurs.

With optimism about our growth prospects and confidence about our strategic initiative in terms of product capacity expansion, we at DOMS continue to d

edicatedly work to deliver excellence and aim at delivering the best for our esteemed consumers, shareholders and all our stakeholders.

With this, I would like to hand over the call to our Chief Financial Officer, Mr. Rahul Shah for the update on Q1 FY25 financial overview. Thank you very much.

Rahul Sha h: Thank you, Santosh bhai. Good afternoon, everyone. Coming to the details of our financial performance highlights for the quarter ended June 30, 2024. Our revenue from operations for Q1 FY25 grew by 17.3% to INR445 crores as compared to INR379 crores in the corresponding quarter last year. Sequentially, quarter on quarter too, we have been able to achieve a double - digit growth of 10.2%. This increase in sales was predominantly on account of change in product mix, increase in volume supported by our expand ed capacities in the writing instrument segment and scholastic art segment, coupled with marginal increment in our ASP.

The EBITDA for Q1 FY25 grew by 38.9% to INR86.4 crores as compared to INR62.2 crores in Q1 FY24, with a margin expansion of over 300 bas is points. Further, on pack front too, we saw further elevation in our margins from 9.6% in Q1 FY24 to 12.2% in Q1 FY25. PAT for Q1 stood at INR54.3 crores, growing sequentially by 15.7%.

The increase in cost price of certain key materials like polymers an d waxes resulted in consumption margins increasing by 0.9% on a consolidated basis, sequentially compared to Q4 FY24. However, the increase in consumption was offset by reduction in our other direct manufacturing costs and savings due to efficiency playing out on account of scale and size of operations.

On the operational front, we continue to focus on expanding our manufacturing capabilities to capitalize on the growth potential. Cash outflow towards capital assets including CWIP for Q1 FY25 was around INR 35 crores, which was primarily spent towards construction activities, plant machinery and equipment. In terms of construction, it was primarily towards capacity addition for our pen division as well as ongoing ca pex at our 44 -acre land parcel.

On the w orking capital front, we have seen a slight decrease in our working capital cycle to around 41 days from 47 days in FY24, primarily on account of decrease in inventory days. We believe in spite of growing operations, we will be able to maintain our working capital cycle to around 40 -50 days.

With this, I would request to open the floor for questions and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Per cy from IIFL Securities. Please go ahead.

Percy: Hi, sir. Just wanted to understand the thought process behind this acquisition of diapers. So, this is very unrelated to our current sort of business and type of products that we are in. Earlier, we had some plans to go into school bags, lunch boxes, water bottles, etc etera . So, we have done something about school bags, water bottles, lunch boxes is still pending.

So, I thought you would be thinking on those lines, but just diaper is something very unrelated. So, can you explain the thought process behind the same?

Santosh Raveshia: So basically this acquisition is in line with our objective to increase the breadth of our product offering to further diversify revenue streams by entering categories that are associated through growing years of kids, children and young adult s. This helps us to expand our targetable market size, which is always our aspiration.

And DOMS as a company has always looked at partnering with enthusiasti c partners who come with manufacturing expertise, product understanding and are looking for growth. We believe that the team of Uniclan fits our criteria and leveraging our distribution channel network and primary consumer

understanding, I am sure this will help the company to further expand this offering and targetable addressable market. And I think this could be another interesting thing

for the company to built up a very different organization.
Percy: So, sir, what is the brand name of this company and is it just a contract manufacturer or does it have its own brand which it sells directly to consumers?
Santosh Raveshia: I'll like to just say a little about the company. So Uniclan Healthercare is Mumbai based private limited company promoted by Mr. Vatsal Desai and Jaipur based Mehta Group , Jain & Bilala group . This company is engaged in manufacturing of baby diapers and baby wipes. The manufact uring is locat ed in Jaipur, Rajasthan, where they have installed capacity of around 400 million pieces of diapers annually.
The infrastructure is spread across 6,500 square meters of land area and construction of around 4,500 square meters. The company cu rrently has two diaper lines and third one is ordered and expected to be installed soon. T he brand name is Wowper .
Percy: Okay. So, 100% of the sale is B2C or is there any B2B also here?
Santosh Raveshia: Yeah . So, about 48% of the c ompany revenue are generated through the domestic distribution network. They are present in 12 states right now. 34% of the compan y's sales are in form of modern trade and e -commerce platforms. They have a strong presence on Amazon , Flipkart and Jio as well. And close t o 13% of the compan y's sales are coming from OEM as well.
Percy: Understood. And lastly on this topic, can you tell us what would DOMS be bringing to the table in this partnership and also just wanted to understand if the retail outlet is the same. My unde rstanding is that stationary shops do not generally store these products in any material

measure. So, if the distribution is different, the manufacturing is different, the brand is different, what is it that we are really bringing to the table in the partn ership?
Santosh Raveshia: So, like you know, as discussed, DOMS wants to be known as a company associated with kids that are growing, years and age. We would not want to limit our scope to stationary and art or office supplies. But be present across multiple products associated with kids and the ir growing years. So, we believe we can leverage our understanding of our consumers, their preferences, liking s, along with our growing brand presence and the distribution network to push these products global ly. This acquisition is very much in line with our objective to be associated and register a strong brand recall and expand our addressable market size.
Percy: Got it, sir. Got it. My last question is on margins. This quarter, we have done an all -time high margin of close to 19.5%. First of all, what is the reason for the margin expansion? And secondly, how do you think we should think about margins going into the next two to four quarters?
Rahul Shah: So, during the quarter Percy , consumption if you see has increased by about 1%. This was primarily due to increase in cost of raw materials, especially polymers, waxes, and even paper. However, this increase in consumption was offset by reduction in direct expenses on account of things in direct labo ur, power and fuel and other manufacturing expenses. This was approximately 0.8%. Further, the Company also benefited because of the rationalization and better absorption of certain indirect expenses like selling and distribution, logistics, etc etera , which decrease d by 0.7%, resulting in the overall EBITDA margin, moving from 18.8% to 19.4%.
Going forward, our margins would be in the range of about 17%.
Unicla n did revenues of about Rs 140 crores in FY24. The EBITDA margin right now, considering it's a growing comp any, is about 5%. So, when it will get consolidat

ed, we'll have
an impact on our margins. Also, the company has recently got the approval of shareholders and is in the process of giving out ESOP. ESOP accounting will have a little bit of impact. And hence, we belie ve the margins shall be close to 17% sort of the mark accounting for the raw material prices increase trend this year.
Percy: Okay. So, 17% including the new company you have acquired ?
Rahul Shah: Yes, including.
Percy: Okay. That's all from me. Thanks and all the best.
Moderator: Thank you. The next question is from the line of Sneha from N uvama Wealth . Please go ahead.
Sneha: Hi, sir. Good afternoon and congratulations in strong set of numbers. Just living down to your previous questions you've entered into diaper . Plus, you have also your MOA suggesting, you can actually cater to many more categories. And, categories mentioned that even garments and all. So, what's the strategy and where do we actually see ourselves in the next five years?

Probably, there is some vision there. Like you mentioned, you don't only want to stick around

to the stationery and art space. How are we s eeing ourselves panning out? And will the new facility that you're coming up with will it see any of these products or will it be only part of the exhibition? Some sense here would be helpful.
Rahul Shah: Sneha, sorry, I honestly was not able to get the qu estion very clearly. Your voice was echoing. Can you Repeat the question.
Sneha: Sure, it was more related to the alteration that you've made in the MOA, which is suggesting that you're planning to enter other categories like garments, of course, differenc e and models was something that we have discussed, but there are other categories that you recently entered the diaper . Could you help us understand the vision of the company that in the next five years, where do we see ourselves? What could be the major r evenue driver for us?
And also regarding a new facility, is the new facility going to take up any of the product or is it going to be purely state of the art and stationery company from the capacity perspective?
Rahul Shah: Sneha, basically, the current capacity expansion that we are doing in Umbergaon is basically for the stationary business, for the current business that we are in, where we are planning to increase capacities across our core products. The alteration that we have proposed in our memorandum is just to encompass , just to have that flexibility of adding new lines of business in future.
Like we said, like Santosh b hai mentioned earlier, we want to now be a more a kid s company rather than being referred to as a stationary and art material. And therefore, we ’ve incorporated these changes in our memorandum. As of now, there are no plans for other segments. It's just to allow flexibility for the future.
Sneha: But in these new categories, are we thinking of putting up our own manufacturing units, greenfield plants, or are we looking at similar sort of acquisitions, like if we have done for the toys business, like we have done with S peedo and now the diaper range?
Rahul Shah : So, for these sort of unrelated or other products, these are inorganic routes . We continue to evaluate every opportunity from multiple perspectives before finalizing upon something. We go through a detailed thought process, understand if the same fits in our strategy or no. But there are certain segments where, for example, where one of the clauses in the memorandum where we added is cosmetic pencils, that's a product which is very similar in terms of manufacturing capabilities to manufacture our wooden p encils , where we will take the organic route .
So, though not something is planned right now, but in future to allow us that flexibility where we can use our expertise, we've added that. And see, at DOMS, we've a

lways believed in
partnership and love working with experienced entrepreneurs in different segments. So, it will be more of inorganic for categories which are outside of stationery and art material or where we do not have our core manufacturing expertise.
Sneha: I'm sorry, Rahul, but we are fa cing challeng e in terms of hearing you.

Moderator: Yes, sir. Sorry to interrupt, Mr s. Sneha. Can you please use handset as your voice is not audible and clear?
Sneha: Sure, sir basically, just to extend your question, Rahul, here. You said inorganic expans ion, but what about the distribution channel? The current distribution channel will not be able to take care of any of these products. What's the plan here? Because a lot of these new er products will actually demand a complete new distribution channel, com plete new sales personnel. How are you planning to go about this?
Santosh Raveshia: So, Snehaji, there are, like, in our industry, there are, like two types of networks. So, and its like the consumer facing which, for our current products are our stationer y stores and other part comprises of super stockists and distributors. Our super stockists and distributors can support both these products, our super stockists and distributors network can be l everaged along with the current stationery products to expand the geographical reach of Uniclan . So, this is the overall plan.
Sneha: Understood , I think I'm unable to hear you all properly. I'll just take this offline.
Rahul Shah: Yeah, no problem. We can have a call.
Santosh Raveshia: Yeah, sure, Sneha. We can conn ect anytime.
Sneha: Sure. Thanks. Thanks and all the best to you.
Moderator: Thank you. The next question is on the line of Kunal Vora from BN P Paribas. Please go ahead.
Kunal Vora: Yeah, thanks for the opportunity. First one is on the Uniclan acquisition. Looks like the gross margins are 27 %-28%, which is low for a FMCG kind of a business. And they just about br oke even in FY23. Can you talk about how the numbers w ere for FY24? You mentioned that EBITDA margin was about 5 %. So, what kind of EBIT and net ma rgin you made and also your expectations for FY25 for Uniclan, both in terms of growth as well as profitability?
Rahul Shah: So, Kunal in FY24 also, the margin profile was similar. The company sales was around INR144-plus crores . Out of this, about 81 % plus sales came from their own brand, while about 13 % was

from OEM business. EBITDA margin is close to 5.1 %. And the gross margins are similar as per the last year's level.
In terms of sales guidance, it is too early for us to comment because we are still in the process of closing this transaction . While the diligence activities have been completed , we are in the process of finalizing the agreement s, the execution, and the closing is expected by either this month end or latest by the end of the coming month .
So, once the closing is done, then I think we would be in a better position to guide on the numbers from this business on what we can look at for current year and the coming years as well.

Kunal Vora: And would you look to raise stake in this business or you will be comfortable holding the 51 %-52% you are currently acquiring? And does the business need growth capital or what kind of capex intensity do you expect there?
Rahul Shah: So, Kunal , just to answer your second question first, the current acquisition that we are doing is structured through a primary infusion in the company where the company would issue us fresh shares as well as purchase of some shares from the existing shareholders o f the company. So, with the primary round happening, we think their capital requirements for the mid -term would be sorted. Then depending upon how the

growth and the business pans out we will be in a better position to understand future requirements .
In terms of r aising stake , if you see historically we have betted on partnerships. We want these partners to continue running the business. We believe they are the best drivers to drive th ese companies going forward a nd hence we would want to continue being a majority shareholder at about 51 -52 sort of a percentage and the rest of the promoters being in the company with 48 -49 sort of a percentage and driving the business.
Kunal Vora : Okay. And post your capital infusion what will be the debt level which this bu siness will have?
Rahul Shah: So current debt level is about INR 38 odd crores , this is the net fin ancial position of the company, but like I said the capital that we will be infusing would be used for some amount of capital expenses where the company is l ooking at expanding its manufacturing capacity for diapers and starting the wet wipes as a segment. So some amount would go to capex and rest would be towards working capital requirements. Then we would think about in the longer term how do we reduce debt or do we actu ally need to look at doing that.
Kunal Vora : Understood. I had a couple of questions on individual segments. So scholastic stationery seems to have grown in single digits. How do you see it for the full year and what's happening there?
Rahul S hah: So see if you compare from Q1 FY24 to Q1 FY25 within scholastic s tationery I would say the increase in capacities has come predominantly from mathematical instrument boxes which have where we've increased our capacities which has helped us in increasi ng the sales from this segment. No material capacity addition has happened in penc il during this said period. Like we'd informed earlier pencil capacity expansion is something which is in the plans right now. We expect this capacity addition to be availabl e by end of this financial year to early next year. And that is where we will see growth coming in from scholastic stationery as a segment.
Kunal Vora : Understood. Okay. And office supplies on the other hand seems to have doubled . So I think that should be because of the pen's capacity which has come in. So, how are you looking at this segment for the fu ll year ?
Rahul Shah: Yes. L ike I said we just commercialized our third unit for writing pens which has a capacity of additional 1 million pens a day. This got commercialized towards the end of June. So going forward , very soon our capacity for writing pens would increase to about 3 million pens a day.

And hence we believe this segment will contin ue to grow for us, at least in the next coming couple of quarters.
Kunal Vora: Okay , but let us say almost doubling year -on-year for the full year or even beyond that considering that there is new capacity coming in like say in next month or so?
Rahul Shah : So Kunal honestly at a product level, we are not giving any sort of a guidance in how much sales we'll be able to achieve, b ut like I said with this capacity being added, we believe that this would be a key driver for the growth in the current year.
Kuna l Vora: Okay. And wh at about international revenue t hat seems to ha ve declined or it seems flattish on a year -on-year basis considering that contr ibution is down from 18% to 15%?
Rahul Shah: Well in terms of a geographic sales analysis, domestic market con tinues to be our primary contributor and our primary focus for our sales jump. We continue to focus on strengthening the

presence of DOMS brand to capitalize on the demand for the product. Inspite of certain geopolitical issues , our exports to third party under the DOMS brand wit nessed about a 5% increase year -on-year while inter -company exports, you know, the exports that we do to FILA have been flattish . But it's more, you know,

for significant growth in the domestic market that has been basically our focus here due to the high demand that we are seeing for our products in the domestic market.

Kunal Vora: But international, what is the outlook? I mean, we expected that international will keep pace with domestic, but that doesn't s eem to be happening in the near term. For the full year, would you expect international to, like, say, grow at 15 %-20% or that seems difficult?

Santosh Raveshia: Kunal you know there is like enough demand from international market, but you know our priori ties always is domestic market , which is like, which is made with lot of efforts. So the priority right now with the capacity what we have is dedicated to domestic. Once we have new capacity as we discussed regarding pencil and other art material s, I am su re there would be a positive outcome on international sales as well.

Kunal Vora: Okay. Thanks, Santosh. Last question is, for the full year, are you on track for the 20 %-25% growth, considering that you started the year with 17% growth?

Santosh Raveshia: Yes, we are optimistic of being at, you know, close to that.

Kunal Vora: Sorry, I missed that. Santosh, can you repeat that?

Santosh Raveshia: So, we have this objective of, you know, being at 20%, you know, close to that. And this is going to be our objective.

Kunal Vora: Understood. Thank you. That's it from my side.

Moderator: Thank you. The next question is on the line of Meet Jain from Motilal Oswal. Please go ahead.

Meet Jain: Hi, sir. I have a few questions. First, on the current quarter, like, we saw very good growth in your numbers and the margin expansion also. We integrated our Skido brand this quarter. Can we attribute some kind of margin expansion due to that as well and growth also?

Rahul Shah: Meet, sorry, but can you just speak in the handset? Because, you know, again, the voice echoes a bit.

Meet Jain: Hello. Yeah. So, I just wanted to ask, in this quarter, we have integrated our SKIDO brand, right? So, the part of our margin expansion can be attributable to that also, because that also helps in the backward integration and also adds up the segment.

Rahul Shah: So, Meet, it is very early days with SKIDO. In the quarter, the revenues from SKIDO were approximately Rs. 1.4 crores, and the company did EBITDA margins of about 8 - 8.5%. Out of that, about Rs. 40 lakhs was sales from SKIDO to DOMS , which is a part of our backward integration play, and about Rs. 1 crore was from third -party orders. But like, you know, we are right now at SKIDO developing the range of products and being ready for the upcoming back -to-school season. And that is where we believe, you know, once the product gets launched very close to the back -to-school season, there we see, you know, a sharp jump in revenues from this company. But otherwise, right now, it's very early days with SKIDO. It's been just a quarter. They started operations from 1st April, you know.

Meet Jain: Got it. And another question is regarding this integration of Uni clan. So, we mentioned that the transaction will be completed in September. So, from Q3, we can expect the dip in the margins going ahead, right, with that integration?

Rahul Shah: So, there will be some amount of, you know, adjustment that could happen in margin consi dering that it's a growing company and their current EBITDA margins are close to 5 - 5.1%. So, yes, we will see a dip due to the integration in the margin happening from Q3.

Meet Jain: Oh, understood. And I missed a point on our guidance regarding the top -line growth.

Rahul Shah: So, we are at about 20%, close to 20%.

Meet Jain: Okay, 20% top -line growth. Okay, understood. And last thing is that on the strategy part, so we have our new land parcels and we mentioned that we'll be focusing on stationary

capac ity expansion there. So, our strategy has been partnering with companies across India and segment. So, going ahead, can we expect the partnerships to have their own manufacturing facilities and we'll look for that itself rather than focusing on increasing capacity at a facility?

Rahul Shah: Meet , it would be a mix. There would be, you know, like certain products, for example, like diapers, bags, probably other products in the back to school segment for which we might look at inorganic as an option. But our core stationery is something which we are there and we would definitely continue. T his entire 44 -acre expansion plan is gearing up towards adding capacity for our core products.

Santosh Raveshia: So, Meet, we are more skilled for stationary and sholistic. So we would like to more focus on what is our core and our skill. And for the others , where we need skillful people, there we would like to depend on an inorganic route. This is what the ideology is of the company.
Meet Jain: Understood. And I just wanted to elaborate on one question that one participant asked regarding the distribution channels, as these are very different categories. However, the target audience is the same, but the categories are different, like for diapers. So we have to create a new di stribution channel and to grow that as a new entity. So what is the strategy towards that?
Santosh Raveshia: So, today, for example, whatever distribution channel we are operating, our distribution channel is more of FMCG distribution channel. So there are a lot of distributors of DOMS who are distributing food and hygiene as well. So as far as, you know, we don't have a common end seller, which is a retailer, for sure. But the super stockists and the distributor channels are very complementing for both the businesses. We can easily leverage our distribution channels, help them to reach out to more states where the presence is right now 1 2 states. So, maybe with our support, this particular business can reach out to all the states and union territories.
Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments . Please go ahead.
Onkar Ghugardare: Given all the manufacturing capacities you have, like can you quantify how much pieces of pens and pencils do you make and what is the targeted number in the future, given you have expanded recently and upcoming expansion?
Rahul Shah: Right now in terms of pens, with this new plant o perational, we'll soon be to a capacity of 3 million pens a day. In terms of pencils, during this term, we've not added any significant capacity. It is similar to the capacities that we had last year. But in this coming year, we have plans to add capacities, which would be coming up by the end of the last quarter of this year or early next year.
Santosh Rav eshia: And that would be by how much, approximately?
Rahul Shah: So right now we are at about 5.7 million pencils a day. And with the new plant, we'll be adding another 2.5 million pencils a day. These are wooden pencils. So around close to 8 million - 8.5 million pieces a day.
Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited. Please go ahead.
Jinesh Joshi: Again, I'll just move to the entry in baby care, which was the center point of the call. Sir, can you highlight how big is the opportunity size here and what is the market share of Wowper ? And also the fact that in FY '24, we saw the revenue decline a bit. So, if you can explain what was the reason behind it and how do we plan to scale it up from here on?

And also related follow up is that you mentioned that the EBITDA margin for Uniclan is about 5.1%. And maybe it has been an

early growth phase and hence the margins are a bit lower. But on a steady state basis, what can be the EBITDA margin for this particular product?
Rahul Shah: So, in terms of market opportunity, in diaper markets around $2 billion. And it is expected around, $3 billion over the next year. The penetration of diapers today is about 10%. It's very low compared to, the global average, which is upwards of 20%. And in developed countries, upwards of 50%. S o, hence, we believe the opportunity in terms of market size is very large. Uniclan with its brand Wowper is, more of a new entrant in this segment, where they started their operations in 2020, when they did sales of about, INR1 3-odd crores and they've gro wn up to about INR144-plus crores now. So, they are growing and with our, the synergies that we see in this acquisition, we'll be able to grow the business a bit faster. So, the market share right now of this brand is very small, but the opportunity is ver y big.
Jinesh Joshi: Got that. And sir, you also mentioned during the call that the money which we are putting into the company, the 52% stake for about INR55-odd crores, some bit of it is a fresh infusion which is coming into Uniclan and some bit of it is pertaining to the shares which you are planning to buy from the existing promoters. So, can you highlight how much fresh money is coming? And you also mentioned that you're looking to expand the capacity. So, if you can share, what are your plans on the e xpansion side?
Rahul Shah: So, the primary infusion is close to approximately INR29 crores and the balance would be for secondary purchase of shares. The company today has two lines for manufacturing diapers and they've already placed an order for acquirin g a third line. The current capacity is about 400 million pieces of diapers per year and about, with the new wet wipe machine which they've

already acquired and are in the process of installing . With the new diaper manufacturing capacity being added, anoth er 250 million pieces a year would be the capacity.
Jinesh Joshi: Sorry, sir, your voice was not fully audible. So, I'll repeat. The primary infusion number, if you can just share. Sorry, I just missed that. You're not audible at that point in time.
Rahul Shah: Yes. So, the primary infusion is of approximately INR 29 crores with the balance secondary purchase.
Jinesh Joshi: Got that. And sir, the incremental capacity which will come is 250 million, right? That is what you mentioned. And the current capacity is 400 million and incrementally will be 250 million, right?
Rahul Shah: Yes, yes. With the two machines that they already have, the capacity is 400 million and with the third machine which will be installed, it would be another 250 million installed capa city.
Jinesh Joshi: Got that. So, one last question from my side. I think in the call also it was mentioned that some of the distributors of DOMS are probably distributing some food and hygiene products and perhaps we may not have to take or rather create a separate distribution channel, if I heard right.

So, out of 125 superstocks that we have, how many are also distributing the food and hygiene products currently?
Rahul Shah: So, about 15 to 20 are already in this business. But like I said, the se are rela ted lines like pharmaceuticals and all which can be leveraged for this. So, that is an additional number .
Jinesh Joshi: Okay, sir. Thank you. Thank you so much. All the best.
Moderator: Thank you. The next question is from the line of Yash from Stallion As set. Please go ahead.
Yash: Hi. Thank you for the opportunity. Congratulations again on a great set of numbers. So, my question was basically on clarification on the revenue guidance because if I understand, last call we had said revenue guidance was 22 % to 25% for FY '25, right? And given

the ramp up that
you've seen in your office supplies for the pen category as well as the inorganic equation that you're doing. So, my assumption was that we can grow 25% this year as well. So, I just wanted to understand your take on that.
Rahul Shah: Yes, we just want to clarify. I think the inorganic opportunity that you just talked about additional. So, our core business guidance is about 20% and plus inorganic what we add. That would be in addition.
Yash: Okay. So, it's 20%. Fine. Got it. And so, second question was that as far as the margins are concerned because this again, 19.4% is one of the highest margins that we've seen in the company. So, do we believe that the margins can sustain to about 19 % - 20% given the decrease in the manufacturing cost and indirect cost that you're seeing? So, broadly, my estimate for PAT was about INR 210 crores. Is that, will that be way off or will it be closer to that number?
Rahul Shah: Margins , like we said , due to the cost incre ase of polymers , waxes and some other products continue to increase and therefore the consumption as well. However, we have seen efficiency playout and expect some further improvement. With increase in raw material prices trend expected to continue , therefore, whatever benefits that we get from efficiencies are likely to offset. And plus, like we mentioned the Uniclan acquisition would, which would be consolidat ing for at least for six months at minimum in the books , will have a little bit of a negati ve impact on the margin. And similarly, the ESOP plan which the Company is proceeding with, the ESOP accounting, we believe there would be further a little bit reduction in the margin. And hence, we believe that we will be close to 17% on the margin in the full year.
Yash: Thank you very much.
Moderator: Thank you. The next question is from the line of Mohammed Patel from Care Portfolio Managers Private Limited . Please go ahead.
Mohammed Patel: Yes. Hi. So, my question is, how is the stationery industry per formed in the Q1 season and which segments were the best and the worst performance?

Rahul Shah: So, in the industry , there have been a little bit of challenges especially because of the weather conditions during the first quarter . There was an extreme heat wave in North India , schools got shut early and opened late, which was followed by very heavy rain, which again impacts the functioning of schools. So, the market environment was definitely a bit challenging. But like we earlier said, we saw a positive start at DOMS . So, we believe this momentum that we are seeing right now will continue in the full year as well.
Mohammed Patel: So, my second question was on this line only. So, our performance was much better than the

listed peers. So, they were experien cing a sluggish or a negative sales growth. So, what explains the better performance for DOMS ?
Rahul Shah: So it's the same thing we believe in making good products. We continue to focus on innovation, product designing, product engineering. We believe in getting close to our distribution network, to our consumer through engagement. We are doing the same thing that we've been doing, and we believe that it's working well. And, we are really happy with the continued love and affection that we continue to get from our consumers.
Mohammed Patel: So, the external environment would have impacted us also, right?
Rahul Shah: Yes the external environment did affect us . Yes, if things would have been normal, I think we would have done better.
Santosh Raveshia: It's all about, like, I would also like to, appreciate here, our distribution. When the scenarios ar e not in our favor, our distribution partners have always performed and shown result s beyond expectations. And the same happened, in this quarter as well. They

all went all out, and I think,
market also, the retail market also sup ported when we got the priority .
Mohammed Patel: So, in actuali ty, we increased our market share and the distribution and the innovation has led to this.
Santosh Raveshia: Yes.
Mohammed Patel: Thank you.
Moderator: Thank you. The next question is on the line of Percy from IIFL Securities. Please go ahead.
Percy: Hi, s ir. So, just sorry, I got disconnected. So, you said that you wanted to expand your area of operations and be connected with growing children and their needs. So, just wanted to understand what comes within this playing area. So, would you sort of say that at some point of time, something like a baby food would also be part of your endeavor or something like clothes for toddlers or children would also come under this umbrella?
Because that sentence which you mentioned, that opens a very, very large sort of number of industries or categories. So, as investors, how do we sort of judge what you would be okay entering and what you would stay away from?

Santosh Raveshia: So, like, Percy, before finalizing upon something , there is a detailed thought and discussion on how it could fit in to our future growth objective and this financially accreditive to all the stakeholders. However, at this time, it is difficult to pinpoint or deliber ate upon any specific category. I can s ay, that Uniclan is a positive opportunity .
Percy: Secondly, would you be able to tell me on Pens, how is the current run rate progressing in terms of your monthly run rate of sales? And secondly, are we still focusing only on the INR 5 price point here or we are more sort of balanced in terms of our price point focus now?
Rahul Shah: So, Percy, we are in the process of launching many additional SKUs within the segment and during the last quarter also, a couple of new SKUs were launched in this segment . In terms of run rate and like I said, we are in the process of building capacity. The additional 1 million per day Pen f acility got operational towards the end of June and we will steadily increase our capacity utilization there as well. So, it's happening organically there but couldn't want to give any specific numbers in terms of how much sales are we looking at or what are we planning to do there.
Percy: Understood. And in terms of the price point, would INR 5 price point still be like 70% plus of our sales?
Santosh Raveshia: Yes, as of now, INR 5 is 70%. But we are bringing a lot of new variants in INR 10 & INR 5 segment as well. But as you know, our target consumer is mainly kids and core focus is more on INR 5 segment.
Percy: Yes, that's it from me. Thank you and all the best.
Moderator: Thank you. That was the last question. I will now like to hand the conference over to the management for the closing remarks.
Rahul Shah: Thank you everyone for attending this conference call. Thank yo u the ISEC team for hosting us. We look forward to your continued interaction and we'll be in touch and happy to answer any other additional queries that you all may have.
Santosh Raveshia: We appreciate your interest and thank you very much.
Moderator: On behalf of ICICI security, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

“DOMS Industries Limited
Q2’FY25 Earnings Conference Call ”

November 11, 202 4

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MANAGEMENT : MR. SANTOSH RAVESHIA – MANAGING DIRECTOR , DOMS INDUSTRIES LIMITED
MR. RAHUL SHAH - CFO, DOMS INDUSTRIES LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to D OMS Industries Limited Q2 FY25 Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presenta tion concludes . Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi fro m IC ICI securities. Thank you and over to you , sir.

Aniruddha Joshi : Thank you . On behalf of IC ICI Securities, we welcome you all to Q2 FY25 Results Conference Call of DOMS Industries .

We have with us today Senior Management represented by Mr. Santosh Rav eshia - Managing Director and Mr. Rahul Shah - CFO.

Now , I hand over the call to the Management for their initial comments on the Quarterly Performance and then we will open the floor for question and answer session. Thanks and over to you , Santosh bhai.

Santosh Raveshia : Thank you very much , team. Good evening , everyone. It is our pleasure to welcome all the participants to the Earning Call Conference for Q2 and H1 FY25. Joining me on this call is Mr. Rahul Shah - our CFO and the team from Marathon Capital, our Investor Relations Advisors.

Hope everyone had an amazing Diwali. We wish every one of you and your family a very Prosperous New Y ear ahead.

We are pleased to inform you that we have successfully completed the acquisi tion of 51.8% stake in Uni clan Healthcare Private Limited , a growing company engaged in manufacturing and marketing of baby hygiene products , mainly diapers and wipes. Our teams are now focused on expanding the distribution network of Uniclan. We recently held our annual sales conference in Jaipur wherein we also took an opportunity to introduce our entire channel family to the management , products and manufacturing infrastructure of Uniclan. The response from our channel partners as expected has been excit ing. We are optimistic about our growth strategy in the baby hygiene segment and strongly believe that this acquisition shall have an overall positive impact on our growth plans.

During the quarter, we have been able to achieve a year-on-year sales growth of approximately 20% in the first half of the current financial year, l argely driven by increasing sales of Writing Pens, Adhesives and Kits & Combination Packs as well as the positive impact of the Uniclan acquisition. We would like to thank our entire te am and channel partners, whose efforts have helped us to achieve this growth in otherwise a difficult period with challenging demand

conditions in the domestic market as well as growing global geopolitical tensions , especially in Middle East. The growth is also reflective of strong acceptance and expanding reach of DOMS brand and its unique product proposition.
DOMS domestic sales with an increase of 25% continue s to be the main driver of growth and now constitute s 85% of our total sales. Leveraging our market network strength and following the technology and data -driven approach, we have been able to further strengthen our network in India, which has led us to this growth.
On the export front, owing to geopolitical ten sion, especially in Middle East, our export revenues have marginally got impacted , but we remain persistent, though watchful and vigilant, to capitalize on the growth opportunities in the export markets as well. We foresee improvement in export business co nditions and going forward , as we have started receiving encouraging feedback from most of our customers across all the territories we operate.
On the product development and new product launches, I am pleased to share that we

continue
to introduce innovat ive and fascinating offerings for our consumers during the quarter. We have introduced new SKUs in Writing Instruments, Marker Pens, Adhesives, Kits & Combination Packs , Fine Art products, and other scholastic stationary materials. As always, we have received very encouraging and positive response from our consumers for these launches.
With regard to our core stationary and art material business, we continue to focus on increasing our manufacturing capacities w ith multiple ongoing projects, including the construction at the adjoining 44 acre land parcel. In the last few months, we have successfully increased the production capacities of mathematical boxes by 20% , paper stationary product by 20% post installation of the third automatic exercise book manufacturing line and are underway to increase capacity utilization of third Pen plant to reach the capacity of 1 million pens per day additionally.
Going forward, we are excited to kick off the upcoming back to schoo l season with increas e in our capacity of Pencils, Ballpoint pens and Paper Stationary products . Further the planned launch of school b ags, which will be launched in the market starting from Q4 FY 25 with attractive and interesting designs in all our sales verticals. Our business fundamentals overall remain strong with all the underlying metric es in place of strong pipeline of new products , increasing capacities , targeted market expansion strategies and a well en trenched distribution network.
With this work ing seamlessly in tandem, we are on track of achieving our full year target of close to 20% growth in revenues for our core stationary and art material business.
With this, I would like to hand over the call to our Chief Financial Officer – Mr. Rahul Shah for the update on Q2 H1 F Y25 Financial Overview . Thank you very much and happy New Year again.

Rahul Shah : Good evening , everyone . Wishing you all a great New Year. We would now like to highlight the details of our Financial Performance for the Quarter and 6 month s period ended September 30, 2024.
To begin with, a quick overview on the consolidated Results for the 2nd Quarter Financial Year 2025. Consolidated operating revenues for Q2 FY25 stood at ■ 457.8 crores, a growth of nearly 20% compared to the same quarter last financial year. This increase in sales was predominantly on account of increase in sales from office supply segments , on account of increase in sales volume of Ballpoint Pens, increase in sales of Mathematical Boxes and Erasers in the Scholastic Stationary segment , increase in sales of Adhesives and Kits & Combination Packs .
The EBITDA margin for Q2 FY25 stood at 18.8% as compared to 17.1% in Q2 F Y24. EBITDA grew by 31.7% to ■ 85.9 crores as compared to ■ 65.2 crores in Q2 FY24 with a margin expansion of nearly 171 basis point s. This margin expansion year-on-year was on account of slight increase in ASP's as compared to the previous year same quarter. Also , we have benefited from efficiencies playing out on account of increa se in scale and size of operations resulting in better fixed cost absorption. As a result of these factors and on account of increase in other income and lower finance costs , on the PAT front also, we saw improvement in our margins from 9.8% in Q2 FY24 to 11.8% in Q2 FY 25. PAT for Q2 FY 25 stood at ■ 53.7 crores.
Talki ng of our half yearly Results :
Our revenue from operations grew by 18.5% to ■ 902.8 crores in H1 FY25 from ■ 761.8 crores in H1 FY24. EBITDA for the first half current financial year grew by 35 .2% to ■ 172.3 crores from ■ 127.4 crores in H 1 FY24 . Further, our PAT also increased from ■ 73.9 crores in H1 FY24 to ■ 108 crores in H1 FY25, a growth of approximately 46%.
Sequentially , quarter -on-quarter, our revenues from operations have grown by 2.9% to ■ 445

cror

es reported in Q1 FY2 5. This sequential growth was primarily attributed to the consolidation of about ■ 14.3 crores of revenues from Uniclan , which we started consolidating effective September 16, 2 024. If we exclude the impact of the Uniclan acquisition, our revenues for the quarter were almost flattish compared to the immediately preceding quarter, which is in line with our historical trend as well when our revenues in the 2nd Quarter have been sim ilar to the revenues in the first quarter.
During the quarter, we saw an increase in our accounts receivable, accounts payable and inventory cycle. The reason for these increase have been the increase in trade receivable on a standalone basis as well as th e impact of the Uniclan acquisition which happened mid-month . Nevertheless , the working capital is still around 48.5 days, which remains within our targeted range of 45 -50 days.

On the CAPEX front , we continue to focus on expanding our manufacturing capab ilities to capitalize on the growth potential . During the first half of the current year , excluding the impact of the Uniclan acquisition at a consolidated level, the company has invested ■ 57 crores towards capital expenditures including capital advances . These funds were primarily invested for the construction activities and purchase of new plant and machineries. The CAPEX during the quarter was lower on account of halt in construction activities owing to the monsoon season. However, construction activiti es at our 44 plus acres facilities have now begun in full swing and we are on track to have our first building ready by Q3 FY26.
With this, I would like to open the floor for question and answers. Thank you.
Moderator: Thank you. We will now begin the ques tion and answer session. The first question comes from the line of Mr. Kunal Bora with BNP Paribas. Please go ahead.
Kunal Bora : I had a few questions. First, can you give us a full quarter performance of Uniclan, ■ 14 crores for 15 days look like better r un rate compared to what you had when you acquired the business, maybe around ■ 150 crore and what is the outlook for second -half for Uniclan? And also if you can provide some sense on like you mentioned that you got good response from the distributors, what kind of benefit should we expect in the near term from that ?
Rahul Shah : Kuna l bhai, so Uniclan acquisition was completed on September 16, 2024. So it became our subsidiary effective that date for the 15 odd days of consolidated numbers that we have in , we had revenues of about ■ 14.3 crores. From a run rate perspective, the monthly run rate of Uniclan is betwee n ■ 15 - ■ 17 crores , but typically what happens with their size, a lot of their revenues get booked during the later half of the month. That is how typically that business operates. So from a current capacity perspective also , we believe Uniclan will continue to have a run rate of between ■ 15 - ■ 17 odd crores. Like we mentioned earlier, currently they have two automatic manufacturing lines with a total installed capacity of 40 crores diaper per annum. The third line has already reached Indian s tores. It is currently under clearing from the ports , should come to the factory in the next week or so. And commercial production after testing and all sh ould start by the end of the current calendar year. So in the first quarter there , we might see some increase in revenues due to this , but right now , this is where the revenue guidance is. And with respect to margin like we highlighted in the previous call , Uniclan when compared to our other core business stationary and art material is slightly lower with EBITDA margins close to about 5 %- 7%.
Kunal Bora : And what is the visibility you have for FY26 and FY27 because new capacity will come on board, so current run rate implies you wi ll be doing about whate

ver ■ 180 crore kind of revenue.
So how does that look like in F Y26 and maybe if you have any visibility on FY27?
Rahul Shah : Kunal bhai, right now, like Santosh bhai mentioned, we had our annual sales conference this year at Jaipur . The intention was to introduce our family of channel partners to the Uniclan team , the Uniclan infrastructure , their products . In this event, we also showcased the DOMS c o-

brand ed diaper packaging to all of them. The response from our channel partners was very exciting. I think conservatively speaking , we should have close to about 50.
Santosh Raveshia: So 50 of our channel partners have already confirmed their interest to participate with this particular new line , and I think it should be , if this 50 gets materialized, it ’s enough .
Rahul Shah : So we should look at more from a utilization rate, capacity utilization of close to 85 %-90% in the coming financial year.

Kunal Bora : Which was 60% when you acquired the business, right and now it is what?
Rahul Shah : With the new plants for diapers and also they are installing a separate unit for manufacturing of the wet wipes, which will have a capacity of about 1.72 crore packs a year.
Kunal Bora : And can you also explain the guidance of 20% growth that I believe excludes Uniclan, right? And which will mean that the core business ex-Uniclan should have a stronger second -half compared to first half ?
Rahul Shah : Kunal bhai, yes, th e 20% growth guidance that we have for the full year i s excluding the impact of Uniclan . For those that core business, we are having a revenue growth target of close to 20%. The key driver for this growth shall be the increase in capacity in our Ballpoint pens, Adhesives , Fine Art products and hobb y products like fabric acrylic, fabric colors that we have recently launched . Further , we will also get a little bit of benefit from the increase in capacity of wooden pencils towards the last quarter of the current financial year. These factors, coupled with improving market sentiments and the beginning of new back to school season should help us achieving in the target growth of about 20% . Along with Uniclan being consolidated for the entire second -half of the Financial Year 2 025, our consolidated revenue growth for F Y25 should be approximately 23 %-25%. At Uniclan , we will be able to see i ncrease in volumes also as the production capacity shall rise once their third line is installed and ready for commerc ialization.
Kunal Bora : And paper business seems to have seen some decline. Is it because of decrease in paper price or anything else?
Rahul Shah : It is a mix of both two factors , one like you rightly said, this segment saw a marginal decline of about 6.4% during this period primarily attributed to decrease in a little bit of paper prices where we passed on the benefit to our consumers and customers and slightly sluggish demand especially coming on the export front from US. So as a result of these factors, we saw a slight decline, but we remain optimistic with launching new products . The entire design philosophy of our books , we are chang ing them, the new designing and everything it is something which is very fascinating. So we are optimistic for this segment and wit h the new line that we ha ve installed now, I think this business should see a significant up take in Q3 and Q4.

Kunal Bora : On the Pen business , how have you done, what kind of market share that you achieved, what is the industry doing and like whe n the new capacity comes on board, where do you expect to end the year in terms of sales?
Rahul Shah : Kunal bhai, historically also, we never guided for any particular product or how much we will do. But we continue launching new SKUs within our Pen segment also. Today , we primarily now have 5 different products within the Ballpoint Pen segment which among them have 22 + SKU's with different pack size and colors . We also recently launched our gel pens and h ave a strong new product pipeline to be launched as we increase the production from the new facility which got commercial ized. From our thought process for this segment, as you know, our most important custo mers have always been young kid s and c onsumption is more school driven , so company believes in having a rationalized approach towards new product development as well as pricing. So we will continue to focus on these segments, come out with new SKU 's, attractive packs, attractive products and we are hopef ul that we will soon be short of capacity for this segment also.
Kunal Bora : So currently, are you operating at full capacity or?
Santosh Raveshia : So currently we are operating with almost 100% , I can say capacity utilization . As Rahul bhai mentioned , we are mainly into ■ 5 and ■ 10 pens which are mostly addressed to school kids. So as of now , we are out of stock each day.
Moderator : Thank you. The next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.
Jinesh Joshi : Sir, one observation on our distribution mix. So if I look at our distribution count or rather the distributor count, it stands at about 4750, which is similar to what it was in the previous quarter , but if I look at our retail touch points, it has increased by about 10,000 to 1,35,000 touch points. So if you can explain the reason behind this and the quantum appears to be quite big, if I talk about the sequential increase , so any thoughts on that?
Rahul Shah : So, basically Jinesh, this increase has happened is basically at the retail level where we had about 1,25,000 plus retail outlets when we spoke last a nd now we have increased it by 10,000. This entire universe is huge, close to 300,000 plus retail outlets . Our current partners within the network, which are stockist s and distributors are well invested and capable enough of handling this larger volume from a retail expansion purposes and therefore we have not found the requirement to increase the distribution strength or the super stock ists strength. This is something as we grow, we keep evaluating. If we feel that our current channel partner for that particular geography is not being able to do significant justice, then only we try to open a new partner in the ecosystem . Till the time they are able to do justice , keep investing as per the requirements and norms of the company and if there is no such need, then this network expansion is really not

required. But retail expansion, as we mentioned, we will continue to do it in a very concentrate d way whereby we will ensure that the throughput each outlet is maximized and only then keep

increasing. And to meet the requirements of this retail universe, we have increase d the sal es team from 675 plus people, now that you see of 750 plus and this expa nsion will further happen.
Jinesh Joshi : Any specific geography that we have targeted because 10,000 appear to be quite big if I looked at the last 4-5 quarters or rather 3-4 quarters ?
Rahul Shah : So it has been almost pan India, n othing specific geography wise.
Jinesh Joshi : And I just want to understand th e topline growth a bit better. So we reported about 20% growth, but obviously a contribution of 3% comes from the hygiene product and if I look at our l ike-to-like growth and knock off the hygiene product revenue, our growth will be at about 16% ? And also I believe that pens as a category is blossoming and the contribution in 2Q will be much higher than what it would have been in the previous quarter although we are not sharing the numbers as such which apparently indicates that the growth in the other core categories is perhaps a bit slow , pa

per is one example that you gave that witnessed c ompared to decline this time around, so are we seeing any kind of growth challenges in any other category because apparently , it appears that newer categories are basically the key levers for growth for us ?
Rahul Shah : Jinesh, if I have to talk about category level growth, our Scholastic Stationary, which is the largest category for us that have wi tnessed the grow th of about 12%, Scholastic Art business grew by 7%. So we need to understand little bit, while these two segments , you might think th e growth was a little lower, but Kits & Combination Packs sales grew by about 23%. Now , Kits & Combination Packs is something which is manufactured using products from all these segments, which is scholastic stationary , scholastic art, it is a combination of these products. So what happens is this was the season where this quarter we saw a little bit of festival s, Onam came in , the Durga Puja, the buying that happens for Durga puja that all came in this quarter. So Kits & Combination Packs demand increases. So as such across all our segments, we continue to see a strong growth , strong demand. It is just that at an SK U level or segment level, it might change depending on like festive season, non -festive season , exam season , back to school season . At that level , there might be a little bit of change s, but momentum has been strong . Definitely , like Santosh bhai highlight ed, there were certain challenges in the market, but with the support of our team and partners, we have been able to do reasonably well and given the capacities will increase going forward , our ability to serve the market would also improve .
Santosh Ravesh ia: So Jinesh bhai, I am sure you are aware that we have a new pencil plants coming up with the massive capacity of around 2.5 million pencils a day. So once that capacities are in place I am sure you will see a significant growth for that particular product and for the stationary business as well .
Jinesh Joshi : Sir, one last question from my side. In the opening remarks, you mentioned that we will be kind of launching a new school ba g in 4Q of FY 25 and basically that is the period when the back to school business will gain momentum. So any thoughts or particular aspirations that you have with respect t o achieving some kind of basically some topline number that you have in mind and

also if you can share what kind of EBITDA margin does this category make because Diapers is basically a margin dilutive category for us. But will this category have margins similar to what we are reporting or will it be higher? Any thoughts on that ? And also some numbers, any aspirations that you have to scale this business going head ?
Santosh Raveshia : Jinesh bhai, our SKIDO revenue from operation stood at around ■ 1.8 crore in Q2 FY2025 . If you see a sequential growth, it was 26% as compared to quarter 1 . So basically I think this is a business where we are just taking very initial steps . For us important is that we deliver a very excellent product to the trade primarily. And this business is absolutely going to be a business driven by enough margin , in lines with the margins of DOMS. And we are sure that in another couple of quarters, we will be able to give more light to your answer. So for now, please wish us all your best wishes to graduate ourselves in this particular line as well.
Moderator : Thank you. The next question is from the line of Sneh a Talreja from Nuvama. Plea se go ahead.
Sneha Talreja : Sir, my question was more related to margins. You have been surprising us on a positive note for consecutive 2 quarters even of last year. Now , you have guided for 17% of the margin and I understand your Uniclan will come with a lower margin, but to achieve the 17% run rate , we will have to go down

to 15%, which is what we don't foresee going in the second -half. So would you like to give any revised guidance for both F Y25 as well as the coming times for the margin front?

Santosh Raveshia : Sneha , our consolidated EBITDA margin for Q2 FY25 st ood at about 18.8% . This margin expansion year-on-year w as account of increase in ASP's and also the benefit from efficiencies. However, sequentially, if you just see the results, yo u see that margins have declined from 19.4 % to 18.8%, a decline of about 60 basis point s. This decline in EBITDA margin is primarily due to certain raw material prices increasing and slight increase in selling and distribution costs and advertising spends with Uniclan being consolidated. At Uniclan , the EBITDA margins are between close to about 5 %-7%. So if you see the entire second -half being consolidated with the sales of about , run rate of about ■ 15 - ■ 17 crores , we believe on an average, the DOMS consolidated margin should come in the range of 17 %-17.5%. And also on 3rd October, we distributed ESOP to the eligible employees of the company . The accounting of ESOP s for this 6-month period also should have an impact of about 0 .2-0.3% on the margin. Therefore , you can definitely do the math well, you will see probably our margins coming to that range of about 17%-17.5%.

Sneha Talreja : Secondly, I would like to know if we have spoken a lot on the Uniclan acquisition , but just wanted to go back with som e numbers, how are we doing with other acquisitions that took place , be it SKIDO , what are the plan s at this point of time in those acquisitions ClapJoy ? Some sense that would be helpful ?

Rahul Shah : So to start with, Santosh bhai already highlighted that SKIDO did a revenue of about ■ 1.8 crores in the 2nd Quarter , which was the sequential growth of 26% . Currently , about 60% of the

business of SKIDO comes from selling the products to DOMS, which DOMS utilizes in its Kits & Combination Packs . Like we said, the product line is more or less ready , we would be introducing th ese products to the market by Q4 2024 and this will be across all ou r sales verticals. So once the launch happens , once we start getting feedback from the customers , we will have a little bi t of better idea, but this will be a slow and steady sort of a thing because we will have to collect a lot of market intelligence and based on all the data that we receive, we will probably have a better sort of answer to your queries in the next or the ca ll after that. With respect to ClapJoy, the revenues of ClapJoy in the 2nd Quarter stood at about ■ 2 crore s, which was the growth of about 12% sequentially. I n Clap Joy, if you see year-on-year, so being close to the full year numbers what they achieved in the previous year , we are very close to achieving that in the first 7 months of the current year. So there we are seeing good growth. Also ClapJoy now has started, has launched products which is co-branded with DOMS . This is resulting in improved acceptan ce of their products . A lot of our channel players have started selling ClapJoy products as well. So both these companies, SKIDO and Clap Joy are still on the learning curve and probably over the next , I would say about a year or 18 months , we would have a better sense of how these businesses will go on . In terms of our other key subsidi aries, pioneer stationary we mentioned that this year, this quarter they had a little bit of a downward trend in terms of revenues , basically because of decl ine in raw material prices and hence the selling price where we passed on the benefits to the customers. And also there was a little bit of impact on export sales primarily to the US ; however, their EBITDA has increased by approximately 5% during the perio d because of again the raw material prices. In terms of capacity,

currently , we are at about 70% utilization . With the new plant coming in , our capacity increases by about 20% and we are hopeful with the new product launch , that the redesigning that has ha ppened, we will be able to have a great back to school season for the paper stationary segment. Last is , Micro Wood . Here also, like we said our capacity for mathematical instrument boxes increased by 20%. All these boxes get supplied by Micro Wood - the T in division where we continue to increase capacities. Even in the paper division, which supplies us primary packing material, we continue to invest increase capacities by almost 20 %-25%. So overall, all subsidi aries are doing well. Some need to be nurtured , the nurturin g is happening and very soon we wi ll have positive results from all of them.

Moderator : Thank you. The next question is from the line of R esham Mehta with Green Edge Wealth. Please go ahead.

Resham Mehta : Sir, the first one is on Uniclan , if you could just comment on the working capital cycle, how divergent it is from our core stationary business? So that is the first question ?

Rahul Shah : So basically , in terms of the working capital cycle , in terms of accounts receivable, yes, because they are new and a growing company, they need to give an extended credit period . The credit period for them typically is close to about 60 days right now, but other than that, their account payables and inventories are pretty much line with our trends, which is about 25 days and about 40 days respectively.

Resham Mehta : And since you had the new sales conference, right , so if you could just comment on how much is the overlap between the super stock ists and distributors of Uniclan and the core stationary business?
Rahul Shah : So basically , there is no overlap as such. The entire perspective of doing this in Jaipur was to introduce our channel partner s to the product and to the company management infrastructure . A lot of our existing channel partners in the stationary and art material segment have shown interest to become channel partners for the Uniclan products as well.
Santosh Raveshia : So you will see the overlap.
Rahul Shah : The overlap will now come in, but t he excitement levels are high and like we said, more than 50 of our channel partners have shown interest in becoming channel partners for Uniclan as well.
Resham Mehta : And what is SKIDO business , I just missed this. So we are yet to launch products and that happens Q4 F Y25 current financial year onwards , did I hear that right?
Rahul Shah : Yes. This product is a little seasonal from a back to school perspective . Bags, you see there is a very high demand comes during the back to school season. So our intention is to launch this new line of DOMS bags in the market during the upcoming back to school season and hence we planned the launch around end of the third quarter , beginning of the fourth quarter.
Resham Mehta : And lastly on the pens business, so would it be possible for you to quantify the Pen revenues for the first half of this financial year versus what was it last year and also the revenue variance of ■ 5 Pen segm ent within the overall revenue?
Rahul Shah : So at the Pen level, a little difficult, but if you see office supplies, which predominantly constitutes pen, we have seen a growth of approximately 97% . Our office supply business in the first half stand s at about ■ 96 crores compared to about ■ 48 crores in the previous year same period and this increase has been primarily driven through the increase in volume and sales of writing pens.
Resham Mehta : And how much was it in the last first half, H1 of FY24?
Rahul Shah : About ■ 48 crores that also included pen business, significant amount of pen business. So the ballpoint pen business and all started . Actually , we launched writing pens in June 23.

Resham Mehta : And the revenue variance of ■ 5 pen within the P en revenue?
Rahul Shah : So honestly, Resham, we actually don't have that figure of break up, but li ke we mentioned predominantly our products are targeted towards kids and school consumption. Currently , maximum pens that we sell are under the ■ 5 MRP segment and ■ 10 segment. The new facility

that we started for pens, their the focus on ■ 10 is slightly higher while the current two facilities is more for the ■ 5 segment.
Moderator : Thank you. The next question is from the line of Aniruddha Joshi from ICI CI Securities. Please go ahead , sir.
Aniruddha Joshi : So my question is, what is the 3-year in a way business plan or 5-year business plan in terms of the export business? Because we are doing exceedingly well in domestic part of the business , so whether the management will be investing more time in driving the domestic business more or how we should think about in terms of the export business because it is not just one geography, multiple geographies. So some amount of management bandwidth in a way in differ ent geographies will also be required. So how should we think in terms of 3-5 year window on that?
Santosh Raveshia : So basically , as of now we are pre sent in about 50 plus countries where we sell our DOMS products. To increase our presence to more countries, we are already in discussion with FILA subsidiaries across the world where they have better presence and we are likely to start our launch through FILA subsidiaries in those countries where we are not present right now from the beginning of the next financial year. Here , the target is very simple that as our domestic business is also going very rapid , we would like to maintain a balance of about close to between 15%-20% of business comi ng from exports . As it has always been domestic driven company and still we feel that there is enough space to occupy business and increase our business in domestic, we would love to be remain little conservative in terms of growing our exports to o much extensive. So you can expect a range of around 15 %-20% which will come from our export part of business in another 3-5 years.
Aniruddha Joshi : Second question is on the brands other than DOMS, s o for example, we have some brands like C3 or even Fixy Fix or t o some extent Ne on is a sub brand , Amari z is also one brand. So how is the performance of these sub brands? And will we see more investment in the sub branding or driving these brands relatively bigger from current le vels so as to diversify from DOMS brand also?
Santosh Raveshia : So I will just explain. Here you know, what brand DOMS ’s got. So basically C3 is a brand which is more of a rural brand which sell our non -wood pencils . This business has been growing , not

extensive, but in a gradual way. There is another brand which is A mariz , which is our fin e arts brand and this particular brand , we just started this in the early this year. So this is sub brand of DOMS and the business from Amari z has just started seeing the light since last quarter . We are expec ting very decent and very aggressive results in another quarter to come. Th ere is another brand which is Fixy Fix which is a brand related to our Adhesive category. And we again started very early this year and we are expecting the same results, very posit ive results. The initial response from the market has been very well accepting and I am sure in another couple of quarters, we will have more li ght on the results as well.

Rahul Shah : Aniruddhaji, j ust to add Fixy Fix , Amariz are all sub brands, so whenever we talk about the DOMS sales, it includes the sales of Amariz and Fixy Fix. Going forward , we will have one additional brand which would become significant , Wo

wper, which will be for the baby hygiene product segment. But otherwise the three umbrel la bran ds you can call would be DOM , C3 and others .

Moderator : Thank you. The next question is from the line of Aditya Deora h with Divisia Investments. Please go ahead.

Aditya Deorah : Sir, what kind of capacity we are working for the school bag, which we p lan to launch in quarter 4?

Rahul Shah : For what product Aditya bhai ?

Aditya Deorah : I am asking like what kind of capacity we are working for the schools ba g, which we plan to launch in quarter 4 ?

Santosh Raveshia : Aditya bhai, we would like to start with around 25,000 bags a month , to begin with. Once we start getting t he response and the more intellect about the market, I think we will gradually increase the capacities there.

Aditya Deorah : Your bags are of really good quality , the ones you provide in the kit . Any other white spaces we are working on right now ?

Santosh Raveshia : Not really as such.

Rahul Shah: We are not , something, but as a company, we are always looking for exciting opportunities within our universe. We love partnering with technocrat people who love their product , have good understanding of manufacturing capabilities and if there is anything interesting, we will always keep evaluat ing, b ut as of now, the focus is definitely on successfully implementing our growth plans for the stationary segment and at the same time, doing justice to the Uniclan acquisition.

Moderator : Thank you. The next question is from the line of Kunal Bora from BNP Paribas. Please go ahead.

Kunal Bora : On pen, c an you talk about like the competitive intensity, you are rapidly expanding capacity and you would have gained market share. Are you seeing any response from the competition, especially in ■ 5 segment where you might have gain ed market share? And also, what i s the distribution reach now versus the market leader?

Santosh Raveshia : Probably , like when we entered with our ■ 5 pen , probably , the most of the organized player s had already withdrawn from this particular category, this particular price point. So right now, luckily we have a first-mover advantage when it comes to organized players in writing

instrument for ■ 5 segment. Of course , we are expecting certain comebacks, but still we right now are enjoying first mover advantage. And as I said, we are selling all the capacities we produce and we are still working on more capacity for the time in another certain months to come.

Kunal Bora : So far , you ha ve not seen any response from the competition and you continue to gain market share , especially in the ■ 5 pen?

Santosh Raveshia : I think yes , we are doing well and we will keep doing well because our products are unique, our products are very distant from what is right now available . So it looks like we will be doing good.

Kunal Bora : But you are making decent margins in ■ 5 and competition which might be larger compared to you is not able to make margins in ■ 5 pen . Is that how it is w orking out ?

Santosh Raveshia : Kunal bhai, we always work on technology and high tech solutions. So I am sure, if you ha ve seen our plan ts, we are much more high tech and they are fully driven with au tomation and robotics. So with the help of this automation and technology, we are able to produce this ■ 5 pens and also make a decent margin for the company.

Kunal Bora : And lastly, can you talk ab out the timeline of the new factory going live? Are you on track to get the first factory up and running in the new plot of land by end of 25? Also if the market

remains like you are not seeing weakness, but otherwise market is weak , generally consumer
demand is weak. Would you look to postpone or spre ad out the capacity utilization i f the big
market remains weak or you are fully confident that there will be en

ough demand ?
Santosh Raveshia : Kunal bhai, we are fully confident about the demand and we are also confident about the pipeline
of the innovation that we have in place right now. What we are just waiting for is that the start
of the new plan t which is likely to start in FY26 and that is the only wa it we have, but still with
our existing capacities, we are trying to accommodate all the new nests what we are bringing to
this particular category right now.
Moderator : Thank you. The next question is from the line of Mosam Mehta with W ealth Guardian. Please
go ahead.
Mosam Mehta : Just wanted one bookkeeping question regarding the sales break up for last year – September ’23
quarter ?
Rahul Shah : From a segment wise perspective ?
Mosam Mehta : Yes, product category wise, ye s, so scholastic station ary and all.

Rahul Shah : So in Q2 FY23 -24, scholastic stationary was approximately 44% , scholastic art was about 28%,
Kits & Combination Packs was 9% , similarly paper stationary , office supplies was about 7% ,
Hobby and craft, Fine Art were close to 1%. And that time we did not have anything in hygiene ,
so that was 0% . Others w ere some other trading and all such things.
Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to
the management for closing comments.
Santosh Raveshia : Thank you everyone for your precious time and looking forward to meeting everyone again next
year very soon. Thank you again. Bye -bye.
Rahul Shah : Thank you v ery much.
Moderator : Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining
us and you may now disconn ect your lines.

Call: Feb 2025

Ref. No. DIL/SE/2 4-25/91
Date: February 08, 2025

To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex ,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Scrip Code - 544045

Subject: Transcript of the Investor Conference Call on the Unaudited (Standalone and Consolidated) Financial Results for the quarter and nine months ended December 31 , 2024

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III and other app licable regulations of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015, as amended, (‘ SEBI LODR Regulations ’) please find enclosed the transcript of the Investor Conference Call for the Unaudited (Standalone and Consolidated) Financial Results for the quarter and nine months ended December 31 , 2024, held on Tues day, February 04, 2025 , at 12:00 hours .

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the f ollowing link:

https://domsindia.com/pdf/Investor_Relations/Investor_Presentation_and_Transcripts/Q3_FY25.pdf

This is for your information and records.

Thanking you,
Yours faithfully,

For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl: As Above

“DOMS Industries Limited
Q3 & 9M FY25 Earnings Conference Call ”
February 04 , 202 5

Disclaimer: E&OE - Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company’s website will prevail .

MANAGEMENT : MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER ,

DOMS INDUSTRIES LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to DOMS Industries Limited Q3 and 9M FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance durin g the call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

Before we begin, a brief disclaimer. The presentation which DOMS Industries Limited has uploaded on the stock exchange and their website, including the discussions during this call contains or may contain certain forward -looking statements concerning DOM S Industries Limited business prospects and profitability, which a re subject to several risks and uncertainties and the actual result s could materially differ from those in such forward -looking statements.

I now hand the conference over to Mr Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Anirudd ha Joshi : Yes, thanks, Reyo. On behalf of ICICI Securities, we welcome you all to Q3 and 9M FY '25 results conference call of DOMS Industries Limited. We have with us today senior management represented by Mr Rahul Shah , Chief Financial Officer. Now I hand over the call to Mr Rahul Shah for his initial comments on the quarterly as well as nine months performance and then we will open the floor for question -and-answer session. Thanks, and over to you, Mr Rahul Bhai .

Rahul Shah: Thank you. Aniruddha Ji. Good afternoon, everyone. Firstly, wish you all a great 2025. It is our pleasure to welcome you all to the conference call for Q3 FY '25. Due to certain unforeseen circumstances, Santo sh Bh ai, our Managing Director is not able to join the call today. Though I have with me the team from Marathon Capital, our Investor Relations Advisors.

Despite the t epid market conditions and festive season in India as well as globally, we continued on our consistent growth trajectory during the third quarter FY '25. With success ful expansion initiatives in the stationery and art materials segment across writing instruments, paper stationery, coupled with widening of fine art product portfolio along with introduction of differentiated range of markers and highlighters and kits and combination packs , together have propelled growth during the quarter.

Further, the performance of Uniclan Healthcare has yielded positive results contributing to our growth trajectory as well. As part of future growth initiative at Uniclan , as mentioned during our previous conference call, I'm happy to share that we have successfully installed the third diaper production line, increasing our baby diaper capacity. We have always believed that our people have been one of our strongest pillars for the growth. Their dedication, passion and tireless efforts to innovate, design and deliver high -quality products have enabled DOMS to be ahead of the curve. As a recognition of their ongoing contribution and understanding the importance of further str engthening our bond with our people to ensure sustainable success, we granted ESOPS to more than 900 members of the DOMS family. I'm really proud and content to make them a true partner in our success.

Another milestone achieved during the quarter has been the successful installation of a 1 MW solar plant at our current flagship facility in Umargam , Gujarat. By harnessing the power of renewable energy, we aim to reducing our carbon footprint and promoting eco -friendly practices. This process of harnessi ng the power of renewable energy is expected to continue as we evaluate and undertake projects for solar electrification at our other manufacturing locations. As a testimony to the ha

rd work and performance of our company, I am pleased to share that our company has for the third time in a row awarded with the Top Exporters award for being the number -one exporter for the financial year '23 -'24 by the Pen & Stationery Association of India , underscoring company's role as a front -runner in the Indian export mar ket.

On th e marketing front, we persist in our efforts to connect with our audience in innovative and engaging ways, seamlessly integrating online and offline initiatives. This combined with the overwhelming consumer response to our products underscores ou r dedication to innovative design and product engineering as well as rising popularity of our flagship brand DOMS . Going -forward, we remain cautiously optimistic on improvement in -demand conditions with tailwinds from the upcoming back -to-school season, gr owing emphasis on education and increased government spending in this sector contributing to the growth momentum in the near -term.

Our strategic priorities remain unchanged with focus on delivering consistent and profitable volume growth through expanding our production capacities, investing in our brands and strengthening our supply -chain, positioning ourselves for sustainable long -term growth. This coupled with a solid pipeline of innovative products to be launched across categories as well as targeted di stribution network expansion, both in India as well as globally should lay down strong foundation for our projected growth trajectory.

Coming to the details of our financial performance for the quarter ended and nine -month period ending, 31, 2024. To begin with a quick overview on the consolidated results . Consolidated operating revenues for Q3 FY '25 stood at INR 501.1 crores, a growth of nearly 35% compared to the same quarter last financial year. Comparable consolidated operating revenue, excluding Unicl an Healthcare sales impact grew by 21.4% in Q3 FY '25. This increase in sales was predominantly on account of growth in segments like office supplies, paper stationery and kits and combination packs.

The consolidated EBITDA for Q3 FY '25 grew by 26.7% to INR 87.9 crores as compared to INR 69.3 crores in Q3 FY '24. The EBITDA margins marginally declined by about 110 basis -points to 17.5% from 18.7%, result ant of increase in sales and distribution expenses, primarily due to consolidation of Uniclan and on ac count of the accounting impact of ESOPs granted in Q3 FY '25. As a result of these factors, company's consolidated EBITDA margin stood at 17.5% as on expected lines, but higher than our targeted and guided range of 16% to 17% as provided during our previou s conversations.

The consolidated PAT rose from INR 38.8 crores in Q3 FY '24 to INR 54.3 crores in Q3 FY '25, registering a growth of nearly 40%.

Talking of our results for the nine -month period, our consolidated revenues from operations grew by 23.9% to INR 1,403.9 crores in 9M FY '25 from INR 1,133.4 crores in 9M FY '24. EBITDA for 9M FY '25 grew by 32.2% to INR 260.2 crores from INR 196.8 crores in 9M FY '24. Further, our PAT also increased from INR 112.7 crores in 9M FY '24 to INR 162.3 crores in 9M FY '25, a growth of 43.9%.

The working capital on a consolidated basis increased marginally to about 53 days, primarily on account of the consolidation impact of Uniclan that results -- that resulted in higher trade receivables on a consolidated basis. Exc luding the impact of Uniclan , the working capital days were around 45 days, in -line with our earlier trend.

On the capex front, we continue to focus on expanding our manufacturing capabilities to capitalize on the growth potential during the nine-month per iod, excluding the impact of acquisition, at a consolidated level, the company has invested over INR 100 crores towards capital expenditure, including capital advances. T

hese funds were primarily invested in for the construction activities and purchase of plant and machinery and installation of the solar plant. Further, Uniclan has also undertaken a cape x of nearly INR 11.5 crores during the period of consolidation, primarily towards installation of additional line of diaper manufacturing.

With this, I w ould request to open the floor for question -and-answers. Thank you very much.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from Kunal Vora from BNP Paribas.

Kunal Vora : Yes. Thanks for the opportunity and congrats for a good quarter. First is on exports. So it seems to be down for third consecutive quarter. So is it sales to FILA or branded sales in other markets , what's happening on exports?

Rahul Shah: Hi, K unal thank you for your question. In terms of exports, sales were down approximately 5% in the quarter compared to the previous year. Primarily on account of the ongoing situation in Middle -East and the slowdown in Europe. Our FILA Group sales were in -line, the decline, it was primarily on account of, like I said, the own branded sales that we did in Middle -East geographies.

But while the ongoing geopolitical tensions across the Middle -East have impacted our export business, we believe export markets are expected to recover soon now. Further, we are also soon entering into distribution agreements with FILA and FILA Group companies to start exports of DOMS branded stationery in their local markets, which again should have a positi ve impact on our export business growth.

Kunal Vora: This is a temporary issue and you think things will recover from Europe?

Rahul Shah: Yes. The signs that we are getting from the Middle -East market, they are soon expected to you know, begin business again.

Kunal Vora: Okay. Understood. Okay. Thanks. Second is on, when did the additional 24 crores diaper capacity come in and like you are at about 50 crores. So how should we look at fourth quarter and FY '26?
Rahul Shah: So, Kunal Bhai basically, you know Uniclan is slightly a seasonal business . Their third quarter is always the strongest in terms of sales because of the climatic condition. It's like end of monsoons and beginning of winters, and due to the climatic condition, demand for diaper increases. This high -demand stays until mid of February to -end of February. Summer is a little dull time. Then again, once the rainy season starts, the market picks up again.
The new diaper machine got installed towards the last week of November and first week of December. Right now, we have a production capacity of about 65 crore diapers, but considering the changes that happen in the pack sizes as well as in the sizes of diaper we manufacture, we could utilize about 80% to 85% of the capacity.
With the partnership with Uniclan , we have now , started taking some amount of active role in terms of helping them to set -up their distribution network. They've already launched diapers under the co -branding with DOMS . It's now called as “DOMS Wowper ”. Some of our channel partners have already been onboarded for sales of Uniclan . One of our two super -stockist in Nepal is now a super -stockist for Uniclan Diapers in Nepal.
So considering these factors, you know, we believe that we should be able to have better year - end results in FY '26, but in terms of number , wouldn't want to, you know, give how much percentage because we are still learning the business , still understanding the market sensitivities. Hopefully, we should have our business plan for the coming year ready by March and during our next interaction, we would have more numbers towards this.
Kunal Vora: But the 8 0% - 85% capacity utilization do yo u think will get maintained in FY '26 with the larger capacity or you think with new capacity, it

could go down.
Rahul Shah: No, no, no, along with the larger capacity.
Kunal Vora: Okay, okay. Understood. Okay. And FY '26 growth and margin outlook, like sa y, I understand you Uniclan won't be able to share right now, but otherwise for the business excluding Uniclan , how is it looking? You mentioned like cautiously optimistic. So I just wanted to get some sense, are you seeing some concerns on -demand?
Rahul S hah: So we are not seeing any concerns on demand. It's just that the markets have been opening up. We believe the back -to-school season should bode well for the company. So we continue to maintain a full revenue growth target of full -year revenue growth ta rget of about 23% to 25% on a consolidated basis, including Uniclan for FY 2025 . In terms of margin, like we've always mentioned, our range is always between 16% to 17%. Today at a consolidated level, we are at about 17.5%. But this was, like I said, a ver y good quarter because of the seasonality at Uniclan . Therefore, the Uniclan margins in this quarter are always a little on the higher side because the fixed -cost absorption happens better. But overall, we believe Uniclan margins should be in the range of 7% to 8% initially and slowly we'll be able to drive them to about a double -digit number.

So considering these factors, we continue to from a margin perspective, guide for between a 16% to 17% margin range.
Kunal Vora: So for FY '26, I mean, '2 4-25 this year it looks reasonable maybe top -end. But FY '26 . FY '26, okay, similar . 20% 25% growth and 16% -17% margin. But margin looks conservative…
Rahul Shah: I am talking a 23% to 25% revenue growth target for FY ' 25.
Kunal Vora: FY '26, what's the expectation?
Rahul Shah: Sir, let's see how the market goes . How this back -to-school season works? I think for the coming year, once we sit together, have our business plan, which we typically do in the month of March, we'll be able to come back to you all with the guidance for the coming financial year.
Kunal Vora: But you have more capacity coming in, right, next year ?
Rahul Shah: So capacity addition is ongoing. Like we've shared earlier, capacity increase is expected in scholastic stationery, you know, but that's something which will take about six -odd months -to come completely on -board. We'll soon increase our pencil manufacturing capacity, but that will happen you know, o n a monthly basis, we'll keep getting something incrementally. So towards the end of Q3 FY '26, we'll also have the new building coming in from th e 44 acre plant where again there would be capacity increase happening to begin with under the office supply segment and sketch pens and other such products.
Kunal Vora: Okay. Okay. Thanks . I have more questions, but I'll come back -in the queue .

Moderator: Thank you. Next question is from Rakshit Desai from IIFL.
Percy Panthaki : This is Percy Panthaki. Sir, just wanted to understand in the first -nine months of the year, excluding Uni clan, what is the sort of assets which have actually got capitalized, not CWIP and not the capex in cash -flow terms, but what is the actual addition to the gross block in the nine-month period?
Rahul Shah: The actual addition, just give me a second . You want for the entire nine-month period?
Percy Panthaki: Yes, yes, nine-month period.
Rahul Shah: So at a gross fixed asset -level , the additions have been close to about INR 90 crores.
Percy Panthaki: This is excluding Uniclan , right ?
Rahul Shah: Excluding Uniclan .
Percy Panthaki: Okay. So just wanted to understand, I mean, with such a small sort of addition to gross block, how we are able to grow? It's not as if we had a lot of spare capacity to start with ?
Rahul Shah: There were some capacity additions wh ich we had done during the last year also , the last financial year. A lot of

it actually came towards, for example, our second pen plant, it came in -

production in February of '24, right . So the impact during the last year was smaller, but in this year for the entire nine -month period, we are getting benefit of it.
Percy Panthaki: Understood. So if this is like a rolling thing that whatever capex you do in one year, you get the benefit of that in the next year, then given that we have done such low capex in FY'25, do we see a problem in terms of ramping -up our sales in FY'26?
Rahul Shah: No, Percy bhai, like I said, you know, C apex is like you said, it's an ongoing thing , rolling out, we'll keep getting benefit . Some capacity additions, which have already hap pened during the second and third quarter of this financial year, we get a full -year sales impact in the coming years . Plus new capacities are also being added. So as such, our plans with respect to capacity additions, timely capacity addition, which will drive our revenue growth in the coming year is already in -place.
It’s just that, when it will come, there can be timing difference of a couple of months, but otherwise, I think everything is well -planned. If the markets you know, support, we don't see any reason for any challenges that would come from a capacity perspective to meet th e demand.
Percy Panthaki: And how much of this INR 90 crore has happened in the new land parcel?
Rahul Shah: New land parcel, absolutely nothing. Construction is still going on. Majority of it is sitting in the buildings and all - the advances that we've g iven to the parties , so the y are more of advances.
Percy Panthaki: Understood, understood. So what do we expect in terms of capex over -- I mean, the next three months as well as for FY '26? The reason I'm asking this is that at the time of the IPO, basica lly, our impression was that you would be doing roughly brownfield and greenfield put together roughly about INR 200 crore s per year for the next three, four years ?
Rahul Shah: Right. So we are planning to close this financial year with a total capex of ar ound INR 160 crores to INR 175 crores. This will be primarily for setting up of the buildings at the 44 acre facility, other greenfield expansion projects and the regular modernization and the upgradation capex that we continue to do in our existing infras tructure. Like I said, you know, we believe the first building from the new 44 acre project should be ready , we should get the possession during the third quarter of FY '26 and believe to begin commercial production from that building within 90 days from g etting the possession.
So looking at those requirements, I think in the coming year, we should be again -- our capex should be again close to INR 202 crore – INR 225 crores. And Percy Bhai, the way it is planned is every three months from the time we get the possession of the first building at 44 acres , you will get possession of the next building after three -odd months, the 90-odd days we will utilize for installati on.
Percy Panthaki: Understood. Understood. And in terms of the capacities that will come up over the next, let's say, 12 to 18 months, which are the major products in which the capacities are expected to come up?

Rahul Shah: So we are looking at increasing our capacities across one scholastic stationery , paper stationery as well . In paper stationery during the third quarter of FY '25 , we increased one -line of the automatic exercise manufacturing exercise book manufacturing machi ne. We are expecting to increase some capacities in paper stationery as well , office supplies also and also to some extent in hobby and craft.
Percy Panthaki: Okay. Okay. Understood. Understood. Also, just wanted to understand in terms of this JV you did for the bags, what is th

e status there in terms of ramp -up, in terms of ARRs or in terms of
any other update that you would like to give ?
Rahul Shah: So the acquisition that we did was in a company called SKIDO Industries. SKIDO 's revenue from operations stood at about close to INR 3 crores in third quarter of FY '25, which is a sequential growth of about 56% with an EBITDA margin of close to about 13%. Currently , close to 55% of the company's sales happen to DOMS and balance is to third parties. DOMS basically utilises these bags for their kits and combination pack .
But right now, the first -line of products are already ready in the bags category, a very well -designed and highly value -added bags that we've co me up with . They are in -production and we plan to soon launch it for our customers under the DOMS brand during this back -to-school season. So during this quarter, the DOMS branded bags would be launched in the market.
Percy Panthaki: Understood. And lastly on your direct outlet coverage, how much does it stand at currently and how much it has grown over the last 12 months.
Rahul Shah: So, during our second quarter call, we said when the markets were a little bit of sluggish, we focused on expanding our distribution network a little. So today, we have about 140,000 retail outlets, which we are catering to directly. This represents an increase of about 15,000 plus retail outlets. I think , end of last year , we w ere close to 125,000, which is now increased to 140,000.
But again Percy Bhai, t he strategy there is like it was earlier, first try to maximize the throughput from the existing partners and only then look at expanding our universe.
Moderator: The next question is from Sneha Talreja from Nuvama. Please go -ahead.
Sneha Talreja: Hi, good afternoon, sir, and congratulations on great numbers and thanks for the opportunity. Just two to three questions from my end. What was the Uniclan margin this par ticular quarter?
Rahul Shah: The Uniclan margin , Sneha , in this particular quarter was about 10%. But like we said, this is typically one of the strongest quarters for the diaper business. So what happens is the sales are higher and there is a better fixed -cost absorption that happens. So this quarter usually is better in terms of margin also. But going -forward, the way the business has been shaping up and what inputs that we get from the Uniclan team, it should be close to a 7.5% to 8% sort of EBITDA margi n business.
Sneha Talreja: Understood. That means our consolidated margins from 17.5% can actually go down because of those reasons.

Rahul Shah: It should and that is why Sneha we always maintain that 16% to 17% as the range. And we've always said that, the impact of all these , the Uniclan acquisition plus the ESOPs and plus what happens is whenever we are in a capacity addition phase, you need to increase the manpower a little bit before the good s start into commercial production. So as a result of this increase there is a slight increase in the manpower cost, ESOP accounting and the Uniclan , we should be close to the 16% to 17% range in terms of EBITDA margin.
Sneha Talreja: Understood. Secondly, what I wanted to understand is where are we i n terms of utilization rates at this point of time . Overall as a company, along with Uni clan separately. Uni clan, including the capacity addition that we've just taken place ?
Rahul Shah: Senha, very difficult to talk about how much utilization because it's sometimes really difficult to gauge the same, you know, the output is in a different unit of measure, while the capacities are different and really the utilization differs in terms of what t ype of product you are manufacturing. So difficult to say or give information about how much utilization we are at today.
But we believe we have, like I mentioned earlier, there are timely capa

city additions planned in such a way that at every period ic time, we have some additional capacity coming in , through the way of greenfield expansion or in terms of modernization of our existing plant and machinery.
Sneha Talreja: So what I was trying to get is we are comfortable growing at 20% 25% on an overall company -level or despite operating at optimum utilization that we keep seeing ?
Rahul Shah: It's always our endeavour you know . While there is always optimal capacity utilization, but at the same time there are new capacity additions coming in . So it's like a continuous process.
Sneha Talreja: Understood. Lastly on SKIDO , is the product out, we were supposed to launch it in Q4 of FY '25. Is that launched? And if yes, how is the response we are receiving from the channel?
Rahul Shah: So, it is, you know, like I said, it's already in -production, the packing material and all is on its way. So very soon will be launched in the market. Hopeful , at the right time for the back -to-school season. So in this quarter only it will be launched, which is the right time to launch as the back-to-school season is just about to start.
Moderator: Thank you. Next question is from Jinesh Joshi from PL Capital.
Jinesh Joshi: Thanks for the opportunity. Sir, I have a question on our hygiene business. I think we have started exports in this quarter. So can you highlight which geographies are we targeting explicitly and what is the opportunity size here? Also in terms of margins, do they materially differ between exports and domestic markets? So Yes, just some update on that. And also given the

fact that this will be a overseas of what should I say venture for us , would it require creating a new network from scratch , your thoughts on that?
Rahul Shah: So, Jinesh , firstly, I'll answer the second question you had in terms of network. The entire idea of partnering with Uni clan was that in the short -term, we believe that we'll be able to leverage our channel relationships with the super-stockist and distributors. That is not restricted only to

the Indian market, but in for exports as well. Like I said earlier, they've already started doing exports to Nepal, where one of our channel partners has become a stockist for the Wowper products. Similarly, through our network, they have started some amount of exports to Middle - East. And the idea there is to first start with the neighbouring countries , where DOM S already has a strong network and then we'll take it forward. And at the same time, in domestic market also, we are seeing the channel synergies coming out where some of our stockis ts have already been onboarded as channel partners for Uniclan .
And now as the business ramps -up, again there today , when we invested in the company, they were present in about six states. Today they are at about seven to eight states. We want to first completely do justice to the business in these states and only then try to ex pand our sales network to other states. So once that happens, plus if we think we've reached optimal capacity in terms of diapers, then we plan for new capacity addition there as well.
So in terms of margin, Jinesh, like I said, this quarter is an excepti onal -- always has been the exceptional quarter for Uniclan . Considering the higher sales this quarter, our EBITDA there was about 10% . But on a full year basis, we believe Uniclan 's EBITDA to be in the range of 7% to 8%.
Jinesh Joshi: Got that. Just wante d to -- Yes, sorry, please go ahead.
Rahul Shah: And in terms of difference in margins for Uniclan in the domestic and the export market, nothing very material. The same philosophy that DOMS follows will be followed at Uni clan where across , it will be a very cost sheet sort of a driven approach . Depending upon what cost sheet gets developed and our targeted margin

for Uni clan, that's how the product pricing will happen.
So we will not see any significant difference in terms of margins in exp ort and the domestic markets.
Jinesh Joshi: Got that. So just to summarize, at present, our presence is in Nepal and Middle East and for the time-being, the focus will remain on domestic market , correct?
Rahul Shah: Yes, absolutely. Domestic market a nd as well as neighboring countries, where I talk about Nepal, Bangladesh, Sri Lanka . Middle East is also now a neighboring country only for - yes, so that's going to be the focus for us.
Jinesh Joshi: Sure. And sir, secondly, on the pen side, can you share some updates with respect to the current capacity and the utilization number? Also, what is the current contribution from the INR 10 price point, some color on that ? And secondly, I believe our incremental capacity on pencils was about to come on -board in 4Q. So we are like almost a month into the quarter. So has it already started , any update on that?
Rahul Shah: So yes, the plant is under installation. Most of the machines have come in. Pencil is a slightly longer manufacturing process where you need to first add capacities at the treatment and seasoning level. There the new plant has already come in production. O ur plan ts for making utility pencils and finishing is expected to come soon. So like we said, pencils production from the new capacity should start rolling in from the current quarter and there would be continuo us expansion in the next quarter as well.

Jinesh Joshi: Sure. On the pen side, if you can share some update on the utilization number and the contribution from the INR 10 price point?
Rahul Shah: So overall is the office supply segment, we continue to inve st. Our third pen plant has already come in production. We've increased capacity for pens, markers and introduced our highlighters also. So like all our products, even in this segment, we continue to introduce new products, come up with differentiated offerings . In terms of differentiation , in terms of price point, really difficult for us to say , at this point of time , how much are coming from a particular price segment. But in terms of pricing for us, our important customer has always been young kids and it's been a school -driven consumption. So we've always believed in having a very rationalized approach towards pricing, which ensures that our customers get value -for-money and at the same time, our margins are maintained. So f or pens also, we are following the same sort of strategy , which is more cost sheet driven.
Jinesh Joshi: Sure. Sir, one last question from my side. I think in our paper stationery business, the growth

was upwards of 50% in this quarter and you highlighted earlier that one line got added. So is the growth led by capacity expansion or is there some element of seasonality over here? And also from here on, how should we look at the contribution of the p aper stationery business?

Rahul Shah: So, Jinesh, definitel y there was a positive impact due to addition of the new line for the exercise books manufacturing machine that we added . This came in production around October 202 4.

Paper stationery definitely is a slightly seasonal business with the third and fourth quarter being the strongest and Q2 being slightly muted once all schools have begun . So yes, that also plays a role.

And paper stationery for us is a growth segment that we've been continuously focusing on. And even there, our product offering is very differentiated. We've had benefited with some amount from partnership s also, like with ISRO . We've also got partnership with Warner Brother s for certain comic characters which we are using significantly for our paper stationery book covers. So all these factors plus focus from the team is helping in the growth of this segment.

Moderat

or: The next question is from Abhishek from AB Capital. Please go -ahead.

Abhishek: Yes. So what will be the ROE trajectory going forward?

Rahul Shah: So Abhishek, see the idea is simple to continue with the EBITDA margin in the range of about 16% to 17% with sort of a 3x revenue generation on the investment we do. So from a ROE perspective, we continue to have the same ROE of close to -- and more the money that we keep utilizing in capex, this should increase. So our ROE, ROCE at a consolidated level should be around 23% to 25%.

Abhishek: Okay. So the -- given that the margins are lower in the diaper business, that will not affect us in the near future.

Rahul Shah: So we -- when we are talking about the consolidated margin of 16% to 17%, Abhishek, it is taking into consideration the Uniclan diaper business at a lower margin of 7% to 8%.

Abhishek: Okay. And any plans to raise any capital in the near future.

Rahul Shah: As of now no. We would really want to first utilize the funds that we raised from the IPO, get this new plant up and running as soon as possible. So most of our energies are right now focused on the completion and expansion in the 45 -acre project.

Moderator: Next question is from Priyank Chheda from Vallum Capital . Please go ahead.

Priyank Chheda: Hi, I hope my voice is clear. My questi on is on -- we have clearly seen a revenue trajectory going up for office supply. So I believe we have increased our capacity of pens from, say, around 2 million pens per day to 3 million pens a day. Is that number right and is that the right way to think of it? As well as if you can just reconfirm the pencil capacity, we are adding around 2.5 million pencils per day. Is that the number right?

Rahul Shah: Hi, Priyank . Yes. So office supplies as a segment has recorded a growth of about 133%. This is primaril y due to increased capacities for pens, markers and introduction of highlighters. One of the new markers that we launched has received a good response from the market. So that has contributed to the success of the -- to the growth of the office supply segm ent. In terms of the increase in capacities for pencils, like we said earlier, right now, our capacity is close to 5.5 million pencils a day and we soon expect to ramp it up by 2.5 million wooden pencils per day.

Priyank Chheda: Perfect. So this INR 90 crore s capex or the asset addition that you have done is to do with the office supply, which includes blue pens and markers, while the pencil capacity is yet to come from this quarter. Is that right? And then you were supposed to add certain capacities in crayons and s ketch pens also . Would you be able to help me with that numbers f rom where to where we have gone?

Rahul Shah: So honestly, we've not added capacity in our scholastic a rt material range significantly . In terms of pencils, like I said, our -- like pencil have three key stages of production. One is the treatment stage, other is the raw pencil making stage and the last is the finishing stage. Our plan t for the treatment is already started up and running, so that's already b een capitalized , so to some amount of increase in capitalized asset that you see is because of that slant. Plus for other products, we are upgrading of certain existing capacities in the art material segment, some amount of additional capacities are also c oming up for the fine art segment. We'll see all this coming in production very soon.

Priyank Chheda: Perfect. My second question is on this Uniclan . We would have sold around, say, 10 crore s diapers in the current quarter. And if you can help me with a distribution outlook, wherein how much of that would be overlapped with DOM S distribution network or it would be completely new distribution channel which Uniclan has and you will look to expan d over there?

Rahul Shah: Unf

ortunately, I will not have that data on -hand today . Really , I don't have that data to answer this question at this moment.

Priyank Chheda: No problem. I'll connect you offline. Just last question on the new category or a new s egment of toys, which we were looking out for , now for a toddler segment, say, less than a three -year segment, we were planning to enter into this segment. Any strategic thoughts on that?

Rahul Shah: So we've already entered the TOT S segment . There is an e ntire range which has come up called as DOMS TOTS . In that we've already launched finger paint and Beeswax crayons . So that's already been launched. Again, it just a launch that has happened, so these sort of products which are like new to the market , comi ng up for the first time, it takes a little bit of a longer time for the acceptance to build -up and the product to reach mass level of consumers. And so it's early days there, but the products have already been launched.

Priyank Chheda: Perfect. And on the Phase 2 of this expansion of this new greenfield project, which was supposed to happen in two phases, now what is the total capex that we are planning to incur, which includes Phase 1, Phase 2, all put together when whole of the project is ready up and ru nning say in next 2 years or 2.5 years?

Rahul Shah: So, this entire project, including the land, which we've already purchased and expenses that we've already done, this entire project would entail an investment of close to INR 900 crores to INR 1,000 cror es. We've already purchased the land. A lot of advances have been given to our construction partners who are constructing the building there plus work for in terms of level ling, in terms of making roads , in terms of electrification, making the utilities th at has also simultaneously started. All put together, like I said, this project would be close to INR 900 crores to INR 1,000 crores of investment and eventually will house somewhere between 1.8 million to 2 million square feet of built -up area.

Priyank Ch heda: And would this be also equal to -- just a clarification on this . Would this be also 1.8 x to 2x asset turnover at the full utilization?

Rahul Shah: So eventually after about two to three years, we always target to have about 3x sort of gross revenue f rom the investment that we do in the fixed asset. But considering it's greenfield in nature, it takes a little time to reach there to about 3x sort of a number . But at full potential once all is ready, the target is to always try to achieve close to 3x in terms asset turn .

Moderator: The next question is from Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. So Rahul bhai , in terms of the new co -branding products that we have done , with ISRO and also Warner Brothers . So if you can share a bit more on these aspects and what are the terms of these rates , and how is the response to the products, etc . So if you can share a bit more info on that.

Rahul Shah: So Aniruddha bhai , these arrangements are like pure royalty sort of arrangement s that we get into with the owners of these brands . With IS RO, it is not a direct arrangement, but with somebody who already has the arrangement, we are just manufacturing ISRO branded products and giving to them and they've been selling it in t he market.

See, for all the new launches that the company is doing, we are seeing a good response from our consumers not only for the Warner Brother s or ISRO cover design, but the new range of paper station ery products that we've come up, the car series, abstract series, nature series, all of them are seeing an overwhelming response from the consumers.

They are liking the entire grid that we've made for the new paper station ery page. I thi

nk it's
more to do with the increasing popularity of the DOMS brand rather than co-branded. Definitely having co -branded product s creates some amount of wow factor, but a lot of it is also to do with the rising popularity of the DOM S brand and acceptance of the DOM S branded paper stationery product s.

Aniruddha Joshi: Okay. Surely. Understood. That's helpful. Second question, a bit broader on exports. So as far as like there are some restrictions coming on some countries from USA. So do you see that opening up a window of exports for us means do you see any additional inquiries for exporting the product to their countries, etc ? Because I guess that's currently a long -term positive growth tailwind for us. So any update on these things?

Rahul Shah: So exports , Aniruddha Ji, both at the inter -group within FILA network as well as to third party continues to represent a great opportunity for us. While the ongoing geopolitical tension has impacted our exports to a certain extent , we believe things to improve from here both because of certain restrictions to som e other countries as well as the new distribution arrangement that we are going to soon enter with FILA Group companies across the globe wherever they are present . This should do well from an export potential perspective.

But having said that, the domestic market continues to remain a focus area. Our capacities continue to remain a little constrained. But once we have new capacities coming in, I am sure we will be able to leverage the export potential a little better.

Aniruddha Joshi: Okay, sure. Understood. Last question before I hand it over to the operator again? See this product has a immense potential, may not have any really great potential in e -commerce per se, but has got immense potential in quick commerce. So what will be the strategy of DOMS looking at over, let's say, next 2 to 3 years to penetrate significantly in a quick commerce channel? Yes, that's it from my side.

Rahul Shah: So Aniruddha Ji, definitely quick commerce, e -commerce we are present there . Our business in that segment is also growing but our presence there is restricted only to giving convenience to our consumers . But our heart and soul remains with our general trade channel partners who have been one of the strongest reasons for our growth , our brand acceptance at the consumer level . And they are the ones who actually keep the entire wide range of DOMS products and ensure that these products reach our consumer very well. So that continues to remain the focus.

Our network expansion is going o n in a very thoughtful manner . Strategically where we are trying to maximize the throughput before entering into new retail space. But having said that, in e-commerce as well as quick commerce, our presence is increasing with the sole purpose of ensuring c onsumers have that convenience. They are not our main focus.

Aniruddha Joshi: Thank you, sir.

Moderator: Thank you. Next question is from Naitik from NV Alpha Fund. Please go -ahead.

Naitik: Thanks for the opportunity. Sir, my question is, you mentioned about your new distribution agreement with FILA for their international channels. So I just wanted to know what kind of opportunity this could be for us.

Rahul Shah: FILA as a group is today pr esent in close to more than 100 countries globally . In some of the geographies like South Africa, Australia, for that matter, even US, Europe, they have a strong network there and these are untapped market s for DOMS branded product. While we do some amount of sale -in certain African countries and certain amount in Australia in the DOMS brand, but in a lot of these geographies where FILA is present , the presence of DOMS as a product, as a brand , in those countries is not there.

So it represents a good opportunity. Will open many internatio

nal geographies for us. So we are really excited about this partnership with FILA and FILA Group companies. But as and when we keep getting capacity additions, that is how we keep targeting to open markets . So we would not want to be in a position that we do some amount of export to many countries and are not able to fulfil their follow -up requirement that really in a way kills brand. Everybody invests time, efforts, resources in -building a brand. But then if you cannot do a follow -up sale, then consumers forget about it. So while it represents a great opportunity but we'll go country -by-country , slowly with each entity, and soon we plan to start . The first country probably we will start , would be some Latin -American country.

Naitik: Got it, sir. Sir, my second question is, can you quantify the exports to FILA and the exports of -- under our own brand -name for the quarter and for 9 months?

Rahul Shah: Sorry, I couldn't get that.

Naitik: Sir, could you quantify the exports we did to FILA and the exports we did under our own brand -name for the quarter and for 9 months?

Rahul Shah: So for the quarter, we did about INR 37 odd crores , was our sales to FILA and our exports under our own brand was around close to INR 27 crores. And for the 9-month period, this amount was , for FILA was close to INR 120 crores, while owned brand exports was about INR 82.5 odd crores.

Naitik: Okay, sir, got it. That's it from my side. Thank you so much.

Moderator: Thank you. Next question is from Sharan, who is an individual investor. Please go -ahead.

Sharan: Thanks for the opportunity. While waiting all my questions are already answered. So just want to know on a broader view, like since you are coming up with a ba g and you are coming up with toys, you already have stationary products, do you have any plans to make a strategic partnership with the school chains which are operated across India , to make a strategic long -term partnership and sell your all the products together ?

For example, like Poddar, Jumbo Kids and all such kind of chain schools which are there across India, sell all your bag stationary items and hygiene products and toys together for long -term stable partnership. Do you have any such plans?

Rahul S hah: So Sharan Bhai, a t the company -level, we don't actively pursue such partnerships, but we always

encourage our channel partners, our channel partners across India, not only partner with such educational institutions, but also participate in a lot of go vernment tenders as well and we always authorize them to do business with them . That ensures our products reach our consumers at the same time, our channel keeps supporting us.
Sharan: Okay. So you don't directly get involved in such partnerships through the distribution ?
Rahul Shah: It is encouraged through our channel partners.
Sharan: Okay . And sir, in the bag part, school bags, I have seen in the nearby shops, it's currently coming as a kit. Do you have plans to produce separate bags as well , like generic bags with variety of designs and sizes ?
Rahul Shah: Yes, Sharan Ji, SKIDO Industries , our subsidiary where we have 51 % stake . They have already develop ed a range of school bags. So our target there is also going to be the scholastic children only. These are not like the laptop ba ckpacks , but these are more like school bags .
The first -line of product is already designed , they are right no w in commercial production. And soon it will be launched in the market as a separate bag, as a separate product , right in time for the upcoming back -to-school season and it's a differentiated high value -added range. I'm sure our consumers and hope that consumers should like them.
Sharan: Sure, sir. Yes, appreciate that. One follow -up and sir, yes, if you allow me. So the Government of India is pushin

g for Make in India for toys segment and there is a lot of buzzword on that and the import substitution. C an you throw some light on like contribution towards that like your toy segment, how it is going to contribute to that? And are there any benefits from Government of India like PLI and as such ?
Rahul Shah: So our participation in the toy segment is through an associate company called Clap joy where we own 30%. We are seeing good traction in sales in Clap joy. During the third quarter, Clapjoy revenues were close to INR 2 crore s which represents a growth of about 35% year -on-year. The products which Clap joy sells are now co -branded with DOMS . So we are seeing a traction in this segment.
But honestly, we have not yet learnt and do not have our learnings in this business segment . But with a lot of government initiatives , plus I think during the recent budget also there were some announcements which we are actually not yet gone through in detail , we will be doing this subsequently . We shall have a good plan for this segment, but as of now, not something which is significant.
Moderator: The next question is from Manish Goyal from Thinqwise Wealth Managers .
Manish Goyal: Couple of questions. First, congratulations Rahul Bhai, on very good set of numbers. Sir, on full capacity, how much revenue can Unic an -- Uniclan can generate for the -- for FY'26 , or maybe if you can give us what is the full -scale revenue potential? And you did mention that we aspire

for double -digit margin. So can we achieve it for full FY'26 or you probably see that double -digit margin in the second -half of FY'26? That was my fi rst question.
Second question was on domestic sales, excluding exports, if you see a domestic in nine months has g rown 30%, but if we exclude Unic lan, then it looks like 22% growth. But within that or probably if we look at your product -wise, now the schol astic stationery and scholastic art material s has probably grown , probably mid to -single digit. So how should we read into this , and what can we expect? Was it a capacity constraint at your end, or if you can just throw some light?
Third, on overall, how was the volume growth and price growth , probably the growth what we saw 22% in domestic, how much was probably price growth within that? And can you clarify on the capex number for entire FY'25 and FY'26? You did mention but I missed it . Yes. Thank you so much.
Rahul Shah: Thank you Manish Bhai. Manish Bhai, in terms of first part of your question was with respect to Unic lan and the business plan . Honestly, sir, this is the first time we'll be doing an exercise with the management of Uni clan to make our business plan for the next year. That is something which is ongoing in -process and our business plan for the coming year should be ready , before the end of this financial year. But with the current capacity that has been put up and the utilization level th at, ideally we can reach the peak level of utilization , we can reach with the current plan, the sales potential is close to between around INR 250 crores to INR 300 odd crores. But having said that, when we reach there and how we'll go about it, it's somet hing which we'll have more clarity , probably during our next conversation , our next call.
In terms of revenue growth in the nine months, you said, excluding Uni clan, our domestic growth was about 22%. Yes, because Uni clan is predominantly a domestic business. So when it gets consolidated, the proportion of domestic sales increases. In our core segments, excluding Uniclan, scholastic stationery business grew by almost 12.5%. This was primarily on account of increasing in some of the key products under this category. In terms of scholastic art there was

a marginal increase of 2.4%.
Sir, you should always , also look at the growth that we've done in ki

ts and combination pack. If
you look at the growth in ki ts and combination pack, you will see a growth of almost 10 plus percent in revenue. They now contribute close to 9% of our total revenue. So this segment basically , the product here gets manufactured using mainly products from scholastic stationery and from scholastic art material. So it doesn't di rectly sit as sales in these two categories, but it is contributed towards sales of ki ts and combination pack. So therefore, you'll see a little less growth in scholastic stationery and scholastic art, but then those products are actually sold as a kit and combo pack. So that's where some amount of growth is there. But having said that, this scholastic a rt especially, we've not added capacities, significant capacities in the last few quarters, that is something which we plan to do going -forward.
Always, our key driver of our growth has been the volume -- increasing volume, which comes from increasing capacities, where we've increased capacities in the past or the capacity increase

is ongoing, that is where you see higher -volume and overall growth coming in. I forgot the last part of your question .
Manish Goyal: So Rahul Ji, like maybe was there any probably price hikes or price increase which would have helped us for a stronger revenue growth? It could be a function of your -- you would have taken price hikes, one or maybe you have a better revenue mix. If you can share your perspective?
And my last question was on the capex front, so just to clarify for FY '25 and '26.
Rahul Shah: Yes. So in terms of price increase, there were not substantial price increases in our product -- any specific product or any product categories. In certain cases, there were -- which is again comes from the cost sheet approach we have where you see the raw -material or any cost significantly increasing , that time you need to increase the prices , where you feel that there is a need, we increase our prices either to the customer or to the direct consumer through increasing the MRP. But yes, change in the sales mix does result in higher ASPs and though we are not seeing significant change towards premiumization, but yes, there are certain new products which are slightly better in terms of MRPs being added. So there is a slight positive mix coming from the change in the sales mix. But largely the growth is c oming from the volume growth.
And in terms of capex, like we said, we believe we will end this year with a capex of close to about INR 160 crores to INR 175 crores. And in the coming year, our target capex would be close to INR 200 crores to INR 225 crore s.
Manish Goyal: Right, sir . Thank you so much. Thank you.
Moderator: The next question is from Arad hana Jain from B&K Securities.
Aradhana Jain: Hi, thank you for the opportunity. While all my questions have been answered, just one question on your brand -wise revenue growth. So if you could throw some light on how have Amariz and Fixy Fix , how are they performing? And in the “Others ” category that you bifurcate, we have Amariz , Fixy Fix and now we also have Wowper , right? So like if you could just tell us how -- which b rand ha s contributed, how much?
Rahul Shah : So Aradhana basically, Fixy Fix and Amariz are our baby brand for niche products. Amariz is used for fine art materials which we manufacture and sell, it's sold as DOMS Amariz . The other brand Fixy Fix is for our adhesive range where we have a range of products for scholastic use by school children as liquid gum and glue and the white g um. These are comparatively very small right now, but have decent potential.
Other brand is C3, which does for the quarter, we did a business of close to INR 10 plus crores. This is our economical range of product , specially targeted towards the rural mark et where we have multiple S

KUs in terms of polymer pencils, erasers, sharpene rs, so it's a separate. It's
branded as C3 only, manufactured by DOMS but branded as C3, while the other brands are under the DOMS umbrella.
And in terms of Wowper , whatever sales you see from the baby hygiene segment , that's all from Uniclan, whereby the OEM business is about 15% to 16% and rest all is under their own brand, which is now co -branded with DOMS which is DOMS Wowper .

Aradhana Jain: Got it. Thank you. That is helpful.
Rahul Shah : Thanks a lot.
Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Rahul Shah: Thank you. I would like to thank once again all of you fo r joining us on this call today. We hope we've been able to answer most of your queries . Please feel free to reach out to our Investor Relations team for any clarification or further queries or feedback. Thank you once again. Wish you all a good day going forward . Thanks.

Moderator: Thank you very much. On behalf of ICICI Securities , that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

Ref. No. DOMS/SE/25-26/18
Date: May 26, 2025

To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Scrip Code - 544045

Subject: Transcript of the Investor Conference Call on the Audited (Standalone and Consolidated) Financial Results for the financial year ended March 31, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Part A of Schedule III and other applicable regulations of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, (' SEBI LODR Regulations ') please find enclosed the transcript of the Investor Conference Call on the Audited (Standalone and Consolidated) Financial Results for the financial year ended March 31, 2025, held on Tuesday, May 20, 2025, at 11:30 hours.

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the following link:

https://domsindia.com/pdf/Investor_Relations/Investor_Presentation_and_Transcripts/Q4_FY25.pdf

This is for your information and records.

Thanking you,
Yours faithfully,

For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl.: As above

"DOMS Industries Limited
Q4 & FY25 Results Conference Call"
May 20, 2025

Disclaimer: E&OE - Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company's website will prevail.

MANAGEMENT : MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER –
DOMS INDUSTRIES LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the DOMS Industries Limited Q4 and FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

The presentation which DOMS Industries Limited has uploaded on the stock exchange and their website and the discussion during this call contains or may contain certain forward-looking statements concerning DOMS Industries Limited business prospects and the profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward-looking statements.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities Limited. Thank you, and over to you, sir.

Aniruddha Joshi: Yes. Thanks, Shruti. On behalf of ICICI Securities, we welcome you all to Q4 FY '25 and FY '25 Results Conference Call of DOMS Industries. We have with us today senior management represented by Mr. Rahul Shah, Chief Financial Officer. Now I hand over the call to Rahul Bhai, for his initial comments on the quarterly as well as annual performance, and then we will open the floor for question-and-answer session. Thanks, and over to you, sir.

Rahul Shah: Thank you, Aniruddha. Thank you, Shruti. Good morning, everyone. It is our pleasure to welcome all the participants to the earnings conference call for the fourth quarter and the financial year ending March 31st, 2025. Joining me on this call is our team from Marathon Capital, our Investor Relations Advisor. I hope everyone had an opportunity to go through the investor presentation and the results release that we have uploaded on the exchanges and our company's website.

Our financial year 2025 results, driven by steady sales momentum showcases our resilience and ability to thrive and navigate through challenging market conditions. Through our relentless focus on execution and operational excellence, we've achieved a revenue growth of nearly 25%. This growth momentum was driven by consistent performance across our core categories, successful new product launches and the integration of Uniclan, which collectively contributed to this performance. In recognition of this performance, we are pleased to share that the Board has recommended a dividend of INR 3.15 per share, subject to shareholders' approval.

Coming to some notable updates at our subsidiaries. Pioneer stationery and Micro Wood continue to expand capacities to capitalize on growing demand for paper stationery products as well as packaging requirements of DOMS. Uniclan Healthcare, our subsidiary focused on baby hygiene segment too has delivered positive results, validating the effectiveness of our strategic initiatives. At SKIDO Industries, we launched our maiden range of DOMS branded school bags for the ongoing back-to-school season, and the initial response has been very encouraging.

Our growth trajectory is fuelled by strategic expansion initiatives. The proposed acquisition of a majority stake in Super Treads Private Limited is aimed towards increasing our manufacturing capabilities and expanding our paper stationery infrastructure. This would enable us to reach consumers more effectively and enhance our competitiveness, especially in the Eastern markets of India. This investment aligns with our vision to deliver unique differentiated products at competitive prices, leveraging our growing brand reputation and extensive distribution network. Further, we continue to focus on expanding our manufacturing capabilities so that we can quickly and effectively

cater to the increasing market demand for our products. Our capex strategy prioritizes such expansion initiatives. During the financial year 2025, at a consolidated level, the company has invested over INR 213 crores towards capital expenditure, including capital advances. These funds were primarily invested for the construction activities and purchase of plant and machineries. Further, our ongoing 44-acre expansion project construction is underway in full swing with anticipated possession of first building by Q3 FY'26 and beginning of commercial production slated in Q4 FY'26.

On a consolidated basis, our working capital stood at around 60 days. This increase in working capital days is primarily on account of increase in debtors to keep pace with the demand coming from the market. Further, the impact of Uniclan acquisition has also resulted in higher trade receivables. However, we believe with growing operation as well as full integration of Uniclan for the full year, we will be able to maintain our working capital cycle at around 55 days. The Indian growth story continues to be domestic consumption driven and on back of this, we continue to prioritize our growth in the Indian markets with focused distribution network expansion.

On exports front, we believe our distribution agreement with FILA will enable us to leverage their group network and infrastructure in their existing territories, helping us to smoothen our export business expansion and to navigate complex export environment. While we remain watchful of external uncertainties, we are optimistic about a gradual recovery in the domestic demand on the back of growing optimism around consumption-driven growth.

Our strategic efforts lay a strong foundation for medium to long term success and moving forward, we'll continue to focus on our core strengths, which are broadening of our product portfolio, boosting our production capabilities and scaling our distribution network to drive sustainable and profitable growth.

Now coming to the details of our financial performance for the quarter and year ended March 31, 2025. Consolidated revenues from operations for Q4 FY'25 grew by 26% to INR 508 crores as compared to INR 403 crores in Q4 FY'24. This sales growth was backed by growth in EBITDA from INR 75.9 crores in Q4 FY'24 to INR 88.3 crores in Q4 FY'25, growth of 16.2%. EBITDA margin for Q4 FY'25 stood at 17.3% as compared to 18.8% in Q4 FY'24, which is higher than our guided range of 16% to 17% as provided during our previous conversation. PAT for Q4 FY'25 grew by 9.3% to INR 51.3 crores as compared to INR 46.9 crores in Q4 FY'24.

PAT margin for Q4 FY'25 stood at 10.1% as compared to 11.6% in Q4 FY'24. On a sequential basis, our PAT dipped quarter-over-quarter, primarily due to lower other income resulting from utilization of cash reserves for ongoing capital expenditure. Additionally, it was impacted by a INR 2.3 crores of additional amortization expense considered in Q4 FY'25 related to Uniclan's brand value post acquisition. This is a non-cash item, but there will be an impact on the profitability to the tune of around INR 4.5 crores annually for the next few years. We believe keeping other factors constant on account of these reasons, we'll be able to maintain PAT levels of around 10% in the forthcoming financial year.

In terms of our performance for the financial year 2025, we are happy to share that our consolidated revenue from operations grew by 24.4%, in line with our guided range of 23% to 25%. Revenues from operations stood at INR 1,912 crores as compared to INR 1,537 crores in FY'24. EBITDA for FY'25 grew by 27.8% to INR 348.4 crores as compared to INR 272.7 crores in FY'24, resulting in expansion of EBITDA margin from 17.7% in FY'24 to 18.2% in FY'25. PAT for FY'25 grew by 33.7% to INR 213.5 crores as compared to INR 159.7 crores in FY'24.

PAT margin for FY'25 rose to 11.2% as compared to 10.4% in FY'24. With this, I would now request to open the floor for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mehul Desai from JM Financial. You may proceed.

Mehul Desai: Just one or two questions. Firstly, on the top line front, while we have grown 25%, if I look at organic growth, excluding Uniclan, it is around 14% in the core stationery business, which looks on a moderate side versus what we have seen in the first three quarters. So if you could explain what has led to this, especially in the Scholastic Stationery and Scholastic art material, given that there would be some shift of that sales to kits and combos. Your kits and combos has done pretty well. So if you could explain this, what has happened in these three categories. And from a FY'26 perspective, how do you see these 2 large segments on a steady-state basis growing for you? So that's the first question.

Second question, if you can just give us one roundup on what kind of capacity additions, I mean, in which segments did the capacities got added in FY '25 and where were the capacity constraints which -- which will be addressed in FY '26?

And third is on Uniclan. I think if Uniclan has done phenomenally well in this quarter also. I think while when we acquired, Uniclan's reach was 30,000 -- 30,000 outlets. What is the increase in reach for the Uniclan brand that we have seen. So if you could address these 3 questions, that would be helpful?

Rahul Shah: Sure. We'll definitely like to. Mehul bhai, for your first question with respect to the performance of our core business, if you look at the growth of the core stationery business on a year-on-year basis, we have grown in this financial year by more than 17%, which is close to our targeted guidance of 18% to 20%.

If I have to specifically speak about the Scholastic Stationery and Scholastic Art material division and combine it with the kids and combo pack, we would really draw your attention and

would like to suggest that you should probably see all these three categories together to see the growth in these three categories because kids and combo pack, if you see, has grown by over 40%. And these combo packs are largely made from individual items in the Scholastic Stationery and Scholastic Art material. There's an increasing trend that we are seeing in the market where people are preferring combination packs rather than buying small or single individual items. So that's driven the sales of kits and combo packs. So if we see the overall gross sales of Scholastic Stationery, Scholastic Art and kits and combos together, in Q4 of FY'24, these three segments accounted for close to INR 325 crores and this year also, the sale has been similar or in line with that number. And if you see on a full year basis, which is like FY'24, the gross sales of these categories was around INR 1,261 crores, which grew to INR 1,360 crores on a full year basis, which is like a 7.75% increase. So this increase has been despite not adding any capacities -- significant capacities in these segments. It's purely come from increasing of efficiencies where volume on an overall basis have grown by about 3.5% and ASP has increased by another 3% - 3.5%. So on an overall basis, when you put all these 3 segments, we've demonstrated about 8% -- close to 8% growth.

Mehul bhai, on the next question with respect to capacity. So, during the last financial year, as we had informed you all that the company is actively looking at increasing its capacity in writing instrument segments, which includes pens, markers, highlighters and other products. So we've added capacities there. Also in our Paper Stationery segment, we've added significant capacities. Capacity at Pioneer Stat

ionery almost grew by close to about 20% and that too before the back-
to-school season. So that's worked very well for the company. So during the entire financial year, like I said on the opening remarks, we had invested close to INR 213 crores out of these funds were primarily about INR 113 crores were invested towards the expansion of the 45 acres plant. In addition to that, we've invested close to INR 100 crores in our core business of stationery and about INR 10-odd crores increase at Uniclan. So that's where capacities have been added.

And going forward in FY'26, we believe that we'll be -- the total capex planning that we've done is around INR 225 crores to INR 250 crores. This will be primarily for setting up the buildings at the 44-acre facility as well as land parcels that we've acquired recently adjacent to the current flagship unit. This will enhance our capacities for pencils, writing instruments, paper stationery, etc. The 44-acre first building is expected to be ready by the end of the current calendar year and by the last quarter of the financial year, we expect to start commercial production. So that's with respect to the capacity additions that have happened and that are planned.

In terms of Uniclan - so Uniclan has definitely helped us to -- it's been a surprise for us as well, while we had earlier thought that seasonality impact would come in during the fourth quarter, where, in the last 45-odd days, sales typically go down. But due to the network integration with DOMS to some extent and also with respect to addition of capacities that happened at Uniclan, the performance has been positive. If you look at the Uniclan sales number for Q4 FY'25 Uniclan clocked revenues of INR 48.1 crores. The company's current run rate in terms of sales is around about INR 15 crores to INR17 odd crores per month, and we believe EBITDA margins to be about 8% to 9%. The company's current capacity. They've also commercialized their wet wipes -- own wet wipes manufacturing plant during this quarter towards the end of the quarter. So sales

from wet wipes also will be added -- significant sales would be added in the current financial year.

Mehul Desai: And any color that you can give on what is the distribution reach now for Uniclan versus when

you had acquired because you said network expansion is ahead?
Rahul Shah: So Mehul bhai, the distribution reach has more or less been constant. It's not changed significantly because what we've been trying to do is integrate some of our channel partners in the areas of operations in which Uniclan focuses in order to strengthen their focus on the business. So you wouldn't see a significant increase in the reach. Uniclan today still has about 70-plus stockist, but this includes the old stockist as well as the integrated stockist from the DOMS channel, close to 1,000-plus distributors and reaching about 35,000-plus retail outlets.
Mehul Desai: Got it. That's all from me. I will come back in the queue. Thank you Rahul bhai.
Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. You may proceed.
Priyank Chheda: Yes. Hi, this is Priyank Chheda from Vallum Capital. Rahul bhai, my question was again on the same. We have added, I think, capacities in the scholastic stationery within pencils where our capacity went up from 5.5 million pencils per day to 8.5 million. And even in office supplies, the pens capacity went up as well as in the pencils we have added. So something which is not reflecting in when it comes to quarterly sales growth. I think we have added in last quarter itself. So some highlight on that. And when it comes to, say, FY'26 within core stationery business, as you mentioned, 3.5% was the volume growth. What should we expect going ahead in FY'26 from the core stationery business?
Rahul Shah: So, Priyank, sorry, but I think,

like we said, the growth in capacities in pencil is something which is underway. It has not started in the previous quarter. So in fact, as we speak, the first phase of pencil capacity, which is the wood processing and seasoning, which is one of the most critical parts in pencil manufacturing is now complete and ready in line with what our targeted increase in capacities of pencil is going to be. Phase 2 and Phase 3, which is predominantly wood working and finishing of pencil, for that construction work is in full swing. Due to certain delays in construction due to monsoon and recent climatic changes where we had unexpected rains, the possession of those infrastructure is something which will come in the coming few months, and then we'll do the installation and production. So during the last financial year, there has been absolutely no increase in the capacity, whatever 3%-odd of volume growth that we've done in our pencil business is purely on basis of efficiency from the same capacity having more output coming in. So that's what we meant, when I said 3% business coming from scholastic pencils. So we've actually not added any significant capacities. That is something which is still a plan of action.
If you see the growth in the last financial year, that has come majorly from the significant increase that has happened in office supplies, which is for pens, highlighters, markers where we've increased our capacity and paper stationery. So these two segments have resulted in majority of growth. Now if you compare from Q3 to Q4, like I said, there has not been any

significant capacity additions that have happened in this quarter. So the revenue has been more or less -- the growth has been more or less not as per like a 20% sort of a growth. It's been about 7% to 9% growth.
Priyank Chheda: That is clear now, Rahul ji. So now what I've understood is pencil. I think if you can clarify the capacity, we are expanding it from 5.5 million pencils per day to 8.5 million, and that would be the growth factor for FY'26 as the capacity goes on board, goes live. When it comes to other segments, be it art material, kits and combo, paper stationery or even office supplies after the growth that we have seen, what can be the organic volume growth that we should think of it when it comes to FY'26?
Rahul Shah: So Priyank, I would really not want to say a number for the volume growth. Like I said, overall for the business, we are expecting close to 18% to 20% of revenue growth for the coming financial year at a consolidated level.
In terms of pencil growth, yes, our plan is to increase the capacities from 5.5 million to 8 million, but that will come up in phased manner. Right now, our existing infrastructure and resources are being focused on growing our capacities in our writing instrument and paper stationery category, where we have seen very positive traction coming from the market and the trade overall. And I think that is honestly like a low-hanging fruit available to capitalize on this positive response. So right now, the focus has been more on these segments. But overall, all put together, we expect the company's growth in revenues to be around 18% to 20% in the coming financial year on a consolidated basis.
Priyank Chheda: One last question on -- within exports, if you can quantify how much of that was to the FILA Group or the affiliated clients from the FILA Group within the exports for this year as well as for the last year?

Rahul Shah: So in terms of FY'25, our exports to FILA was about INR 166.5 crores and exports to other third-party customers in other countries where we sell DOMS was about INR 108 crores.
Priyank Chheda: Rahul bhai, this sales to FILA Group hasn't grown for the last 2 years. Any reason for this? Do we have a capacity constraint also over here?
Rahul Shah: Absolutely. See, Priyank, if you look at wh

at are the key items that we sell to FILA and FILA
Group affiliates that have been majorly pencils, other scholastic stationery items. Yes. We sell majorly pencils, other scholastic item and scholastic art materials. These are the three key products, key categories from which sales to FILA and FILA Group companies happen. And in these categories, we've not seen any substantial significant increase in capacities. So once the pencil capacities increase, then I believe, again, you'll see a positive growth in the FILA business. It's more to do with the product mix. The key products which have driven our revenues over the last couple of years, not a lot of them are sold to FILA and FILA Group companies, for example, writing pens. And these are new categories for us where we would really want to prioritize on our sales in the domestic market rather than focusing on export.
Priyank Chheda: Perfect. Thank you for answering all the questions.

Moderator: Thank you. The next question is from the line of Akash Shah from UTI. You may proceed.
Akash Shah: I just wanted to ask regarding paper stationery. So we have made an acquisition in this segment. So just actually, my question was we don't have the backward integration in this particular segment. I mean, I'm referring to the paper pulp manufacturing. So sir, any thoughts on how we are going to compete with the incumbents in this segment?
Rahul Shah: So Akash, yes, we do not have backward integration to the level of paper pulp or we don't even make our own paper. There are very good companies in India with good capacities who make very good paper. We've partnered with them. Our relationship with them goes back a long way. And you should also remember that it's not only a relation with respect to paper, but with a lot of packaging material that we use, we work very closely with the paper and paperboard manufacturers. So we have strong relationship with them. And therefore, we do not see paper to be a challenge in the scheme of things or our expansion plan within the paper stationery segment. Currently, as we speak, while in around October, we had increased the capacity at Pioneer Stationery by about 20%, we are also in the process of purchasing a fourth fully automatic book machine line at Pioneer. It should be delivered at our plant in the coming month and should be ready for commercial production by June end. So there, we are adding capacity. Plus our recent acquisition of Super Treads Private Limited which is a company based in Eastern India in Siliguri, West Bengal, that will help us to increase our capacities by another 30%-odd. So overall, we believe we'll now have good infrastructure to capitalize on the positive traction that we are seeing in the paper stationery segment.
I don't know if you've got a chance to look at the newly launched paper stationery books that we've come up. It's something for the first time sort of designs and layout that has been launched in India. It's been extremely loved by our consumers. The value addition in the product in terms of designing can be really seen if you like just pick the product and compare it with others. So we are very hopeful in this segment. We believe it to be one of the key contributors to growth in the coming financial year.
Akash Shah: Sure, sir. And on pricing front, how would our pricing be versus competition?
Rahul Shah: See, paper stationery where you know pricing, we are -- I would say we are rightly priced for the product that we are delivering, the quality that we are delivering and the specifications that we are giving to our consumers, we have rightly priced our products. And that is why we are seeing such significant growth in this segment. In paper, it really depends upon the GSM of paper, which are used in manufacturing of books. So while we are maintaining our standards and quality, we are rightly p

laced. There might be different players having -- offering higher,
lower GSM papers and being differently priced. So it's really difficult to compare on a company-to-company basis. It really depends on the quality that you are giving.
Akash Shah: Sure, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Shrenik Bachhawat from Mahindra Manulife. You may proceed.

Shrenik Bachhawat: Congratulations on good set of numbers. So I just wanted to understand where do you see certain gaps in our portfolio versus the demand in the market, where we can look to buy smaller companies going ahead in the next 2, 3 years? Where do you see the portfolio gaps currently?
Rahul Shah: So Shrenik, honestly, in terms of capacity gaps, if I have to talk, then there is obviously gaps at almost all categories that we are present in. The ideal scenario for us would have been that if we could have everything ready tomorrow and be able to add capacity across all our product categories, but that's staying in a wonderland sort of a thing. So there are gaps everywhere-- in all capacities.
In terms of product portfolio, if you say, then there are a lot of product categories like we mentioned in the past that we would really want to enter, and we believe with our brand and network, we can do good in those segments, especially BTS, back-to-school segment. Where we consider compass boxes, tiffen boxes, school water bottles and all these segments. That's one category. Office supplies, except for writing instruments and markers highlighters, we do not have any presence. There are segments like files, folders, staplers, calculators, host of other things. So all these we see seem to be category gaps.
How do we go about these companies is something whether it would be organic or inorganic can be evaluated on a case-to-case basis. We would want to expand our presence in these product lines, which are associated with the growing years of kids and children. We love to partner with technocrat people who have good understanding of manufacturing. And if there's anything interesting, we will keep evaluating them. But there's nothing planned as such, like this will happen through an organic route or this will happen through an inorganic route. It will be on a case-to-case basis.
Shrenik Bachhawat: Sure. And you already highlighted that 18% to 20% growth we expect in FY'26. Can you highlight what is the EBITDA margin range we expect in FY'26? And what is the capex plan for next 2 years?
Rahul Shah: So, Shrenik, in terms of EBITDA margin, we expect it to be between 16.5% to 17.5% and PAT margins to be around 10% in the current financial year FY'26. In terms of capex, it's about -- like I said, we are planning to invest between INR 225 crores to INR 250 crores. This will be primarily towards the construction activities at the 44-acre plant as well as the new land parcels that we've acquired adjacent to our current flagship plant in Umbergaon. In terms of capex, the year after, I believe it to be in a similar range because then the phase of plant and machinery installation will be going on in full swing.
Shrenik Bachhawat: Okay. Thank you so much. This is it from my side.
Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. You may proceed.
Arpit Shah: I just wanted to understand the guidance for FY'26 that you're guiding about 18% to 20% revenue growth. I just wanted to pick your brains on that. We still have two quarters of consolidation,

which is left on the Uniclan side. And if I just use that number for FY'26, about INR 200-crores-odd, our organic growth is not looking very encouraging at least for FY'26.
Are you under eyeing on numbers or how is it, because we also have capacities coming in quarter 3 of

this year from our new plant. How should we look at the revenue numbers from there on?
And even on the PAT margin side, we're netting about 10%. That is majorly because of the Uniclan integration. But Uniclan integration is going on well, about INR 150 crores kind of a run rate quarterly. So how should we think about margins on that front?
Rahul Shah: So, Arpit, firstly, let me clarify, we expect in the 44-acre plant capacity addition, we'll get the possession of the building in the third quarter of the current financial year with commercial production starting in the fourth quarter. So in this year, we'll not have substantial revenue coming in from 44-acre plant.
With respect to Uniclan, see, Arpit, if you look at what we've consolidated at Uniclan for the 6.5 months that we've acquired this company, is about INR 112 crores of sales. And if you look at the Uniclan sales for the complete financial year, FY'25 was about INR 166 crores. This business has seasonality, like we've said. The first quarter is very weak because in summer, because of the climatic conditions, the propensity to urinate reduces significantly. So, the first quarter is weak. And then the business picks up from middle of the second quarter once the rains settle in throughout the country. So, what we believe is we've already consolidated two-third of Uniclan business, one-third is pending. So there wouldn't be much significant addition. Like you're saying, you cannot double it and say that there's significant that will come from Uniclan. So it

will not be double, it will be just one-third additional.
And in terms of core business, including now Uniclan, that's why we're saying that we are expecting close to 18% to 20% and we'd like to be always a little conservative. That's how we've been. If you see even for the previous year, we said that on a consol level, we'll do about 23% to 25%, and we came close to that towards the upward range only. Here also, it's prudent to be a little conservative. See, because what we've experienced during the last year is because of this change in climatic conditions that we are seeing with certain spells of rains coming in off-season also, construction activities are getting impacted a little. So, it's better to be that's why a little conservative.
See, in terms of PAT margin, the reason for PAT margins to decline has been purely for two key reasons. One, our other income is decreasing. See, when we did the IPO, we had a lot of cash on the books, which were parked as fixed deposits and a lot of interest income, which was categorized in other income was realized by the company. So these fixed deposits are now coming down because we've started utilizing this cash for the expansion, for the purpose that we've taken -- raised this cash. So as we move forward, this cash would further come down. And hence, would our other income. So, like I said, our EBITDA margins are expected to remain in our guided range. But because of this reduction in other income, there will be impacts to the PAT. And plus, because of this Uniclan acquisition where we had to do a purchase price allocation where certain value was recognized towards the brand and other intangible assets, there will be an additional depreciation charge over and above for what we have generally for

our tangible assets, there will be an additional depreciation charge on an annual basis of close to INR 4.5 crores. So because of this, we believe the PAT margin -- but this is a non-cash item amortization. But because of that factor, the PAT margins would be around the range of 10%.
Arpit Shah: Got it. Got it. Fair enough. So let's say, by FY'27, where we would not be, let's say, constrained by capacity. So, what kind of growth then will you all be building it for? Because FY'27 will be a big year when the capacity kicks in, at least from the new plant, because you'

re struggling with
the pencil capacity, you're probably not struggling with the pen capacity, the scholastic and all of that. So once you're not constrained by capacity, what kind of growth you would be looking at? And just one last question, what kind of -- if you can just highlight or put a light on what is the new agreement with FILA with the promoters? What is it to do with -- is it a shareholder agreement or is it a distribution agreement? If you can just put a light on that?
Rahul Shah: Yes. So, with respect to capacity, Arpit, the way we are seeing the business being built up and the momentum we see in the market, I think next few years, we will continue to be remained with capacity constraint. I think once we increase our capacity for pencils from 5.5 million to 8 million, we are optimistic that we'll be able to achieve that growth in sales also very fast, and again, come to a position where we are constrained for capacity. And we've seen this historically also when we were increasing our capacities in pencil from 4 million to 5.5 million, we were like this will be now enough to serve the requirement, but markets always surprised us and touchwood and we expect the markets to continue to surprise us. So, capacity additions will be an ongoing process.
What capacities for what products at what point of time. As management, we would want to be a little flexible with this because one of the key strengths and reasons for us to achieve significant compounded growth in the last 10-odd years has been our ability to adopt to market requirements very soon. So, we would really not want to get limited by saying something today which might probably result in lack of flexibility. So, we believe capacity addition will be an ongoing project at least for the next 5 to 7 years.
With respect to the FILA agreement, the company, the Indian promoter shareholders and FILA entered into a shareholders' agreement and also FILA and the Indian promoter amongst themselves entered into an inter-se agreement. The essence of the shareholder agreement has been giving each other certain -- giving the promoter shareholders certain nomination and representation rights. There are certain reserved matters on which the promoter shareholder group has a say. And one of the key components of the shareholder agreement has been the decision between the promoter shareholder group and the company to give FILA an exclusive right to distribute DOMS products in the geographies where they are currently present. If you look at FILA, FILA is present in over 100 plus, 150-odd countries today and very strong in markets like U.S., Europe, Latin America. So these are all countries where they have a very strong network already established. They have infrastructure, which is already established. And what we started as a pilot where we started selling DOMS branded stationery in Italy, where FILA is the largest stationery company. There, what we saw was, while FILA continues to be

the largest stationery company there, the second or the third category, especially which was taken by Chinese supplies, were slowly being able to -- DOMS was able to enter those segments

and do decent business. So that is the reason why we wanted to replicate a similar sort of a model in other regions where FILA has strong existing presence and infrastructure. So, in this way, we do not even cannibalize the existing business of FILA. At the same time, we are taking away business from other companies, especially the Chinese suppliers. And with the new capacities that will come up, especially, once the 44-acre full plant has started, so we'll be able to get access to these large developed markets. So, we believe this to be an exciting agreement with FILA.

Arpit Shah: Got it. Just a follow-up on this. So, would they have an allocation in terms of what distribution -- what the exports c

ould look like and the margins would be similar to what the company makes or it will be a bit higher since it's exports?

Rahul Shah: So, see, from a margin perspective, we've always had a similar sort of a philosophy that we need to sell the right product at the right price, keeping margins similar across all our product categories. So, I wouldn't say there would be substantial increase in margins because of this export, and that too to a developed country. But yes, exports do have a slightly better realization. So there might be certain positive impacts to the margins, but not substantially.

Arpit Shah: And what this number could grow up to, let's say -- so we were at INR 155 crores in FY'25. What this number could grow up to, let's say, in the next couple of years post this agreement?

Rahul Shah: So, right now, we are at about INR 166 crores on a gross total sales perspective. So this potential is high. It still depends when capacities come in. Arpit, I will be very honest with you, while we've always wanted to expand our business association with FILA and FILA Group Companies, domestic market continued to be our focus and somehow whenever new capacities were added, domestic market was prioritized because we wanted to build our brand here. But this time, we believe that the capacity expansion is significant, so we'll be able to fulfil the demand of FILA and FILA Group Companies reasonably well. In terms of number, I really don't know or would want to put a number that how much we'd grow to, but let the capacities come in, then we'll have better visibility.

Arpit Shah: Sure. Thank you.

Moderator: The next question is from the line of Jaiveer Shekhawat from Ambit Capital. You may proceed.

Jaiveer Shekhawat: Sure. Thanks for taking my question. Rahul, my question is on your office supplies side. Sir, you've done very well on the office supply side. I mean, almost double the revenues there. So, wanted to better understand what has really driven that your strategy there? And then what's the outlook here with respect to pen, markers and everything else that's included within office supplies? That'll be my first question, sir?

Rahul Shah: Jaiveer, like you said, office supply has done well because we've been able to add capacities there. During the last -- almost for the last 1.5 years, almost 6 quarters, we've continuously kept adding capacities in our office supply segment, which largely comes from pens. Also added and introduced recently a range of highlighters, markers, which we had in that. New product launches have also come in. So, as a result of this, overall, the office supply segment, because of capacity

additions and new product launches, has done very well. And this is something on expected lines.

Jaiveer Shekhawat: And sir, given that the market potential is quite large, I mean, what's your expectation of growing this segment over the next 2, 3 years?

Rahul Shah: So like I said, right now, it seems to be, the response that we got from the market in this segment is very encouraging. And that is why right now, our current infrastructure, new infrastructure that we are getting, the resources that we have, we are prioritizing further investment in writing instruments, as well as paper stationery because we are confident that this business provides a good growth opportunity for the company.

Jaiveer Shekhawat: And sir, with respect to the current capacities that you have, how much of that would already be utilized on the pen side? And how much further are you adding? And when will that capacities come in?

Rahul Shah: So Jaiveer, it's a process. Capacity addition, there are a lot of things that happened. You also visited the plant. You've seen a lot of -- how things are happening. But -- and I wouldn't really want to compare or say exactly when and how much it will happen because it will come in phased ma

nner. And as and when it comes, we'll keep informing you'll about it.
Jaiveer Shekhawat: Surely. And sir, on the diaper business, that will be my last question. Given that over there as well, I think with DOMS' tie-up, you seem to have been now gotten the distribution right. The product also seems to be meeting a lot of product market fit. So what's your expectation of sort of scaling that business over the next 2, 3 years?
Rahul Shah: So, Jaiveer, I would really say that we still do not have -- we've not got the distribution or the channel right. It's still work in progress. There is a lot of work to be done. It's just that when you add something or change something, you see some significant changes in the short term. But to keep that momentum going, there's a lot of work that we still need to do in terms of channel, in terms of understanding this business, how it operates. What sort of pricing mechanism works more from a long-term growth perspective. So that's still work in progress. We've, like I mentioned in our previous call also, we are integrating till the extent possible our distribution or channel strength to the benefit of Uniclan. Where Uniclan already has an established network or a channel partner, there we are trying to put in the best practices in terms of sales, in terms of pricing to get things right. It will remain a work in progress for at least next couple of years. But like you said, this opportunity seems very good. The market size, the market potential seems very high. See, about 30 -- a significant portion of the revenues of Uniclan comes from e-commerce sales. And these sales, when we analyze deeper, we come to know that this is happening on a pan-India basis. So it at least validates that the product is accepted at a pan-India level. So it's now carefully getting things right in terms of the network and pricing and reaching the best counter from where we believe sales can be generated. But it will remain work in progress, but we are excited about this opportunity.
Jaiveer Shekhawat: Sure, sir. Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from PL Capital. You may proceed.
Jinesh Joshi: Thanks for the opportunity. Sir, I have a question on our distribution reach. I think we have some 4,750 distributors. And in the PPT, we have mentioned that the touch points are about 135,000. Now, if I compare this with our 3Q number, the distributor count was 5,600 and the touch point number was close to about 140,000. So any specific reason for contraction in the distribution reach?
Rahul Shah: No. So basically, what happened, those numbers in the 3Q included Uniclan also, where there were 1,100 sort of distributors. So we basically corrected by presenting both reach differently. So there has not been any contraction in the distribution reach. But at the same time, there has not been any significant expansion also because right now, like I said, Jinesh, earlier also, we always focused on maximizing the throughput each store. Now we've reached a reasonable number of counter spaces, and we would want to first now maximize our throughput in these stores by adding the new products that we are launching, especially paper stationery and pens.
Jinesh Joshi: Got that. And sir, secondly, I was just having a look at the balance sheet. The intangible asset number is at about INR 41 crores, and this figure was negligible in the last year. So what is the reason for rise in the intangible assets? And secondly, our receivable days have increased to about 26, presumably due to the high credit given for the hygiene business. And you mentioned that going ahead, perhaps our working capital cycle will come down from about 60 days to about 55 days. So we are trying to restrict the credit in the hygiene business, is the growth not expected to suffe

r over there?
Rahul Shah: So, Jinesh, in terms of your first question with regards to the intangible assets, like I said initially on the call, post the acquisition of Uniclan, we were supposed to as per IndAS regulations, we were required to do a purchase price allocation. And we had time to do this until the end of 12 months from the time we had acquired this company. So, that purchase price allocation happened during the end of this financial year FY'25, as a result of which we recognized intangible assets with respect to brand network, etc, to the tune of about INR 42 crores. And because of that, you see the intangible assets on the balance sheet increasing significantly as compared to the previous year.
Jinesh Joshi: On the receivables side, if you can just answer that part?
Rahul Shah: So if you look at the receivables, like I mentioned in the opening remarks, there has been an increase in the working capital days, primarily on account of increase in debtors. And this increase in debtors is attributed both to the acquisition of Uniclan because we consolidated only two-third of Uniclan's full financial year sales, while the debtors were consolidated at the year-

end at the full level. And at the same time, I would also want to highlight that in order to meet the demand of the market and the size and scale of business, we've also extended at DOMS credit period to our channel partners. Jinesh, in our previous interactions, we always mentioned that paper stationery is one segment in the overall stationery space where the market is accustomed to credits. And now, with a higher focus on paper stationery we also had to increase the credit

which we give to our channel partners. As a result of these factors, the debtors have increased at the company level, consolidated level.

Jinesh Joshi: Got that. Sir, just one last question from my side. I know this was asked earlier, but I wanted some clarification on this. This 18% to 20% growth guidance, this is ex of Uniclan or including Uniclan? Because I was confused when it was asked earlier?

Rahul Shah: No, it's including Uniclan at a consolidated level because now Uniclan is already consolidated in our numbers. So at a consolidated level, we believe to grow at 18% to 20% in the coming financial year. So that's including Uniclan.

Jinesh Joshi: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Sneha Talreja from Nuvama. You may proceed.

Sneha Talreja: Firstly, congratulations team for a strong set of numbers. Just 2 questions from my end. One is, of course, you mentioned 18% to 20% growth for FY'26. This is including all the capacity constraints that we have for this year. Our major capex comes in Q4 FY'26. So just wanted to understand what could be the real growth of the company from FY'27 and beyond if capacity is a real constraint, like you said that we are almost optimally utilized across the segment. So just a broader question for the next 3, 4 years, you could provide us a vision that what are our plans with the new 44-acre land?

Rahul Shah: So, Sneha, with respect to the growth for this year, like I said, the 18% to 20% growth will come from the existing infrastructure plus the additions that we've done in the existing infrastructure. So this does not account for any substantial revenue contribution coming in from the 44 acres. There has been capacity additions even at Pioneer, our subsidiary, plus this acquisition that we did will help us in augmenting our capacity in paper stationery. For writing instruments, there is infrastructure and resources are being ready. And so these things will drive the growth for the current financial year.

Going forward, Sneha, how much growth will happen once the 44-acre capacity addition happens should be in a similar range as we are guiding now because you also need to keep in mind th

e base number is increasing year-on-year.

And the expansion at 44 acres will also come on a phased manner. The total project is about 1.8 million to 2 million square feet. In the first phase, we expect to get possession of 600,000, then it would be another 700,000, and then in the last phase, another 700,000. So therefore, the growth in capacities also will come in phased manner, and hence, the growth in revenues from the 44-acre plant will also come in a phased manner.

Sneha Talreja: And in the same way, what could be the margin trajectory, given that we are currently more than 17%? Of course, I understand Uniclan is coming with lower base -- lower margins of about 8%, 9%-odd, but still we are guiding a conservative 16.5% to 17.5% range. What happens with new land coming into play? Does our margin actually remain subdued for quite some time because of the new land and the new setup or is there any value addition that we can go about and take

the margins higher, and of course, with Uniclan's improvement also taking into place simultaneously?

Rahul Shah: So see, what will happen with the margin is, Sneha, when we are in this growing phase, we always have to also add up to the fixed cost before the new capacity addition comes in commercial production. So those fixed costs then get started absorbed once the commercial production starts, like for example, I need my team to be ready before the commercial production starts. I need to have my plant head, the plant managers, all are on our payroll. We need to train them. So because of these things, the fixed costs typically increase before commercializing a plant. And now that every quarter, we'll be adding capacities from 44 acres plant. So this will be like a cycle only. And therefore, we believe that margins should remain in that range of 16.5% to 17.5%.

Plus, Sneha, ESOP expense also, like I said, is something which has had an impact on our margins. That is also expected to continue because ESOP is like a 5-year plan. We've just given out ESOPs to the tune of 10% of the total options that we plan to give. So even those factors will come in.

So looking at all these factors, I believe margins of 16.5% to 17.5% is something we'll be comfortable guiding for the coming year and later also. But we'll keep on evaluating. We'll see next year how things pan out. If there's any change in terms of guidance or something, we'll definitely communicate to you'll.

Sneha Talreja: Understood. Lastly, if I may, SKIDO's response in the market?

Rahul Shah: Good. You should also visit some stores and give us some first-hand information. But it's been good response. I happened to speak to a shopkeeper, and he said the first lot of bags that he received, he was able to sell about 50% in five, six days. But it's still early days. I really would appreciate if you'll also could go to the market, pick up the bags, see the bags, give us your feedback, that's really important.

Sneha Talreja: Sure. Understood. Thanks, Rahul.

Moderator: Thank you. The next question is from the line of Aradhana Jain from B&K Securities. You may proceed.

Aradhana Jain: Just wanted to understand a little more on the Super Treads acquisition that we've done. So we've acquired 51% for INR 6 crores of consideration. What is the revenue potential that we expect from this particular acquisition? And given that the company has been there for two decades now, so what is the current run rate that they have, revenue run rate? And given that the salience of this particular brand or the company is more in the Eastern India portion, so are we also trying to target like cross-selling of other products to that region? Because our revenue consideration coming from that region has been lower than North and West. So thoughts on that first?

Rahul Shah: I'll just answer the last part of your question first. In terms of ou

r geographic mix, East currently contributes to almost 18% of our gross product sales. While it seems to be lower than what North

and West do, but it's important to note that our sales mix on a geographic basis is very much balanced with respect to the population of these regions. In East, you see lower sales because the population on East of India is on an overall basis, is lower when compared to North and West. So it's not that East is not doing well and there would be any cross-selling opportunity. We are doing very well in East region, justifying the population and the requirement of the market.

And with this acquisition, we believe we'll be able to do better because we'll be able to reach our consumer in a shorter time, and more importantly, effectively and efficiently because in paper stationery, if you see the logistics, the delivery logistic cost is very high. So by having operations in East of India, we'll be able to effectively reach our consumer for their paper stationery requirement in a better way.

Giving you a background about Super Treads. Super Treads is basically -- has been in existence for almost over two decades, but it has been purely an OEM sort of a manufacturer. So Super Treads basically has been doing job work primarily for ITC for a very long period of time and other few brands. They never had their own sort of a brand. They have a very small brand, which they used only for the local market in Siliguri, but nothing significant in terms of sales network or anything that they had. So it's basically a job work OEM sort of a player. In terms of capacity, they have a capacity of processing about 300 metric tons of paper for different types of books that they can manufacture in the current infrastructure.

And in terms of potential, this infrastructure can translate to monthly sales of about INR 2.5 crores to INR 3 crores working at full optimal capacity per month. But right now, we will once the acquisition is complete, we will start by, first, getting the infrastructure changed in terms of the requirement of our current product portfolio. There might be a requirement to add some more machines and ancillaries which are required for the type of books that we manufacture. And post that, we believe that we can reach that potential in terms of revenue potential. And Eastern market does have that much opportunity. And Siliguri, as a region in East India, is strategically located because Northeast is also close. West Bengal, key markets are also close, so is Bihar and Odisha. So strategically also, they are in a good geography and can help us expand our paper stationery business in East India at a faster rate.

Aradhana Jain: So I was wanting to know that the capex that we plan to do of around, say, INR 400 crores, INR 450-odd crores for the next 2 years, is it fair to assume that the entire capex will be funded through internal funds or is there a scope of us to take external funding for the same?

Rahul Shah: So, out of this capex, Aradhana, we already have some amount which we raised during the IPO, which is still unutilized, about INR 165-plus crores as on 31st March, which continues to remain unutilized from the IPO proceeds that we raised, so that would be used. And rest of all should be funded through internal accruals. And if required, our balance sheet today also supports raising some more debt funds if required. But right now, we don't see any significant requirement of raising debt. Internal accruals plus IPO proceeds should be good enough to fund the expansion for the next couple of years.

Aradhana Jain: Understood. Just last question from my end on the brands that we have, DOMS TOTS, Fixy Fix, Amariz, how has the performance been? Has DOMS TOTS picked up for us? Any thoughts on that?
Rahul Shah: See, thes

e are as it is not categories which or I would say, product lines which are going to grow significantly or meet the requirements of our other scholastic material because it caters to a very niche market, very small range of kids, typically used by kids from the age group of 2 to 3, 3.5 years. After that, they start using our regular crayons or regular finger paints. So you will never see this to grow in terms of sub-brand very significantly. But they are very important to fulfill our product portfolio.
And TOTS, especially with TOTS, what happens is we are able to reach our consumers faster. Earlier, our products used to -- kids used to start using from 3 to 4 years, and now they are able to use it from 2 years. But it's otherwise not something which will grow substantially in terms of absolute revenue numbers.
In terms of Amariz, if you see in the fine art product segment, if you see year-on-year, we've done a growth of over 50% and that has predominantly come from the increase in sale of the fine art products manufactured and sold by DOMS under the brand name of Amariz. So yes, that is doing reasonably well.
Again, with respect to Fixy Fix, if you see our hobby and craft segment, that's also grown by almost close to 25%, where growth has predominantly come from the scholastic adhesives product lines, which are sold under the brand Fixy Fix.
Aradhana Jain: Understood. This was helpful. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Mosam Shah from Wealthguardian. You may proceed.
Mosam Shah: Congratulations on a good set of number. Just wanted to ask, as you mentioned about the pencil capacity of 5.5 million pencils per day and pens to be at 3 million pens per day. So I just wanted to ask, what is the capacity for paper, excluding the acquisition that we have done? So, also about the bags and wet wipes?
Rahul Shah: Paper, our capacity today is a little upwards of 1,000 tons per month. And with the new machine that we are coming up, which will be installed at Pioneer very soon, this will increase by another 15% to 17% and this excludes the new acquisition.
And with respect to wet wipes, the capacity of wet wipe that we'll have is about 1.7 crores packs per annum. But it's, Mosam, important to note that Uniclan currently also generates some amount of sales from sale of wet wipes. They used to buy from outside and sell. It will now be something which they will make in-house and then sell. So it's not something which will add to the revenues completely. It's just some amount of that would replace the existing trading business that they used to do.

In terms of bags, our capacities right now are limited and bag capacity is driven more by stitching capacities. The bag manufacturing operations are located in Jalandhar, which is like a hub for sports good and bags where you also have the ability to increase the capacity with minimal sort of investment and infrastructure requirements is possible. So depending upon how the bag business and how the feedback that we get from the market, we'll decide on how do we want to increase our capacities for bags. But right now the capacities are limited.
Mosam Shah: Okay. And what about the art section in the portfolio?
Rahul Shah: So in terms of revenue?
Mosam Shah: Yes, capacity-wise.
Rahul Shah: So we've not added any material capacity to our scholastic art segment. There have been some capacity additions that have happened in the fine art segment. Right now, like I said, looking at

the market demand and requirements, we've prioritized our capacity additions in writing instrument, paper stationery. This will be followed by increase in scholastic stationery. During the last year, we also increased our capacity for mathematical boxes significantly from about 75,000 boxes a day to more than 100,000 boxes a day. So dependi

ng on the market requirements,
Mosam, we are being flexible to get the pulse of the market and increase our capacities accordingly. So right now, the focus areas have been this.
Going forward, writing instrument capacity additions will happen. There will be capacity additions for pens. There will be capacity additions for pencils for paper stationery. And then we'll probably look at capacity additions for scholastic art material. Fine art, capacity additions are something which are an ongoing process.
Mosam Shah: Okay. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Resha Mehta from GreenEdge Wealth Services. You may proceed.
Resha Mehta: Just a quick clarification. So the scholastic art stationery -- Scholastic stationery, Scholastic art materials and the kits and combos, these three segments have grown by only 4.5% in value terms in FY'25. So this low growth is purely due to the capacity constraint or is it also the market demand?
Rahul Shah: So, Resha, see, if you look at a gross product sales perspective, the revenues. Probably what you all are doing is multiplying the category-wise sales we've stated with the revenue from operations. But if you look at the gross product sales, which is pre-discount schemes and other rebates, then these three segments put together have grown by about 8%, 7.7% to be precise. This growth has predominantly come about 3%-odd was volume growth and the rest is value growth. Like I said, we've not added any significant capacities in this segment. So whatever volume growth also we are seeing is purely because of improving efficiencies where we are able to manufacture more quantities in the same infrastructure. So yes, the growth in this segment has been limited because of lack of available capacities, additional capacities.

Resha Mehta: And would you say the incentives and the discounts have also kind of increased?
Rahul Shah: So incentives and discounts have increased, but if you see, it's not something which has impacted our profitability. These have increased because now with a larger bouquet and portfolio of product, a lot of cross-product selling we do by introducing schemes and discounts where on a particular product, you give some new product in the market, to get feedback. So yes, on a absolute number basis, that has increased. Also, it is important to note that in Uniclan, where a majority of their business comes from e-commerce, and e-commerce typically have this entire thing where the gross sales first is higher and then you pay them incentive. So we started netting it out. So as a result of this, because of some additional schemes and discounts given by DOMS and also the impact of Uniclan consolidate, the absolute number of schemes and discounts you see has increased significantly, but something which is not impacting the profitability.
Resha Mehta: Right. And the guidance for the consol revenues for the current financial year is 18% to 20%. But what would that be for the core stationery business, excluding hygiene?
Rahul Shah: Some similar line, similar line.
Resha Mehta: Okay. And lastly, just a macro question on the exports, right? So because of the uncertainty, especially in the U.S., how has been the demand for exports to the U.S. market for stationery overall?
Rahul Shah: The demand has been pretty much similar. We've not seen, when the tariffs were raised and all, we have not seen any orders being cancelled from FILA. Because in U.S., we do sales only through the FILA network. So we've not seen any orders or anything cancelled. But yes, what we understand from them, there is some uncertainty because nobody expected this sort of a reaction even in U.S., but the things are getting stable now. Our shipments are as planned, there has been offtake. There has not been any cancellation of orders. And with increasing

capacities
from pencils coming in, we believe our sales to U.S. to increase going forward.
Resha Mehta: Okay. And the outlook for the U.S. exports. So I mean while we have not seen any cancellations so far, but going forward, have your orders kind of reduced because of the uncertainty or something of that sort?
Rahul Shah: No, absolutely not. Like I said, in U.S., our business is only through FILA. We sell to a FILA Group company there, manufacture goods under their brand and sell to them. And we've not seen any cancellations or anything from them. If you see last year also, our business to U.S. had grown by about 6%, which is in line with our growth of our Scholastic Stationery and Scholastic

Art business.
Resha Mehta: All right. Thank you so much and all the best.
Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference call over to the management for the closing comments. Thank you, and over to you, sir.

Rahul Shah: Thank you, everyone. On behalf of DOMS, I would like to thank you all once again for joining us on this call today. We hope we've been able to answer most of your queries. Please feel free to reach out to our Investor Relation teams for any further clarifications or queries that you all may have. Wish you all a good day. Thank you once again.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Ref. No. DOMS /SE/2 5-26/38
Date: August 14, 2025

To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex ,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Scrip Code - 544045

Subject: Transcript of the Investor Conference Call on the Unaudited (Standalone and Consolidated) Financial Results for the quarter ended June 30, 202 5

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Part A of Schedule III and other app licable regulations of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015, as amended, (‘ SEBI LODR Regulations ’) please find enclosed the transcript of the Investor Conference Call on the Unaudited (Standalone and Consolidated) Financial Results for the quarter ended June 30, 202 5, held on Monday, August 11, 2025 , at 11:30 hours .

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the following link:

https://domsindia.com/pdf/Investor_Relations/Investor_Presentation_and_Transcripts/Q1_FY26.pdf

This is for your information and records.

Thanking you,
Yours faithfully,
For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl.: As above

“DOMS Industries Limited
Q1 FY'26 Earnings Conference Call ”

August 11 , 2025

Disclaimer: E&OE - Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company’s website will prevail.

MANAGEMENT : MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER , DOMS INDUSTRIES LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY26 Earnings Conference Call of DOMS hosted by ICICI Securities Limited.
Before we begin, a brief disclaimer: The presentation which DOMS Industries Limited has uploaded on the stock exchange and their website and the discussions during this call contains or may contain certain forward -looking statements concerning DOMS Industr ies Limited's business prospect s and profitability which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities Limited. Thank you and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Shruti. On behalf of ICICI Securities, we welcome you all to Q1 FY26 Results Conference Call of DOMS Industries. We have with us today Senior Management represented by Mr. Rahul Shah -- Chief Financial Officer.
Now I hand over the call to “Mr. Rahul Shah for his Initial Comments on the Quarterly Performance ” and then we will open the floor for “Question -and-Answer Session. ” Thanks and over to you, Rahul bhai.
Rahul Shah: Thank you, Aniruddh a ji. Thank you, team. Good morning, everyone. It is a pleasure to welcome you all to the Earnings Conference Call for the First Quarter ended June 30, 2025.
Joining me on this call is the team from Marathon Capital, our Investor Relations Advisor. I hope everyone had an opportunity to go through the “Investor Presentation ” and the “Results Release ” that has been uploaded on the exchanges and our Company 's website.
Our Results for Q1 FY26 reflect a sustained growth trajectory with continuous positive momentum in sales. This performance also reflects the enduring benefits from our timely capacity addition, strategic initiative and the deepening trust in our brand DOMS. During the quarter, we witnessed growth across our balanced and diversified product portfolio supported by renewed positive sentiment in the domestic market and encouraging international demand trends.
During the quarter, we have continued to expand our product portfolio with introduction of new products across all our product segments. Notable additions were made in our core categories of Scholastic Stationery, Scholastic Art Materials, Kits & Combo Pac ks, Paper Stationery and Office Supplies. We have also witnessed encouraging response for the new products introduced in the Hobby & Craft segment, Baby Hygiene segment and the Back -to-School segment.

Further, we successfully completed the acquisition of Super Treads P rivate Limited (STPL) , strengthening our delivery capabilities in the Eastern region of the country and enhancing our paper stationery production capacity by getting us closer to our customers in that region, allowing us to capture larger market share in the paper segment.
We remain steadfast in our pursuit of growth and are progressing steadily on our expansion trajectory with our 44 -acre project positively on track, featuring timely construction milestones including the delivery of the first buildings by end of Q3 for installation of plant and machinery. This, complemented by a timely Brownfield expansion initiative within the adjoining areas, as well as the new land and building purchase during March and April of 2025, will help us increase capacity, positioning us strongly to capitalize on the latent demand for our products.
Export of our own brand products have also contributed positively to our growth with our existin

g

markets responding favorably to our product offerings. Our partnership with F .I.L.A. for international distribution is also gaining traction, with promising feedback from markets where we are leveraging their network for distribution of DOMS branded products.
We would like to thank our consumers and channel partners who have been our driving force, continuously inspiring and motivating each and every one of us. We continue to work towards strengthening our connect with our consumers and are proud to have grown our YouTube family to 3 million plus subscribers and our Instagram followers base to over 100,000, showcasing our strong social media engagement. Our channel partners have also been instrumental in our growth, effectively showcasing our products to our consumers.
We are optimistic about the domestic demand on the back of growing optimism around consumption - driven growth. While we remain watchful of external uncertainties, we are positive about the optimism in the international markets for DOMS products. Our strategic efforts lay a strong foundation for medium -to-long term success and moving forward we will continue to focus on our core strengths of broadening our product portfolio, boosting our production capabilities and sustainable profitable growth.
Now , coming to the “Details of our Financial Performance for Quarter ended June 30, 2025 ”:

Consolidated operating revenues for Q1 FY26 stood at Rs.562.3 crores, a growth of nearly 26.4% compared to the same quarter last financial year. This increase in sales was predominantly on account of volume growth aided by marginal increase in average selling prices due to change in product mix. Sequentially too, we saw growth in our operating revenues. Operating revenues grew by 10.5% from Rs.508.7 crores in Q4 FY25. This growth is attributed to increase in volume due to capacity addition and growth in export sales.

The consolidated EBITDA for Q1 FY26 grew by 14.3% to Rs.98.7 crores as compared to Rs.86.4 crores in Q1 FY25. The EBITDA margin for the quarter stood at 17.6%. Profit after tax for the quarter stood at Rs.59.1 crores with 10.5% PAT margin.
This performance alongside EBITDA margins of 17.6% trending towards the upper end of our guided range of 16.5% to 17.5% demonstrates the strengthening of our business model and our ability to maintain operational efficiency.
During the quarter, we have done a CAPEX of approximately Rs.70 crores including capital advances and full year CAPEX is expected to be in the range of Rs.210 to 225 crores. These investments were primarily towards purchase of additional land building adjacent to our current flagship plant, ongoing construction activities for the 44 -acre project and purchase of plant and machinery across different product segments. These investments are expected to drive growth in the current and upcoming financial year.
As mentioned earlier, our performance for the quarter was in line with our expectations and we believe that we will be able to achieve our growth guidance of 18 %-20% for FY26.
With this, I would now request to open the floor for questions and answers. Thank you.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Sneha Talreja from Nu vama. Please go ahead.
Sneha Talreja: Just wanted to understand what would be our share of exports from US? And are you seeing any impacts on the tariff side or items are low ticket items to see any impact , any color on this would be helpful?
Rahul Shah: Hi, Sneha. So, Sneha, basically our exports to US is roughly about 5.5 %-5.8% of our gross sales. The current tariff on one of the core products that we export to US is about 6.5%, which is now expected to grow to about 50.65% once the additional 25% tariffs also kick in. But considering that sales is only about 5.8% of our to tal sales, we do not see a

ny significant impact of our sales to US on our overall sales. The potential decline in sales to US we believe shall be offset by increase in exports to the other countries w here DOMS is witnessing growing brand acceptance. Also, we are positive about the demand scenario in the domestic market and hence we do not see a significant negative impact of US tariffs on our business performance.
Sneha Talreja: Secondly, I just wanted to understand, of course, you believe in conservatively guiding. And even in this particular quarter, what we have seen is you have grown by 26% against your guidance of 20% and your margins have also come in against 17.6% against 16.5% to 17.5% that you guide for. Do you think any reason of revising this upwards? Along with this also, in your opening remarks you highlighted that market around is uncertain. Could you explain how is it in terms of demand and how are you able to get this amount of pull in the market? Thanks for this.

Rahul Shah: Sneha, we mentioned that we are uncertain about the export market especially with respect to US. But otherwise, in the domestic market, we are seeing a positive demand scenario being built up for our products. So, we are confident that we will be able to achieve our guided range in terms of overall sales growth to about 18 %-20%. This quarter, particularly, you see the growth numbers being a little higher, is primarily on account of Uni clan acquisition, where in the base quarter previous year, th e Uniclan numbers were not consolidated. In terms of margin, we always believe that the range of 16.5% to 17.5% is something which we are confident of achieving and therefore would continue with this guided range at least for a quarter or so more. Once we have a l ittle more visibility of how the year is progressing, then if required , we will revisit our guidance. But as of now, like I said, we are confident of achieving our FY26 sales growth range of 18 %-20% with EBITDA margins of 16.5% to 17.5% and PAT margin of 10% to 10.5%.
Sneha Talreja: Understood. Thanks . That was helpful. All the best to you.
Rahul Shah: Thanks, Sneha.
Moderator: Our next question is from the line of Aradhana Jain from B &K Securities. Please go ahead.
Aradhana Jain : Hi. Thank you for the opportunity and congratulations on the good set of numbers. A couple of questions for my end. First, I wanted to understand what is the reason for the muted performance in Scholastic Stationery and the Scholastic Art category? I mean, we have added capacity I believe in these two categories. In spite of that, there has been a muted performance across both these. In fact, in the last quarter also, there was a degrowth. So, what is the reason behind that? That is my first

question.
Rahul Shah: Hi, Aradhana. Good morning. Aradhana, basically, if you see, Scholastic Stationery has shown a low growth of about 2% while Scholastic Art, when compared to the previous year same quarter has been flat. There are primarily two reasons for this. First and foremost, there has not been any significant capacity addition in these categories that could drive increase in volumes and thus growth. Second, as we mentioned in our previous discussion also, the perfor mance of Scholastic Stationery and Schola stic Art should be evaluated along with the performance of Ki ts & Combo segment as well. If you see the sales of Ki ts & Combo segment, it is over 50% compared to first quarter FY25. And if you combine the overall growth of Scholastic Stationery and Scholastic Art –
Moderator: Sorry to interrupt, sir. Rahul sir, your voice is muffled. Your voice is dropping.
Rahul Shah: So, Aradhana, if you combine the overall gross sales of Scholastic Stationery, Scholastic Art Materials, and Ki ts & Combos together, Q1 FY25, these three segments accounted for around Rs.347.2 crores of gross product sales

while compared to Rs.369.5 crores of gross product sales in the current quarter, which is a growth of roughly 6.4%. But like I said earlier, there has been not any substantial capacity addition in this segment, and hence the growth has been a little lower than the overall grow th in sales.

Aradhana Jain: So, do we expect capacity addition during this year? The Rs.210-250-odd crores of CAPEX that we are planning to do, will that also lead to some addition in this category in terms of capacity?
Rahul Shah: Yes, definitely. Like we mentioned earlier, we are in the process of increasing the capacity of our core product, which is wooden pencils. Wooden pencils is a slightly complicated manufacturing process where you need to add capacity to three different significant processes. Out of that, we have already done the addition for two of the processes. Now, the only capacity addition pending to be done, completed, is for finishing of the pencils. This is expected as soon as the first building from our 44-acre project is handed over to us, which is expected by Q3 FY26, and about 90 days from there on to start commercial production. So, we are targeting to at least have the new set of capacity addition. You will see substantial capacity addition coming in wooden pencils, which will drive growth of this segment.
Aradhana Jain: Understood. Just two more questions from my end. One is on the office supplies that has grown phenomenally at 77% year -on-year. How much of the contribution in the office supplies has been because of pens? And within pens, what is the revenue mix of Rs.5 and Rs.10?
Rahul Shah: So, Ara dhan a, while we do not discuss on a very granular detail, but yes, in the office supply segment, the key growth drivers have been pens. Along with that, we are also seeing a positive response to the range of Highlighters that we have launched under this segment. Both these products are driving growth of the office supply segment. With some more capacity addition coming in this financial year also in this segment, we believe this segment to continue to perform well for us. And in terms of the price point, we continue to sell major ly our pens at the Rs.5 MRP segment. But there have been new SKUs which are launched in the Rs.10 segment as well.
Aradhana Jain: Understood. And just last bit from my end on the Uniclan business. Just wanted to understand the seasonality aspect of that business a bit more. I mean, while the business was not there in the last year or this quarter, but there has been a sequential decline in the revenue growth in this quarter. So, given that monsoon came early, would not that have led to better numbers , like given that winter was the reason for fourth quarter to have done well for Uniclan ? Similarly, would not first quart er as well should have been good from that aspect ? And secondly, in terms of EBITDA margins, if we were to see for Uniclan, what would be the steady state EBITDA margins that we can consider? Because last year, again, like last quarter, it was around 8.5 %-9% closer to those numbers , this year, it is closer to a 7%. So , on a steady state basis, what could be the margins to be considered? Ye s, that is it from my side. Thank you.
Rahul Shah: Uniclan clocked in revenues of about Rs.36.1 crores in Q1. Q1 is structurally a weak quarter for diapers. But as you mentioned, because the onset of monsoon was a little earlier, definitely we saw a little bit of positive due to that aspect on our baby hygiene business. While Q1 FY25 sales of Uniclan were not consolidated, but if I could just share some light on it, we have grown our business compared to Q1 FY25 by about 40% in Uniclan. This has been because of some capacity additions that have happened, especially in the wet wipe segment, which was commercialized in Q4 FY25, as

well a

s season setting in a little earlier in some parts of India. Both these factors helped in achieving higher growth for Uniclan on a year -on-year basis. And from an EBITDA margin perspective, we still believe that the right EBITDA margin for this business would be 8 %-9%, because right now the focus would definitely be on ramping up sales and the distribution network. I will be comfortable

with the Company doing about 8 -9% EBITDA margin for the full year basis.
Aradhana Jain: Understood. Just one last question on this distribution network bit. So, on a sequential basis, if I look at your Uniclan brand network, there has been a decline in the retail outlets and the sales personnel number on a sequential basis. Any reason for that? And what could be the aspiration for the full year in terms of reaching out in terms of the retail outlets for Uniclan?
Rahul Shah: At Uniclan, like I said, we are in the process of building a robust domestic distribution network for Uniclan. There have been some decisions taken by us to right -size the network, ensuring that we effectively reach our consumers. The focus has, been more on driving more secondary sales than just primary sales. So, it is a process that we are doing right now. So, there will be some right -sizing also that might happen in terms of the sales team as well as our distribution and retail outlets reach. But we believe this to grow gradually. Some DOMS existing channel partners of our stationary segment have been appointed as channel partners for the hygiene segment also. So, slowly we will focus on strengthening this network. But it will be a gradual process. We would not want to put any sort of target in terms of where we want to reach because we have never followed that even for DOMS . We just want to maximize the throughput to each of our channel partners before getting into that number game of increasing the channel strength.
Aradhana Jain: Understood. This was helpful. I will join back in the queue. Thank you.
Moderator: Our next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.
Jinesh Joshi: Thanks for the opportunity. Sir, I have a question on our revenue mix. If I look at the Northern belt, I mean, historically, the contribution used to be at around 30% -plus. But in this quarter, it has come down to about 2 8%. So, any specific reason for the fall to come through? And also, secondly, if I look at our M T channel, the revenue is up by about 90%. So, just wanted to know, I mean, have we penetrated newer stores or is it that we are able to extract more throughput from the existing stores? Yes. So, these two questions.
Rahul Shah: Hi, Jinesh. Jinesh, I heard the first part of the question clearly, which was why this proportion of sales from North India has come down. Second part, I could not hear well. So, let me first answer the first part of the question and then if you could please repeat the second part. Jinesh, basically, see , what has happened is almost 35% of sales of Uni clan comes from e -commerce and the Company does all of the sales from their plant in Jaipur, Rajasthan. So, all these sales currently get absorbed in the western part of India. And that is the primary reason why you are seeing the western part increasing. Also, certain merchant exports done by DOMS have increased, which is also accounted in our factory sales from Gujarat. These are the reasons why western region is showing stronger. But

otherwise, if you look from overall at the customer level, the sales are pretty much in line what they were previously where North accounts the highest, followed by West and then South and East.
Jinesh Joshi: Yes. So, my question was on your modern trade channel growth, which has come up at about 90% in this quarter. So, just wanted to know, have we kind of penetrated newer stores or is it that the throu

ghput from the existing stores has increased meaningfully ?
Management : So, the year -on-year growth in modern trade, e -commerce, quick commerce that you see is again linked to Uni clan. In the base quarter, Uni clan was not consolidated , and like I said, almost 35% plus percentage of Uni clan sales comes from e -commerce. That is the reason why you are seeing that the modern trade has grown significantly when compared year -on-year. So, that is the primary reason. But having said that, modern trade, e -commerce, quick commerce is something which within the stationary segment also is witnessing growth because our existing relationships, the demand for these products on these channels also continue to increase. So, there is nothing other than that that we have primarily seen degrowth in other segments and therefore focusing more on modern trade e - commerce. It ’s not that. It is just primarily on account of the Uni clan acquisition.
Jinesh Joshi: Got that. And secondly, you mentioned in your opening remarks that we have started selling branded products in export markets via the distribution agreement with F.I.L.A. So, can you just talk a bit about the -
Moderator: Sorry to interrupt, J inesh . Sir, could you please distance your device from yourself so that we can hear you clearly , because your voice is sounding muffled.
Jinesh Joshi: So, the question was on the branded product sale in export markets via the distribution agreement with F.I.L.A. So, I just wanted to know if you can just talk a bit about the opportunity size over here , I mean, what was F.I.L.A. 's revenue when it was dealing in these markets on its own via white - labeled products or is it a new market for F.I.L.A. as well, whereby now we have got the lead to sell our own products versus their own products?
Rahul Shah: So, Jinesh , the distribution agreement with FILA is only for those markets where F.I.L.A has an existing network infrastructure and has continued to do business. So, it is not new markets for F.I.L.A also. These are existing markets. Like I said in the opening remarks also, we started selling DOMS branded products in a couple of markets where F.I.L.A is already present. But it is still early days. It is where the goods have reached the destination countries and the marketing and sales activities have started. So, we still need to understand the response from the end consumers what it has been before

we can say and think about what is the potential of the business in these regions. In terms of F.I.L.A. doing sales in this market, honestly, we have not looked at those numbers because DOMS products are not going to be competing with F.I.L.A. 's products. We ar e selling in as a secondary brand along with the F.I.L.A. brand where both the brands are going to be positioned differently. So, it would not be correct to look at the opportunity f rom perspective of the sales that F.I.L.A. is doing in the existing

markets from F.I.L.A. products . This is going to help F.I.L.A. also to expand their sales in these geographies.

Moderator: Next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora : Yes, thanks sir for the opportunity and good quarter Rahul Bhai . On the pen business, what is the market share you are at now? Is the competition reacting in any way to your market share gains? And at what level of sales would you expect a slowdown in the pen business?

Rahul Shah: Hi Kunal bhai . Kunal bhai, basically, we are still relatively a new entrant in the segment. We started with the conventional ballpoint pens about two years back. It has been just two years, but we are happy with the response that we have got from our consumers, which has helped us scale up the business to a pretty decent level. But from a market share perspective, I do not have the exact number, but my feeling is that we w

ill be still lower, maybe about 3 -4%, which gives us a big runway to grow in this segment. We see the opportunity being there . With the capacity additions that are expected to come in this segment, coupled with our pipeline of the new product s that we are going to launch , we are excited about this segment and I think we will be able to grow our market share in this segment quite well.

Kunal Vora: Understood, understood. Any reaction from the competition so far? And would you aspire for double - digit market share here?

Rahul Shah: Aspiration -wise, definitely. DOMS has always, whenever we have entered any category, we have always entered with the intention of being amongst the top players , for almost most of the categories that we are present today, we have achieved that feet. So, not only in pens or office supplies, but in all the new categories that we are entering into, that is the aspiration, and we hope we will be able to come true to our aspirations. In terms of competition, you studied DOMS very well as a Company . We look more at ourselves in terms of where we want to be, how we want to reach there. We really do not look at what the competition is doing or not doing for that matter. We believe we should continue to focus on our own core strengths, which is product, produ ct designing, product engineering. And if we bring the right product to our consumer at the right value, I think we will see success in all the segments that we are present and intend to get into.

Kunal Vora: Understood. Thanks. Second one is, can you talk about Hobby & Craft? There seems to be a sharp increase led by adhesive sales. So, how large is the market? Like whether we should expect the current run rate or a further acceleration , how should we look at Hobby & Craft?

Rahul Shah: Hobby & Craft basically for us constitutes of modeling material, craft material, glues, adhesives, gums. During the previous year, we had added capacities primarily in the adhesive segment. Introduced a product with a very differentiated sort of a product, which sl owly gradually is seeing positive response from the market. And hence you see that the Hobby & C raft segment has grown significantly compared to the previous year as well as sequentially. It is difficult to guess the size of

the adhesive market because our focus there is mainly on scholastic adhesives and glues. We do not intend to get into the B2B adhesive segment. So, that bifurcation is not available. But having said that, we believe in the scholastic adhesive segment, considering the differentiated product offering, our distribution reach within the station ery segment and our deepening trust from our consumers will help us to grow this business to a decent level.

Kunal Vora: There is no one -off in this quarter and we should be building in further improvement in sales sequentially from here?

Rahul Shah: So, yes, now the capacity utilizations are improving in this segment because there were new capacities that were added in the previous year. Utilizations are improving. So, we should expect the gradual increase in this segment as well.

Kunal Vora: Understood, understood. And in terms of the new plant, I would assume that benefits will only start coming in the fourth quarter. So , with that, what are the early estimates for how does FY27 look like , because you will have continued new capacity additions coming in starting fourth quarter , so any thoughts on how we should be looking at FY27?

Rahul Shah: Basically, we target to have the first billing for the new plant happening in the fourth quarter. Real capacity additions, meaningful impact on sales will start building in from Quarter 1 of FY27. So, it would be a little too early to determine how much we would get benefits in FY27. But historically, we try to maintain our growth rate at that range about

18 % to 20%. And given the capacity additions
that are planned as well as the market sentiments, we believe that we should be able to reach tha t.
But we will come back to you all with the proper guidance once a couple of quarters goes in.
Kunal Vora: Sure, sure. And lastly, on domestic retail outlets , there was a slight dip last quarter . This time looks like you added 10,000 outlets. Also, you added -
Rahul Shah: So, being a little honest here, the number which were given in the domestic distribution network for DOMS , in the last quarter, there was a typo error in it. The number of retail outlets have not changed .
The numbers is same in Q4 FY25 and Q1 of FY26 .
Kunal Vora: Understood, under stood, okay. Ye s, okay, okay, okay. That is it from me.
Moderator: Our next question is from the line of Jaiv eer Shekhawat from Ambit Capital. Please go ahead.
Jaiveer Shekhawat: Sure, thanks a lot for taking my question. Rahul bhai, my first question is with respect to your office supplies. I think we have consistently seen the way you have grown the revenues there. Could you just talk about in terms of distribution network how well spread is that at the moment? Have you covered all the retail outlets that you supply the rest of the station ery via these office supplies? And then what kind of throughput increase do you expect from the existing distribution channel possibly by the end of the year?

Rahul Shah: We have not been able to still ramp up our sales in office supplies to the entire network. There are still quite a few regions where we are still to enter because we still have a constraint in terms of capacity. Once the new capacity addition which are planned for the current financial year come into production, we will be able to ramp up our sales and distribution of writing instrument pens to the entire universe that we are servicing today. Should happen by the end of this year or probably wit h the new capacity that are planned for the coming year. If you could repeat the second half of the question ?
Jaiveer Shekhawat: I think it was just in terms of the throughput increase that you expect from the same channel. So , as per your understanding, will it be 50% of the channel that you have covered, 60% , is there any number in your mind that you have covered in terms of distribution network?
Rahul Shah: No, there is no specific number or a target in mind. It is going to be a gradual process . As and when the capacity addition happens , we want to increase our reach with the pens and a lot of other new products that we have launched. But definitely the focus continues to remain on increasing our throughput in each of the current stores that we are present. We will gradually start selling pens and other items, new products in these existing stores as and when new capacity comes in.
Jaiveer Shekhawat: Sir, my second question was in respect to your scholastic station ery art material kits and combos. If I see sequentially, I think there has been a good growth that has come in. I was under the impression that there was not a lot of capacity that has been added on the station ery and art material segment.
So, has there been some outsourcing that has happened or is there a demand pickup from those segments that have happened , could you explain what has been driving that sequential growth versus the last fourth quarter to first quarter?
Rahul Shah: So, sequentially, there is a little bit of impact that happened because of the Back -to-School season.
So, you tend to see a little more sales picking up in the first quarter for these categories . As well as what happened was certain export orders which were partially ready in the fourth quarter were serviced in the first quarter. So, there were the slide at a product mix level. When you see specifically at a product mix level, this impact was seen. And also what yo

u see sequentially, Kits & Combos
have done a little lower and individual items of scholastic station ery and art material have done slightly better. So, these are the key reasons why you see the sales growing. It is not that there have been any me aningful capacity additions that have come in.
Jaiveer Shekhawat: I think that is helpful. So, last question is in terms of new capacity expansion for the 44 -acre one. So, what sort of a headcount increase overall approach would you expect and also the overall employee cost that you would expect possibly for the next year once it comes on line?
Rahul Shah: So, basically 44 -acres is going to be a large project where eventually we will have an operational area of a round 1.8 to 2 million square feet. When this entire project comes in, we believe we will require about 12,000 to 13,000 people similar to the workf orce that we have right now. So, it is going to actually double once the project is completely operational. But it will be gradual. As and when

new buildings come under production, you will gradually increase your workforce strength. Our employee cost right now is close to about 14% . And if you see historically, this number has been coming down slightly. And that is primarily because of economies of scale. So, that benefit we will continue to get, but we wi ll continue to have a large workforce also. So, it is going to be a significant cost for the Company .
Jaiveer Shekhawat: Sure, sure. Sure, thanks a lot and all the best.
Rahul Shah: Thank you.
Moderator: Thank you. Our next question is from the line of Aniruddha Joshi from ICICI Securities Limited.

Please go ahead.
Aniruddha Joshi: Yes. So, just two questions. So, in terms of pen business, we see there is a vacuum at the medium end or the top end of the market. I mean, there are brands like Pilot or to some extent Parker or Mont Blanc, but still there is a good amount of vacuum and potential to grow in the top end o f the market too. So, any strategy that DOMS has got to expand in this medium end or the top end of the market for pens ? That is one. And secondly, if you can indicate about the current distribution structu re of pens and how it will shape up in let us say FY27 and beyond also ? So, that is question number one. And then question number two, the way DOMS is growing obviously means like literally doubling revenues in the three years. So, the Company will definitely require a lot of investments in new management bandwidth as well as technology also. So , what is the strategy over here to strengthen the management as well as strengthen the internal technology spends also? Yes, that is it. That is two questions from my side.
Rahul Shah: Thanks Aniruddha. So, Aniruddha, firstly, to answer your first question, if you look at DOMS , you will appreciate that our primary customers, consumers are scholastic children and college students. And if you look at the demand or the products that they use is mainly your entry level price point pens like Rs.5, Rs.10, Rs.20. So, this is going to be the primary segment that we will be focusing on in the near to mid -term. Going forward, it is a little early to say when we will enter the premium segment and in the premium segment also at what price point. Something like a Mo ntblanc or something is like a very, very high price point pen which is also sold in a very different sort of a distribution network. So, our product strategy will revolve around our consumer and our distribution channel where we are already present. So, gradually we will definitely move up in terms of introducing products at the higher price point. So, Rs.5 and Rs.10 would predominantly be larger share in the overall chain. To answer the second part of your first question in terms of the distribution of pens, like I mentioned earlier, there are certain regions where we still not i

ntroduce the pens
because of the constraints that we have in terms of capacity. A s and when new capacity additions come in, we will want to introduce this throughout the country. In terms of the distribution channel, these are sold in the same distribution channel where we are present right now. It is going to be the same distribution network that we leverage for growing our pen business further.

To answer your second question, definitely , with the increase in the production capacity, we are also mindful of the fact that we require higher manpower, higher management bandwidth, and active steps are being taken in terms of identifying people within the organization structure, taking them to a higher position to manage activities efficiently. Also , what will happen is once you start having a larger manufacturing base in a single location, the efficiency of the people also improves because it is easier to oversight the operation. So, we are in that process of continuously hiring and promoting people from within the organization based on their performance. And with respect to systems, that is something which is an ongoing process which is not only for production activities, but even for market activities, even from a DMS and Salesforce automation software that we use. We are continuously enhancing all these systems to meet our requirements. The systems that we already use are something which are best available in the market. For example, SAP for our ERP. It is a scalable platform . With increasing overall turnover and volume , these software will be able to scale up . The Company continues to improve and enhance the features of the existing systems to meet our requirements.
Aniruddha Joshi: Okay . Surely. This is very, very helpful. Many thanks.
Moderator: Our next question is from the line of Percy from IIFL Securities. Please go ahead.
Percy : Hi, Rahul. Congrats on a good set of numbers. My question is on the 44 -acre land. What is the total CAPEX that we have done till 30th of June ? It might not be showing up in the gross block because it might be in CWIP, but what is the total, excluding land, the gross block plus CWIP if you can tell me for the 44 -acre plant?
Rahul Shah: What we would have done for the 44 -acre plant can be bifurcated into two parts. One is for the construction activities, and the other is for ordering of plant and machinery. And some of those plant and machinery we have also got in our factories and started production at some alternative location in between. But having put all together, the CAPEX that we would have done for this would be close to Rs.150 crores.
Percy : Okay . Got it. And how much more will happen in the next nine months?
Rahul Shah: The total CAPEX outflow that we have planned for this financial year is about Rs.210 to 225 crores. Out of this, like I said, we have already invested about Rs.70-odd crores. The balance of about Rs.150 to 160 crores predominantly will go into the 44 -acre project.
Percy : Okay . So, by the end of this year, we would have invested about Rs.300 crores in the 44 -acre project. Do you expect this entire Rs.300 crores to be capitalized or there would be still a material part in CWIP?
Rahul Shah: So, there will still be a material part in CWIP , because there are multiple buildings which are being constructed together. So, only the buildings which we will get possession, that will be capitalized

one-by-one. The way the entire project is planned , Percy bhai, is once we get the possession of the first building, we would want to get the possession of the next building in another three months because that is the time that we will require , the 90 -day period in between two possessions , to set up the commercial production of that particular first building. So, the way the activities are planned

is
every quarter keep getting one, one, one building and that is why not everything would get capitalized.
Percy : So, what I am trying to understand is that like how much turnover you can generate from the new plant in FY27. So, let us say about Rs.150 crore s or Rs.200 crore s would be let us say capitalized by the end of this year , putting a 3 x sort of asset turns on that, can we say roughly about Rs 500 crore atleast from the supply side, demand side is a different thing , but from a supply side, you are prepared to supply Rs.500 crore s worth of products in FY27 from the new plant , would that be a fair estimate?
Rahul Shah: Percy bhai, w hat is also happening is in the new CAPEX that is happening for 44 acres, a lot of CAPEX is happening towards the building of the utilities and infrastructure for the entire plant. So, let us say utilities in terms of power and all, as soon as we start using power, we will capitalize the entire amount that has been invested. But it has been invested to that size and extent which will fulfill the requirement of the entire project. So, on that you will not be able to see like a 3 x on the year one also. So, it would not be like 3 x. Eventually, we would want to reach like a 3 x sort of a number. But to start with, I think it would be fair to assume we start with like a 2 - 2.25 and gradually move towards 3 x. This is from the new project. Then the re are existing projects where we continue to do capacity addition in terms of modernization plus in the early part April and late March 2025 we added some infrastructure also. So, all these things would aid in terms of achieving our growth target for FY27.
Percy : Understood. The only reason why I am asking, because when at the time of IPO, we had come to the plant, our understanding was that already the old plant is very near sort of reaching full capacity and even the empty spaces in the old plant was not that much that we can do a lot of Greenfield , we did not see that much empty space that there can be a huge amount of Greenfield in the old one. So, just concerned that if basically the new plant does not start contributing soon, then will there be a capacity constraint to growth because we need by FY27, FY28, we need let us say at least Rs.450 crore s of additional turnover on a Y oY basis. We need that to come. And assuming that the 26 -acre plant does not have much more in terms of expanding capacity, that will have to come from the new plant only, right?
Rahul Shah: Percy bhai, f irst thing, your plant visit is now due. You should come to the plant sooner because what happened from the time of the IPO till now, adjoining our current flagship plant where you visited during the IPO, we were able to acquire more space, some on lease and a large portion we purchase plus, in March of this year, we were also able to purchase a land in GIDC, very close to our existing plant, which has a ready building of about 120,000 square feet. Right now, we are just doing some renovations and changes there which are required for our system. So, all this is also going to aid. So, it is not that from the IPO till now, the CAPEX has happened only towards 44 acres . There have been

capacity additions that have happened at other parts also. Plus, in our subsidiary companies, Pioneer, we have added, production of paper station ery capacity. When you visited Pioneer, you would have seen two lines of automatic book manufacturing companies that has almost doubled. Plus, we acquired Super Treads recently where we are getting more capacity, which will help us in increasing our paper station ery business also. So, it is planned. When I am saying that, we will aspire to continue growing at this level going forward also. So, for that, the required CAPEX and planning already happened. So, probably, my request to you would be to plan a plant visit ve

ry soon so that you could
also see, in addition to the 45 -acre project, additional enhancements in these that we have done from a physical infrastructure perspective.
Percy : Understood, Rahul. Very helpful. And last question from my side is, can you tell me what is your capacity utilization in paper station ery and in pens?
Rahul Shah: Percy bhai, f irst of all, our capacity utilization is something which we do not track on from that perspective because paper station ery for example is slightly sort of a seasonal business and plus it is a very modernized, fully automatic manufacturing process which during season time we operationalize for additional time also. In the pen segment, like I said, we continue to remain constrained with capacity. And so, we are utilizing what we have right now. But there are capacity additions which are already planned, which are gradually coming. So, first of all, like in paper station ery, I expl ained that capacity additions came in and it is a slightly seasonal business. So, once the new season starts, I think we have got enough capacity to meet the anticipated targets that we

have for that segment. And for pens, our utilization would be near optimal right now. But there are new capacity additions which are happening as we speak. So, every quarter we see some capacity additions happening in our existing infrastructure for the pen segment also. And when I say existing, it means what you visited plu s what we acquired adjacent to our current operations.
Moderator: Our next question is from the line of Priyank Chheda from Val lum Capital. Please go ahead.
Priyank Chheda: Hi, Rahul bhai. Thank you for the opportunity. My question is, would it be possible to call out the volume and the ASP growth in the core station ery business for this quarter like we called out in the last quarter?
Rahul Shah: So, very difficult to give from an overall perspective because right now, like you saw in this quarter, sequentially if you see the volume of kits and combination packs, the value plus volume has come down a little because being a back to school season, a lot of individual demand for individual products increases a little and we have that flexibility in terms of meeting the requirements of the market accordingly. But having said that, the majority of the sales growth that we see sequentiall y at overall level is predominantly because of volume growth with some parts being aided by increase in average selling prices.
Priyank Chheda: Very clear. My second question is on the expansions in the existing plot area, not the new 44 -acre land. We were coming up with a pencil expansion from I think 5.5 million per day to 8 million. By

when is that expected? And as well as if you can also touch upon the books capacity addition that we were planning to add another 15% capacity over there, the pens capacity also we were planning to add by 50%. So, what is the status of all those capacity e xpansions outside the 44 -acre if you can call out, it will be helpful ?
Rahul Shah: Basically, the pen cil capacity addition, like you rightly said, is expected to increase from 5.5 million to 8 million. Some of the parts in that expansion have already happened. The finishing from where we will be able to make the finished product is something which will happen in Q4 of FY26 and Q1 to mid of Q2 FY27. So, probably by the same time next year when we will be talking, we will see a substantial part of this capacity addition coming in. In terms of pens, like I mentioned earlier, there are capacity additions that are happening as we speak and this is going to be a gradual process. But you should remember that a lot of our capacities especially at the molding part is very fungible. So, depending upon the market dynamics and requirements, we will adjust ourselves to the requirements of the market. But in addition to pen

s and pencils, in the new expansion, we believe we will be adding a lot of capacities for other aspects of the writing instrument segments like markers, highlighters, some of the pencil , pencil accessories like erasers, sharpeners. So, across the board, as and when we gradually keep getting additional infrastructure, we will keep adding capacities, looking both in terms of the demand of the market both in India as well as internationally.
Moderator: Our next question is from the line of Akash Shah from UTI Mutual Fund. Please go ahead.
Rahul Shah: Hi, Akash. Good morning. Yes, sir.
Akash Shah : So, thank you. Thank you for the opportunity. Sir, just wanted to ask, what are the key risks that you are worried about in the business? I mean, we understand certainly the growth potential as well as healthy margins. But, sir, I mean, what are the key risks that you see and how you mitigate those?
Rahul Shah: So, Akash, basically, we have had this question earlier as well and probably our response continues to be the same where we believe that the key foremost risk that we see in the business is our ability to timely increase our capacity. We believe that the market and the demand both in Indi a and internationally is strong for our products and we would want to capitalize on this demand as best and efficiently as possible. And we will be able to achieve this only if there is a timely capacity additio n that happens. So, this in our view continues to be the foremost risk that we see in our business.
Akash Shah: Sure. Sure. Sir, on demand front, you are reasonably confident that the market will be able to absorb the incremental capacity that we are going to come up with?
Rahul Shah: Yes, we continue to be very positive about the demand scenario. DOMS as a brand continues to see increasing acceptance not only in India, but in the international markets also. So, as soon as our capacities increase, we will be able to service th e demand better. So, demand does not seem to be a challenge right now, but it i s more of when we will be able to service th e demand and that is where the capacity addition will come in handy.

Akash Shah: Sure. Thank you. Thank you, sir.
Moderator: Our next question is from the line of Mosam Shah from Wealth Guardian. Please go ahead.
Mosam Shah: Congratulations on a good set of numbers. So, basically, I just wanted to know, recently there was a news, there was a shortage of popular wood, that is the primary raw material for wooden pencils. Are we facing any sort of shortage?
Rahul Shah: As of now, as we speak Mosam , not really. Just that when there was some war -like situation, because the valley was entirely shut that time, we did face some challenges. But as we have always

maintained, for some key raw materials which we believe are sensitive to our business, we have a significant stock, sometimes as high as six months of production requirement stock. So, we are not seeing any challenge. And plus, we believe that the product, the pop lar wood that we use, which comes from the Kashmir valley region, where a lot of government initiatives are being taken to empower the farmers there to farm this cultivated wood. So, we believe that supply would not be a challenge. And also, in terms of our pencils, there are different types of wood that we use. Pop lar is definitely one of them. There is Vatta wood also that we use, which comes from southern part of India. There is also Bass wood which we import from Europe. So, there are multiple purchase destinations also which are there. So, we do not see that as a challenge right now.

Mosam Shah: Okay . That is helpful. The second question was related to bags, because since after introduction, this was the first year where we have introduced bags. So, what is the demand scenario and how we have conquered that?

Rahul Shah: So, Mosam, basically,

we launched the DOMS branded bags in time for this back to school season.

It was started with minimal sort of product offering, because like I said, we still want to test the markets to understand what products work. Bags in terms of SKUs are always defined in terms of their volume capacity, like number of zips, number of sections, holders that they have. So, we have introduced multiple SKUs. We are getting feedback, what is working, what changes they would like to see in terms of the product. We are getting encouraging feedback also from retailers where t hey are saying they want the product packaging to be changed a little so they can probably sell bags also as a gifting article. So, we are getting those feedback. We are working on it. We are trying to improve our SKUs further. So, this business also will continue to grow. I think a couple of years more , then we will be able to talk substantially about the back to school segment.

Mosam Shah: Okay, okay. Okay, and lastly , so we are assisting F.I.L.A. in terms of sourcing quality products at competitive prices. So, are these raw materials or the products that DOMS make?

Rahul Shah: This is the products that DOMS manufacture and sell s to F.I.L.A. and F.I.L.A. group companies across the world.

Mosam Shah: Any raw material sourcing for them, right?

Rahul Shah: No, no, no, we do not do that trading sort of a thing like buy here and sell to F.I.L.A. No. There might be certain times where for testing purposes and sampling purposes we would have done it, but that is not like a business segment or anything like a key business driver .

Mosam Shah: Okay, okay. Thank you so much and all the very best.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Rahul Shah: Thank you, everyone. On behalf of DOMS , I would like to thank you all once again for joining us on this call today. We hope we have been able to answer your queries. Please feel free to reach out to our investor relations team for any further clarification o r queries that you may all have. I would also request all of you to probably make some time out to visit our facilities in Um bergaon to see what new additions and new infrastructure is being built up there. Once again, thank you so much. Wish you all a good day. Thank you once again.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Ref. No. DOMS/SE/25-26/71
Date: November 15, 2025

To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Scrip Code - 544045

Subject: Transcript of the Investor Conference Call on the Unaudited (Standalone and Consolidated) Financial Results for the quarter and six months ended September 30, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Part A of Schedule III and other applicable regulations of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, ('SEBI LODR Regulations') please find enclosed the transcript of the Investor Conference Call on the Unaudited (Standalone and Consolidated) Financial Results for the quarter and six months ended September 30, 2025, held on Tuesday, November 11, 2025, at 12:30 hours.

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the following link:

https://domsindia.com/pdf//Investor_Relations/Investor_Presentation_and_Transcripts/Q2_FY26.pdf

This is for your information and records.

Thanking you,
Yours faithfully,
For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl.: As above

"DOMS Industries Limited
Q2 FY'26 Earnings Conference Call"
November 11, 2025

Disclaimer: E&OE - Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company's website will prevail.

MANAGEMENT : MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER –

Moderator: Ladies and gentlemen, good day, and welcome to DOMS Industries Q2 FY '26 Earnings Conference Call.
Before we begin, a brief disclaimer. The presentation, which DOMS Industries Limited has uploaded on the stock exchange and their website and the discussion during the call, contains or may contain certain forward-looking statements concerning DOMS Industries Limited business prospects and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in such forward-looking statements.
As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi. Thank you, and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Shravani. On behalf of ICICI Securities, we welcome you all to Q2 and H1 FY '26 results conference call of DOMS Industries Limited. We have with us today senior management represented by Mr. Rahul Shah, Chief Financial Officer.
Now I hand over the call to Rahul bhai for his initial comments on the quarterly performance, and then we will open the floor for question-and-answer session. Thanks, and over to you, Rahul bhai.
Rahul Shah: Thank you, Aniruddha bhai. Good afternoon, and a very warm welcome to everyone to the conference call for Q2 and H1 FY '26. We hope you all had a wonderful time celebrating Diwali with your loved ones and take this opportunity to extend our best wishes to all for a prosperous new year.
Joining me on this call is the team from Marathon Capital, our Investor Relations Advisors. I hope everyone had an opportunity to go through the investor presentation and the results release that have been uploaded on the stock exchanges and our company's website.
I'm happy to share that despite the impact of GST 2.0 transition, we continued our growth momentum in Q2 FY '26 with an increase in sales of over 24%, marking yet another milestone in our journey, showcasing the resilience of our business model and reflecting the strength in demand of our products.
A notable highlight for the quarter was the government's announcement of GST 2.0 reforms, slashing rates across some of our key product categories. Although we believe GST reduction is structurally positive, it led to temporary disruptions in September, including inventory clearance and order postponement by trade partners. Despite this, we achieved positive sales growth, demonstrating our strategic agility and the ability to navigate transitional challenges while capitalizing on market opportunities.

We believe these reforms, coupled with the income tax reductions introduced in budget 2025, will have a long-term positive impact by increasing the disposable income and uplifting consumer sentiment, thereby creating a favorable environment for business growth and boosting demand, coincidentally aligning well with the planned commercialization of our flagship 44-acre expansion project.
Furthermore, the GST rate reduction on some of our core products creates a level playing field between organized and unorganized players, providing better market penetration opportunities and shift in demand towards branded products.
In terms of operational highlights, we continue to leverage our widespread product portfolio to enable us to effectively service consumer demand and deepening our presence and market share.
We continue to expand our product portfolio with introduction of new products across all our product segments with additions in categories such as scholastic art materials, k

its and combo
packs, office supplies and scholastic stationery, like the launch of a vibrant new range of beautifully designed mechanical pencils in exciting colors and features.
Furthermore, the performance of Uniclan Healthcare, our baby hygiene business also yielded positive results, contributing to our overall growth, reflecting market acceptance and validity of the baby hygiene products.

As a part of our consumer connect initiatives for enhancing the brand aspirational value, we continued our marketing campaign, including digital connect initiatives to event sponsorship. Among others, we also entered into a strategic partnership with Kaun Banega Crorepati as an official partner for the show, which we believe has helped the brand reach out and connect further with millions of consumers across age that are spread across the country and overseas.
Coming to our expansion initiatives, we are progressing steadily on our expansion trajectory with our 44-acre project, albeit with slight construction delays on account of prolonged and intense monsoon conditions. But we are confident of getting the possession of the first building in Q4 FY '26 and start commercial production from Q1 FY '27. This capacity expansion, along with ongoing brownfield initiatives, has been strategically planned to support our growth objectives in our core stationery and art material segment.
Coming to the details of our financial performance. Consolidated operating revenues for Q2 FY '26 stood at INR567.9 crores, a growth of 24.1% compared to the same quarter last financial year. This increase in sales was predominantly on account of impressive performance in domestic markets, backed by volume growth as well as marginal increase in average selling prices. Our international business continued its steady growth trajectory, recording 18.5% growth in gross product sales year-on-year during the quarter. During this period, the domestic gross product sales grew by 28%.
The consolidated EBITDA for Q2 FY '26 grew by 15.8% to INR99.5 crores as compared to INR85.9 crores in Q2 FY '25. The EBITDA margin for the quarter stood at 17.5%. This consistent maintenance of EBITDA margins towards the upper end of our guided range of 16.5% to 17.5% demonstrates our operational efficiencies and a robust business model of balancing

growth-led approach with prudent execution. The profit after tax for the quarter stood at INR60.9 crores with growth of 13.4% over the same period in the previous financial year. The PAT margin for the quarter stood at 10.7%.
As mentioned earlier, we continued aggressively with our expansion initiatives. For the 6-month period, we have done a consolidated capex of approximately INR150 crores including capital advances and are on track for our guided full year capex estimate in the range of INR210 crores to INR225 crores.
Looking ahead, we continue to remain optimistic about the second half of the year, backed by continuous product introduction, strategic expansion initiatives and increasing market penetration, positioning us well for sustained growth. This optimism is poised to receive further boost from supportive government initiatives including GST and income tax cuts and DOMS remains strategically positioned to capitalize on this emerging demand opportunities.
With this, I would now request to open the floor for question and answers. Thank you.
Moderator: The first question is from the line of Sneha Talreja from Nuvama.
Sneha Talreja: Congratulations on great numbers once again. Just 2 questions from my end. Firstly, I think in the opening remarks, you were mentioning that, of course, there was GST impact a few days because a lot of your products, GST gone down to 0-odd percent. Just wanted to understand, would we be able to quantify where exactly in which particular segment impact would have been higher? And more importan

tly, if that was not the issue of destocking, where we would have landed up with respect to sales?
Rahul Shah: So in terms of the product categories where GST has come down from 12% and 5% earlier to 0%, it currently contributes about 45% of our overall sales if we look at FY '25. And then there is baby hygiene segment, which in FY '25 was about 6% of our total sales, where the GST rate reduction has come down from 12% to 5%. So overall, between 45% to 50% of our total products have been impacted by this GST transition.
It's really difficult to quantify as such how much we would have done better if this transition impact was not there. But we believe that if this transition impact would not be there, our sales could have been about 3% to 4% higher than what we reported for the quarter.
Sneha Talreja: That was quite helpful, Rahul. And I'm sure by now you would have also done the backward analysis of the GST input credit that you were getting. Any meaningful impact or based on that itself, you've just passed on the pricing? So what I want to impact is the understanding on your profits, the way they would move with GST price.
Rahul Shah: So Sneha, like a lot of our products move down to about 0% and therefore, ITC becomes ineligible on these products and therefore -- and it becomes a part of the cost and the cost will rise. But similarly, the selling prices will also rise. So when this GST transition was happening, we reworked all our cost sheets after figuring out how much the cost would increase because of ITC, we came up with the revised MRPs and those MRPs were then introduced in the market. So overall, I don't see a significant impact of this on the margins of the company.

Sneha Talreja: In fact we would have seen approx how much increase in your pricing of the product on an approx level, I understand it would be different from product to product, but on a range basis?
Rahul Shah: Pricing of our products ? So in fact, all our MRPs have come down, Sneha. So pack of pencil, which were earlier selling at INR60 MRP is now sold in the market at INR58. In terms of the company sales at the primary level, if you are asking me, the sales pricing would have increased by about 3% to 4%, not more than that, 3% to 4%.
Moderator: Thank you. The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: Thanks for the opportunity. First question is advertisement in the past, but are now advertising on KBC. What is the change in thought process, which products would you look to push through marketing, what is the incremental cost which you're looking at and how has the response been to your marketing campaign?
Rahul Shah: So Kunal bhai, so KBC was not specifically for any particular product, but it was more for the overall brand. So it was just that the entire DOMS brand and our entire range of scholastic stationeries, scholastic art, office supplies were distributed to the kids who were coming to that show for a specific period of time.
So it was just an opportunity we got through our marketing references and there's nothing like a planned thing or something. In terms of how it helps is something which will come to know in the mid- to near-term. But overall, it adds value to the brand's aspirational value.
Kunal Vora: Okay. So would you look to continue?
Rahul Shah: No, in addition to KBC, before KBC, we also did some partnership with a leading cinema chain in India, where this child-centric movie Sitaare Zameen Par was released. There we advertised one of our pens in the theatres. So these are now small initiatives that we are taking. Again, it's very specific to our consumer, towards our target audience of children. Even in this KBC partnership was for -- is not for the entire season, but for a few weeks where children were called as participants.
Kunal Vora: Understood. Okay. Second

one is, can you talk about some successful product launches which you had, be it mechanical pencils, glue, marker, bag, game like what's really doing well right now? Anything which you can highlight in terms of what's done well?
Rahul Shah: So see, across the products where we've added capacity, they've done well. You would have seen from the presentation in office supplies, the growth has been significant because that's where capacity has been added. Mechanical pencils, we just launched towards the end of the last quarter. The initial response has been positive.
Adhesives also, although there have been no new SKU additions in the segment, but there are the Brownfield expansion that we were doing in the adhesive segment, they are slowly coming on board. So that segment is doing well. Across categories, there are new products being added.

So even in scholastic stationery in our core category of pencils, you remember, we have a partnership with Warner Brothers. So there, we introduced a Superman themed pencil pack. Again, very different from what otherwise you get in the market like co-branded pencil. This is packed also differently.So across products, no specific as such, Kunal bhai, that I would want to highlight or something like that.
Kunal Vora: Understood. Third is on U.S. tariffs. You had mentioned last time that it could have an adverse impact on the business. I still see exports having seen a healthy growth. So how did the U.S. market -- U.S. sales trend? Did you find other markets or U.S. sales have held up well despite tariffs?
Rahul Shah: So U.S. sales, because in the month of September, it was during the quarter that U.S. tariffs were introduced. So all the open orders that we had were fulfilled by our consumer. So in the last quarter, specifically, we did not see any significant impact of U.S. tariffs on our sales. But going forward, certain orders have been postponed and that have -- the capacities for that have been diverted to other growing markets. Both where DOMS was already significantly present and the distribution partnership with FILA that we started, like, for example, in Chile, where we initiated this FILA distribution arrangement, there we are seeing good repeat orders also coming in.
So we believe that while from a U.S. perspective, in the current quarter and going forward, there will be an impact until the tariff issue is not resolved. But there have been alternative strong demand from markets, like I said, Chile is one, Middle East, we are seeing good demand. Our core neighboring countries of Sri Lanka, Nepal, there also the demand is positive. So because of these regions, we don't see overall, there would be any impact on export sales.
Kunal Vora: Understood. And lastly, how are you doing on quick commerce? Are your products available across all forms and supplying directly to quick commerce or to distributors?

Rahul Shah: So we are present across quick commerce channels, Blinkit and Instamart and all channels we are present. Again, the focus there is to be available from a convenience perspective. It's not a major push or a focus area. The consumers who want that convenience of being present, getting goods very fast, so for them, we are present on quick commerce.
Focus continues to remain general trade. Again, with a lot of our new product launches happening, the first priority is definitely towards general trade because they are the ones who help us in getting the product reach to our consumers. But yes, quick commerce as a business segment is also growing and our presence there is also increasing.
Kunal Vora: But how are you ensuring that? I mean, like you're doing it directly or let's say, what kind of contribution, what kind of growth you are seeing there, because many of your products look very interesting from a quick commerce perspective. How are you ensuring that we are ge

tting right
skill?
Rahul Shah: So we partner with these quick commerce operators directly. So we'll sell to them, to their dark stores and from there they distribute. So we service them directly.
Moderator: Thank you. The next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Thanks for the opportunity. Sir, my question is on pens, I mean, if I remember right I believe we do not have the capability to manufacture nibs and the full backward integration advantage in this category is missing. So, just wanted to know, I mean, has it got to do with the...
Rahul Shah: Which category I missed that?
Jinesh Joshi: Nibs we don’t manufacture, right.
Rahul Shah: Nibs, yes.
Jinesh Joshi: So just wanted to know, I mean has it got to do with the technical capability or is it related to the missing key advantage and once we achieve a desired production perhaps, we can consider exploring in-house manufacturing. So that is one. And secondly also if you can share how much typically does a nib cost in the overall cost structure of a pen?
Rahul Shah: So, Jinesh to answer your first question, definitely, it is nothing to do with capabilities. As you know that for DOMS our constraint has always been in terms of capacities. Today, whatever infrastructure we have for us it is like taking a decision that how do we utilize that infrastructure. Right now, do we utilize it for manufacturing tips or manufacturing the pen?
And if you look at the tip manufacturing infrastructure in India, there are a lot of players who are focused on this manufacturing segment only. They manufacture only tips and they are reasonably large and cater to all our requirements. So therefore, we've not prioritized manufacturing tips right now because we are constrained in terms of the capacity that we have in terms of physical infrastructure.
So now with the new 44-acre plant soon coming into production, we definitely intend to get into manufacturing of tips. This is not a very technically superior sort of a process. You get good imported automatic manufacturing lines and the process once it is set, it can do mass production. So we've already placed orders also for these machines. And soon, we will have some new machines for tips also coming in and starting production of our own tips.
But given the size and the scale at which we are growing our pen business, we'll continue to purchase tips from these third-party partners and the quality that we want and the type of tips that we want are available from these partners. And in terms of cost, tip manufacturing, tip cost to the overall cost is not a very large component. Polymers and ink is higher than tips.
Jinesh Joshi: Understood. And sir, secondly, I just wanted one small clarification. The channel mix data, that we have given on Slide 22 of the PPT, does it include revenues from the hygiene business? I just thought of asking because if I look at 2Q of FY '25, our GT contribution was 77% and now it has declined to about 71%. And I believe some of the other channels like e-com and MT have a higher share in the hygiene business. So if you can just clarify that part?
Rahul Shah: Yes. On Slide 22 that you're referring to, the gross product sales of INR593.7 crores includes the hygiene segment also. In terms of general trade contribution that you see that has sequentially decreased is because of two reasons. One, the overall contribution of baby hygiene products to the sales in the current quarter has increased.

And in the baby hygiene segment, almost 35% of sales come from e-commerce. Therefore, you'll see the modern trade and e-commerce segment on an overall consol basis increasing and GT coming a little low. And also because of this GST 2.0 transition impact, the sales to the GT segment were a little

affected.
And plus also this becoming -- this being an onset of the festive season where generally GT sales come a little low because stationery shops start selling a little more of your gifting and your decorative and such items. So because of these factors, you will see the presence, the percentage contribution of GT coming down a little in this quarter. But going forward, GT will continue to be close to about 75% of our overall sales.
Jinesh Joshi: One last question from my side. Sir, is it possible to share what is the contribution of rupees pen price points in our pen portfolio? And also on the pencil expansion side, I believe additional capacity was supposed to come on stream in 4Q. So where are we on that?
Rahul Shah: So Jinesh to answer your question on the pencil capacity addition, the first building that we'll get in the 44-acre complex would be dedicated for expanding our capacity for pencils. Like we highlighted in the previous call also, those earlier or the backward processes before finishing of pencil has already been -- capacity increase there has already happened.
So we are just waiting for the possession of the building from the 44-acre complex. Once we get that, we'll see capacity addition in pencil coming in. And to answer your question on the pen, honestly, my friend right now, I really don't have a data on how much is the contribution of INR10 pens on the overall segment. But what I can say is the INR5 price point pens continue to be the largest contributor to our overall business of pens and office supplies.
Moderator: The next question is from the line of Aradhana Jain from 360 ONE Capital. Please go ahead.
Aradhana Jain: Hi, thank you for the opportunity. Just to continue with the previous participant's question on the pen segment. Sir, what was the capacity of pens a year back versus where are we right now as on 1H, given that you said that the increase in the office supply or sales has primarily been on the back of pens and that has happened because of the capacity expansion. So could you just highlight how much capacity has expanded on the pens side in the last 1 year? That's my first question?
Rahul Shah: Aradhana, on the pens, so if we just talk about the ball point pens where we've added a significant capacity. I think about a capacity increase of 1 million pens a day has been added. But Aradhana, this has been through the period. So it's not that on day 1, 1 million was added. So incrementally, as soon as the infrastructure is ready, we install like 5 machines and another 5, 5, 5. And that's how the capacity buildup has happened. So today, we should be close to about 3 million to 3.25 million pens a day in terms of our pen manufacturing capacity.
Aradhana Jain: And going forward, where do we see that increasing to in the near-term or is this the level at which we'll be operating?
Rahul Shah: So now you see right now, like I said, the next large chunk of the infrastructure that we will have is from the 45-acre project where the first building we're going to use it for expanding our

capacity for pencil and after that, we'll again start increasing capacities for other writing instruments like pen, highlighters, markers, sketch pen. So overall, definitely, this capacity is likely to increase, but it will -- when it will happen will depend upon how the build up of the 45-acre complex comes on.
Aradhana Jain: And on the like the sort of growth that we've seen in this space, is it fair to assume that this momentum will sustain in the second half as well given that fourth quarter is a quarter where back-to-school starts happening and examination-based sales also start picking up. So fair to assume that this sort of 80% growth that we've seen in this quarter or the high double-digit growth that we've seen in the first half could sustain in the second half?
Rahul Shah: 80% growth in the p

en business you are talking about?
Aradhana Jain: Office supply. Office supply has grown up...
Rahul Shah: Yes. So it will always -- yes, so it will be linked to capacity, Aradhana. So, it's not something which will be sustainable because capacity will become a constraint. But yes, this segment will continue to see healthy growth, but that will all be backed on capacity addition. So by the end of this year, our combined capacity for pens, you know, which includes the regular ballpoint pens and one-time use examination pens, all put together to be close to 5 million pens a day.
Aradhana Jain: Understood. And second, I wanted to understand on your core stationary categories, if I see, say, the scholastic stationery, scholastic art and kits and combos, if I combine all three, the growth has remained largely flat year-on-year in the second quarter, and it was up like 3% in the first half.
So is it fair to assume that it was largely driven by the capacity constraints? Or are you also seeing some sort of moderation in the underlying demand or, you know, channel inventory levels? Or is it purely because of the capacity constraint? And going forward, if it's purely because of capacity constraints, then from which quarter can we expect a more visible pickup in the core scholastic categories?
Rahul Shah: So, Aradhana, if you combined scholastic stationery, scholastic art and kits and combination pack, you know, year-on-year quarterly growth was about 4% and H1 growth was about 5.5%.

Like you said, this growth has been lower purely because there have no significant capacity additions that have happened in this segment. It's purely been growth due to change in product mix and slight increase in ASPs

In terms of, you know, actual pickup in revenue in this segment, like I said, we are hopeful that from Q1 FY27, we'll have our, additional pen capacity, sorry, additional pencil capacity being coming in production over a period of time.

So I think Q2 FY27, you will see a decent amount of contribution coming from new capacity in the scholastic segment. Also, you know, like we recently launched mechanical pencils, which also gets categorized in scholastic stationary. So that ramp up in production is also underway. So going forward, I think incrementally, you will see some growth coming in the next couple of quarters and then major growth coming from Q2 FY '27.

Aradhana Jain: Understood. Just two more questions, if I can squeeze in. One was, we've seen 25% of growth in the first half of the year, right? So do you feel that you need to up your guidance from the current 18%-20% that you've highlighted in your press release that, you know, for the entire year, we're expecting 18%-20%? Do you think that that could be closer to, say, a 25% number for the entire year, given that fourth quarter for us is expected to be good compared to, say, our second quarter?

Rahul Shah: Aradhana, see, if you look at first half of the year and compare it with the first half of the previous year, a significant growth in the first half in the current year was due to the consolidation of impact of Uniclan.

In the last financial year, we consolidated Uniclan only for 15 days of the first half, while in the current year, we could -- Uniclan was consolidated for the full period. And therefore, the growth has been higher, close to about 24%-25%. But if you see in the second half in the base period, Uniclan was already consolidated. So there, we'll see the growth in line with our 18% to 20% targeted range.

Aradhana Jain: Understood. Just last thing on the regional performance. There's some bit of divergence seen with respect to South India has grown at, say, 60% plus versus East India hasn't grown like sub 10%. So what is the reason for such a sharp variance? Is it purely because of Durga Puja being in East India and demand not picking up or?

Rahul Shah:

Absolutely. So Aradhana, I think this metric is something if you look on a full year basis, will give you the current picture. Looking at quarters sometimes distorts the data because like you said, in East India, in the month of September, there was Durga Puja and practically the entire Eastern region comes to a standstill during those 10-odd days.

And the channel starts, like I said, you know, stationery shops start selling a lot of decoration and gifting and such related items. And therefore, there is always in -- during -- there is always in, I wouldn't say Q2, but whenever there is Durga Puja month, you see impact on sales in East India. So, I think this is a metric you should always look from a, you know, full-year basis that gives a correct picture.

Aradhana Jain: Understood. This was really helpful. Thank you and all the best.

Rahul Shah: Thanks, Aradhana.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: My question is on the employee cost. It has gone up significantly. And in general, of course, with the Uniclan sales consolidating, I'm aware. With the sales growing even ex of Uniclan sales growing at 20%, we don't find that operating leverage playing out in our EBITDA margins. Why would be that so? And also, on the question on the employee cost quarter-on-quarter inching up?

Rahul Shah: Hi Priyank. So, Priyank, the employee cost as a percentage of sales increased by over 1% sequentially and 0.85% year-on-year during Q2 FY '26. The key reason for this increase in

employee expense was due to the overall increase in workforce, both in our sales and production team. As we plan to ramp up our production activities, the hiring has to happen a little in advance. And similarly for the sales team because there's a lot of training and all they have to go in -- go through.

And also because of this disruption in sales due to this GST transition which happened in the month of September. When I see specifically the month of September and compare it to employee expense and the percentage-wise, it went higher because like I said, our sales were impacted during this month. So because of these two reasons, you see our employee expense increasing as a percentage of sales. And Priyank sorry, if you could repeat your second question?

Priyank Chheda: Second question was on the operating leverage kicking in. Of course, now I understand that there is a cost which has been loaded up of the new plant, right? Would it be possible to quantify over the last 6 months? What kind of a cost would have got loaded up in the expectation of the new plant starting up?
Rahul Shah: So, Priyank, it's very difficult to quantify because see something, like I said, we've had a significant increase in our sales team also. If you see over the last few quarters. Our sales team now is more than 900 people. And if I remember correctly, last year, same time, we were close to about 800 people.
So this all is happening in anticipation of the increased volume and sales that we'll have. And this is not only for the new plant, but for other expansion like office supply -- sorry, adhesives, a new category which we got into, mechanical pencils. And for this, we need to ramp up the teams well in advance. So it becomes a little difficult to quantify as such.
And other in terms of operating leverage, like I said, even last time when we gave this entire guidance of EBITDA guidance of 16.5% to 17.5%, was keeping in mind, one, Uniclan and second, also the higher employee cost that we will have both because of one ESOPs and second ramp-up in the team size.
Priyank Chheda: Sure. I got it. Now on the office supplies, what would be the mix roughly between pens, highlighters and markers?
Rahul Shah: So honestly, Priyank, you know, within the category, we'll not have a lot of details

ready on this.
So right now, the majority, I could say, would come from pens followed by markers and then highlighters, but I wouldn't have exact data on how much comes from each of these categories.
Priyank Chheda: Got it. One last thing, on the discount incentives and rebates, if I have to collate the data from the annual report, for the full year last year gone by, it was roughly 3.7% of the sales, which is netted off, of course, from the sales, but it went up Y-o-Y, almost a percentage of sales from 2.5% to 3.7%. What was this because?
Rahul Shah: In the current quarter?

Priyank Chheda: No, I'm asking for the full year, FY '25. I'm asking for the previous year. The discount incentives and rebates, which gets netted off from the sales, almost doubled from INR37 crores to INR71 crores. Was it or more...
Rahul Shah: Basically, see, discount rebates and all includes all schemes and cross-product schemes also that we run. So, it is generally, it is a factor of -- more a factor of the price list rather than actually giving certain cash or kind discounts in the market.
So typically, what happens is, let's say, I'm introducing, or I want to push product A, so I'll start giving product B as a part of the scheme. You buy so much of product A, you get so much of product B. So this -- but the value is all incorporated inside the costing. So it's not that we've given more schemes and discounts, which is actually bringing down your EBITDA, but that's more in terms of how the sales and how the price list metrics is working in the market.
In this quarter, we've had a slight impact, a little more scheme discount rebate given, again, because of the GST transition for whatever stock the channel had and the reduction in MRP that we did, we had to give a little -- we had to issue credit notes for that. So therefore, in this quarter, there was an impact, which was more from a transition thing rather than any product-specific schemes and discounts.
Priyank Chheda: Sure. One last thing, sorry. On the new plant for the first full year, even if we were to ramp up, we would say ramp up, say, at around 35% or 40% of the utilization and then Y-o-Y keep scaling up that. Of course, still certain percentage of utilization, the cost would get loaded up for the full plant, so would you guide that for the first year of the operation of the plant because it would be suboptimal, the EBITDA margins and the other expenses would take a hit to the EBITDA margins for the first year, second year and then gradually it will again recover it. Would that be the fair assumption in the trend analysis for the margins?
Rahul Shah: So Priyank, see, this is like an ongoing cycle, right? So today, already for the ramp-up that is happening in the other brownfield investments, like last quarter, we informed you all that we had added a few -- we purchased a few more land and building close to our existing facilities where the ramp-up in production is happening as we speak. So this is like a continuous process.
So today's numbers already include the impact of the ramp-up of the brownfield investments.
The numbers of next year will include the ramp-up of the 44-acre, but this current period ramp-up will have a full impact. So I don't see a major problem. See, it's a continuous cycle, because we've been in this capex cycle continuously.
Priyank Chheda: So the message that you're trying to give out is that because of...
Rahul Shah: I would not say that because of the ramp-up, there would be any significant impact on the margins.
Priyank Chheda: So you continue with that 17.5% or 18% kind of EBITDA margin guidance?

Rahul Shah: 16.5% to 17.5% is a decent range that we'll be comfortable operating in.

Moderator: The next question is from the line of Manan from ICICI Securities.
Manan: Congratul

ations on the good set of numbers. So I just have one question. The revenue grew by 24% year-on-year. Can you give a breakup about how much is this volume and value growth?
Rahul Shah: Manan, it is majorly volume growth, again, in key categories of office supplies, paper stationery, adhesives and kits and combination packs. And only a very small portion, about 2%, 3% of this growth comes from ASP increase.
Manan: Got it. And another question is like what the EBITDA margin does the company expect from this 44-acre project expansion? Is this the same margin the company is operating, or the company expect some other higher margin from this capacity?
Rahul Shah: The company's margin philosophy for DOMS has always been same. For every product, it's like cost sheet driven. We draw up our cost sheets and work with our targeted margin of 15%-16%, which, because of operational efficiencies, then results in reported margins of 16.5% to 17.5%. We will continue with the same philosophy for the 45-acre expansion also. Because then actually we are not, you know, going to add new product categories, more of increasing capacities for the same product categories where margins are already defined and well set.
Moderator: The next question is from the line of Ansh from Ansh Capital Advisors.
Ansh: Congratulations on a decent set of numbers. I just wanted to know that because of the GST 2.0, earlier you mentioned there had been some postponement in the orders. So do you think that influx will be, what do you say, shown in the next quarter in the same or what is your opinion on that?
Rahul Shah: Coincidentally, the GST reforms was clubbed with the onset of the festive season also. So typically, otherwise also, you know, during the Diwali period and all, which was in the Q3, the sales get impacted a little. So, you know, the channel clearance that happened was -- that happened a little faster in the month of September, which otherwise we'd anticipated would happen in October.
And the restocking at the distributor and the retail level will be an ongoing process and coincide with the back to school period, which will start from December. So you'll not see something significant in the third quarter. Third quarter as it is because of Diwali period gets a little slower. And even at the plant level, manufacturing level, we are on a short Diwali break of four to five days. So the production also gets impacted a little. So you'll not see any significant, like, impact in the third quarter. It will be a slow process moving into third and fourth quarter both.
Ansh: But there will be some gradual growth, right?
Rahul Shah: Yes, there will be some gradual growth, yes.
Ansh: Okay. And the second question is, what's the current capacity utilization we're running at?

Rahul Shah: It'll be very difficult for us to give, because all of our products have different capacities. Some products have interchangeable capacities, especially those which are manufactured using polymers and in our moulding infrastructure. So for us, at a product level, having capacities defined is a little difficult and challenging.
But having said that, across all our core products like scholastic stationery, scholastic art material, our capacity utilization is upwards of 95%. In products like office supplies and hobby and craft, there is continuous capacity addition ramp-up happening. So for already which we've installed, we would have reached about 75% plus. But again, new capacities are coming as we speak and during the next quarter, quarter and a half. So there, we will have growth coming in from.
Ansh: Okay. And the capex that you are planning on doing, when that is fully finalized and that's in production, what do you think that will -- like how long do you think that will last you for?
Rahul Shah: So hopefully...
Ansh: In the sense that how much capacity will that run

at? Do you -- you'll must have some projections on that?s
Rahul Shah: So basically, for us, wherever we are investing INR1 in building capacities, we target to achieve revenues of INR3. And as soon as we believe that for a particular product or a category where demand also is still strong, and we believe a lot of value DOMS can add, as soon as we reach about 50%, 60% utilization, we plan for other capacity enhancements.
And this, at least for the next 3 to 5 years, we believe considering the total market environment,

both in domestic market and the opportunity in exports is something which will be a continuous process. So we will keep investing in building our capacities at least for the next 3 to 4 years to drive growth in the business.

Moderator: Ladies and gentlemen, we will take one last question. The last question is from the line of Preeyam from Antique Stock Broking Limited.

Preeyam: So I just wanted to ask more clarity on the GST side, right? So most of the scholastic stationery product has seen 0% GST rate, right? I'm assuming pencil and stuff like that. But if you sell this product in kits, do we have a GST rate on kits as a basket?

Rahul Shah: So basically, what the GST law says is when you bundle products, you need to first check whether it's a mix supply or composite supply. Most of our kits fall under the category of mix supplies. And in mix supplies, whatever is the highest GST rate in that mix supply needs to be applied.

So most of our kits and combination packs are sold at a GST rate of 18%. And for the 0 percentage items that go in that kits and combination pack where you're actually charging 18%, you become eligible for input tax credit. So it complexes the entire process having different GST rates and with a lot of products being nil. But yes, that's something that we'll have to live with.

Preeyam: So this means that we will focus more on the kits or something like that to get the input tax credit on the…?

Rahul Shah: Absolutely not.

Preeyam: But there will be some dynamics -- there will be MRP dynamics change in the product portfolio in the kits versus the stand-alone products.

Rahul Shah: So both are not comparable. So somebody who wants to buy pencils only will buy pencil pack only, which will be still sold at 0%. And there, we've passed on the benefit to the consumers by reducing the MRPs of the product. And somebody who is buying a gift and combination pack either for gifting purpose or consumption purpose or for any reason, will buy. So it's not -- kits does not replace the requirement for a pack of pencil or vice versa, right? So people will not -- consumers will not start buying or we will not start pushing more sales of kits or combination pack that way.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Rahul Shah: Thank you, everyone. Thank you once again for joining us. We appreciate your continued support and confidence in our journey. Should you have any further questions, clarifications, please reach out to our Investor Relations team. Thank you, and have a great day ahead.

Moderator: Thank you. On behalf of DOMS Industries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Ref. No. DOMS/SE/25-26/88
Date: February 05, 2026

To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Scrip Code - 544045

Subject: Transcript of the Investor Conference Call on the Unaudited (Standalone and Consolidated) Financial Results for the quarter and nine months ended December 31, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Part A of Schedule III and other applicable regulations of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, ('SEBI LODR Regulations') please find enclosed the transcript of the Investor Conference Call on the Unaudited (Standalone and Consolidated) Financial Results for the quarter and nine months ended December 31, 2025, held on Monday, February 02, 2026, at 16:30 hours.

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the following link:

https://domsindia.com/pdf//Investor_Relations/Investor_Presentation_and_Transcripts/Q3_FY26.pdf

This is for your information and records.

Thanking you,
Yours faithfully,
For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl.: As above

"DOMS Industries Limited
Q3 FY'26 Earnings Conference Call"
February 02, 2026

Disclaimer: E&OE - Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company's website will prevail.

MANAGEMENT : MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER –
DOMS INDUSTRIES LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to DOMS Industries Q3 FY'26 Earnings Conference Call, hosted by ICICI Securities Limited.

Before we begin, a brief disclaimer. The presentation, which DOMS Industries Limited has uploaded on the stock exchange and their website and the discussion during the call, contains or may contain certain forward-looking statements concerning DOMS Industries Limited business prospects and profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward-looking statements.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you.

Aniruddha Joshi: Yes. Thanks, Iqra. On behalf of ICICI Securities, we welcome you all to Q3 and 9 months FY '26 results conference call of DOMS Industries Limited. We have with us today senior management represented by Mr. Rahul Shah, Chief Financial Officer.

Now I hand over the call to Rahul bhai for his initial comments on the quarterly as well as 9 months performance, and then we will open the floor for a question-and-answer session. Thanks, and over to you, Rahul bhai.

Rahul Shah: Thank you, Aniruddha bhai. Good evening, and a very warm welcome to everyone to the conference call for Q3 and 9 months FY'26. Joining me on this call is the team from Marathon Capital, our Investor Relations advisor. I hope everyone had an opportunity to go through the investor presentation and the results release that have been uploaded on the exchanges and our company's website.

To begin with, let me take you through the highlights for Q3 and 9 months performance. Our Q3 results showcased the strength of our balanced growth strategy, systematic execution and innovation-driven new product launches, demonstrating our focus on strengthening our market presence. On a year-on-year basis, we delivered a consolidated sales growth of 18.2%, driven by strong performances in our core categories.

Our 9-month consolidated growth of 22.7% positions us to close the fiscal year at the upper end of a guided range of 18% to 20%. This performance reflects the resilience of our team with disciplined approach towards implementation of our strategic priorities.

Operationally, we continue to leverage our comprehensive product range which remains a key driver for our performance. Quarterly growth was led by growth in categories across office supplies as we continue to see positive results on the back of enhanced capacities and positive market reception of products.

Kits & Combos and Hobby & Craft categories saw robust demand growth driven by new attractive and utility-focused product launches, scholastic art material backed by addition in existing infrastructure with modernization of some of our processes, fostering operational efficiency. Our baby hygiene business also saw a significant uptake fueled by winter demand for diapers and enhanced capacity as compared to last year.

Geographically, our revenue growth continues to be anchored by strong domestic demand, which has grown to represent more than 85% of overall sales. On the export front, despite headwinds in the U.S. market due to higher tariffs, we are pleased to report a double-digit growth of more than 15% over the 9-month period.

This was driven by strong demand for DOMS branded products across key categories like Nepal, Sri Lanka, Middle East and few African countries where we ar

e present. Additionally, our
distribution agreement with FILA has yielded positive results with initiation of exports of DOMS' branded stationery products to countries like Chile, Mexico, Canada, Europe, Turkey, South Africa and Australia. These initiatives and results clearly showcase our ability to navigate

challenges and capitalize on opportunities in diverse markets.
We are committed to expanding our product suites to meet the evolving needs of our growing consumer base. The quarter saw new product launches like acrylic markers and SKU additions in sketch pens, mechanical pencils, pens, gift sets, attractive kits across various categories.
Further, I am pleased to share that we have recently commenced manufacturing and supply of vibrant metal pencil boxes designed specifically for kids. Complemented by a newly designed range of school bags and paper stationery, we are well positioned to capitalize on the upcoming back-to-school season.
We have recently approved the formation of a 50-50 JV with Seven SpA, a FILA Group company. The primary objective of the JV would be to manufacture and supply backpacks, bags and pencil cases targeting the premium segment. The partnership combines FILA's global reach, presence, product designing and know-how and DOMS' manufacturing and execution capabilities. The formation of this JV is expected to be completed by end of Q1 FY '27, and we believe that the JV will likely add new growth initiatives for the company in the future.
On the marketing front, we are strengthening our connection with audiences through innovative online and offline initiatives. Our social media community has grown significantly with over 3.8 million YouTube subscribers and 170,000-plus Instagram followers, making DOMS a top admired brand in stationery and art materials.
Our success wouldn't have been possible without the continuous efforts of our people who have been one of our strongest pillars for the growth. As a recognition of their ongoing contribution, we recently granted additional 137,690 ESOPs to the members of the DOMS family.
Coming to our expansion initiatives. During the quarter, we were able to enhance capacities across our core categories like scholastic stationery, scholastic Art and office supplies within our existing infrastructure, catering to the continued demand. Additionally, our 44-acre project remains a key focus area with ongoing capex investments, which will enable us to meet growing

product demand. We are progressing steadily on the project, albeit with a slight construction delay on account of prolonged and unseasonal monsoon during the last calendar year. We expect to start the commercial production from the first building during Q2 FY'27. This capacity expansion, along with other ongoing brownfield initiatives has been strategically planned and hence the delay should not materially impact our plans and other ongoing brownfield expansion initiatives should be able to support our growth strategy till that time.
Now coming to the details of our financial performance. Consolidated operating revenues for Q3 FY'26 stood at INR592.2 crores, a growth of 18.2% compared to the same quarter last financial year. This increase in sales was predominantly on account of healthy performance in domestic market, recording a 19.4% growth in gross product sales year-on-year during the quarter.
During the quarter under consideration, input costs for most goods had remained constant or were lower, especially for key raw materials like polymers, waxes, etc., providing a positive impact to our margins. However, with prices now trending upwards, we expect a neutral impact on our full year results. The consolidated EBITDA for Q3 FY'26 grew by 17.7% surpassing the INR100 crores mark and stood at INR103.4 crores as compared to INR87.9 crores in Q3 FY'25.
The EBITDA margin for the quarter stood

at 17.5% at the upper end of our guided range of
16.5% to 17.5%.
The profit after tax for the quarter stood at INR61.4 crores with a growth of 13.1% over the same period in the previous financial year and the PAT margin for the quarter stood at 10.4%. During the quarter, PAT moderated slightly primarily on account of reduction in other income due to utilization of IPO proceeds towards capex, which during the earlier period were passed in fixed deposits. However, the overall profitability remained within our guidance range as our core business continue to demonstrate volume growth backed by stable margins, underscoring the robustness of our portfolio and the effectiveness of our disciplined execution framework.
On the capex front, we continue to focus on our expansion initiatives. For the 9-month period, we have done a consolidated Capex of approximately INR230 crores, including capital advances. With this, we believe our capex spend for the fiscal would now cross INR250 crores.
Looking ahead, we continue to remain optimistic about our growth plans, supported by an expected increase in demand in the domestic market, especially with the onset of the upcoming back-to-school season, thereby positioning us well for sustained growth and achieving our laid out fiscal targets.
With this, I would now request to open the floor for questions and answers. Thank.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jinesh Joshi from Prabhudas Lilladher Capital.
Jinesh Joshi: Sir, my first question is on Seven. I mean, what was the rationale for forming a separate JV with

them to focus on, say, backpacks and bags when we already have an existing JV with SKIDO, which is into similar line of business.

Rahul Shah: Jinesh, Seven SpA with whom we've done this JV was actually founded in 1973 by 7 brothers in Italy and is one of Europe's leading manufacturer of ergonomic backpacks, bags, trollies and accessories. Seven generated revenues of close to EUR90 million in 2024 and holds a dominant position in Italy and across Europe in the back-to-school market and has retail presence of over 6,000-plus retail points. It also has more than 60 international patents for this category of products. Recently, FILA completed the acquisition of 51% stake in Seven.

The proposed JV that we are doing with Seven, it merges Seven's premium design and R&D expertise with DOMS' strength of managing manufacturing operations efficiently. And it would lead to building a state of art Indian production for FILA Groups' global backpack and bag requirements. And at the same time, it will allow DOMS to offer this premium range in the domestic market. For success of this entire JV, the active participation of the promoters of Seven will result in effective transfer of know-how and expertise to the JV company.

At the same time, SKIDO will objectively remain focused on the business relating to DOMS branded bags primarily catering to the Indian mass market demand for range of backpacks and school bags and also service the requirement of bags for DOMS kits and combo packs. This positions SKIDO to scale efficiently in the mass market segment, capitalizing on DOMS' brand and distribution network.

So with clear objectives defined for both the companies, where SKIDO focuses on manufacturing, distribution and sales of domestic mass market products, and the new JV focused on manufacturing for FILA's global demand and high-end premium range, we anticipate that there wouldn't be any conflict between both these ventures of DOMS and both can be successful in the same segment.

Jinesh Joshi: Understood. Sir, if I heard you right, you mentioned that the sales of Seven was roughly about EUR90 million in 2024, so it is safe to assume that, that kind of potential can accrue within the JV. That is ques

tion one. And secondly, when is the production expected to begin over here and what will be the typical price point of the backpacks? If you could just give some color on that?

Rahul Shah: So Jinesh, we are targeting to complete the formation of the JV by end of Q1 FY'27. Initially, the plan is to start manufacturing operations to cater to the demand of Seven's product in international markets. And definitely, the opportunity is large, but we still don't have any number in mind in terms of size of this operation. But over a period of time, we believe a sizable portion of this -- of the current backpack requirement can be manufactured and exported from India.

In terms of pricing of these products, if I look at the current portfolio of Seven, the prices of these bags in Italy start from around EUR60 to EUR70 per bag. Now what product gets finalized and launched in India, we are still a little time away from this. But like I said, the first focus would be to start the manufacturing operations and use this production facility to meet Seven's global requirements.

Jinesh Joshi: Sure. Sir, two small bookkeeping questions from my side. One is that if you can just share what will be our capex number for '27 and '28, given the fact that our 44-acre expansion is towards the fag end of completion. That is one.

And secondly, just one small observation. Now if I look at our purchase of stock-in-trade on 9-month basis, that is at about INR63 crores, roughly about 3.7% of our top line. And if I look at the base period, this figure was roughly about 2% of the top line.

Now given the fact that we are largely backward integrated, can you please explain what has led to a surge in this number? I mean have we started resorting to some kind of outsourcing within any of the products? So if you can just clarify on that matter as well?

Rahul Shah: So Jinesh, to answer your first question. So this year, like we said on the call, we'll end up investing close to INR250 crores in capital expenditure. We believe a similar sort of investment will be done in the next financial year with that capex investment target between INR225 crores to INR250 crores. Currently, I wouldn't -- the first few buildings of the 44-acre are getting ready. But like we mentioned earlier also multiple times, this is like an ongoing project with multiple buildings being constructed in this project and every quarter starting from Q1 FY'27, we'll get new buildings, a possession of new buildings and then about 90 days to commercialize operations. So this will go on for the next year and half sort of a thing.

To answer your second question on stock in trade, are you referring to the consolidated financials or the stand-alone financial?

Jinesh Joshi: Consol figure.
Rahul Shah: So in consol, there are two major activities in which you would see a little bit of increase in stock-in-trade is with respect to paper stationery. Earlier, Pioneer was our only subsidiary focused on paper stationery but to meet growing demand and to manage these operations a better way, we acquired STPL in East and have started also getting paper stationery products manufactured from a partner, OEM partner in South India. So that is one reason why this stock-in-trade in paper stationery has increased. And also at Uniclan, which is a baby hygiene business, and basically there the company is predominantly into pant-style diapers. In this quarter, we also introduced the flat diapers, a very small portion, but they were basically manufactured from a third-party OEM supplier and sold in the market under the Uniclan's Wowper brand. Uniclan does not have the production infrastructure to make these flat-style diapers. And just in order to complete the product range right now, we've initiated some trading activity. Once this segment also grows, we'll evaluate looking at more investment for these sort of d

iapers as well.
Moderator: The next question is from the line of Sneha Talreja from Nuvama.
Sneha Talreja: Congrats on the good set of numbers. Just a couple of questions from my end. Firstly, on paper stationery, we have seen a degrowth. And I recall, Rahul, you telling me, you're really largely focusing a lot towards it. So what's missing here and why the degrowth is what I wanted to understand?
Rahul Shah: Sneha, if you see, in paper stationery year-on-year for the third quarter, you will see a slight degrowth. One of the reasons for this is earlier a lot of our paper stationery business was being routed to Pioneer Stationery and there were some amount of trading activities for the paper that we used to buy, like, for example, STPL, which was last year not a subsidiary and this time when we used to get books manufactured from them, we used to buy the paper and sell it to STPL and

buy the books from them. So there was some amount of trading activity, which has now decreased.
But if you look at the 9-month number, YTD number, you'll see in the paper stationery segment, we've grown at about 8.7%, 8.9%. And now with the back-to-school season coming in and now having more capacity with STPL plus also our partner in South India, we believe this segment to perform much better.
Sneha Talreja: Secondly, on the new capacity, which is likely to come up and you've been saying that you're really coming up in phased manner, if at all can you give some breakup as for first year, which are the products where the focus will be on, so as to analyze the growth in individual segments and followed by next year, expansions will be in which other phase.
Rahul Shah: Sneha first, we'll start with enhancing our capacity for wooden pencil. If you remember, we were planning to initiate capacity expansion for wooden pencil in our existing infrastructure. But looking at the strong demand that we had in the ball point segment, we then decided to expand our ball point manufacturing capacity in the existing infrastructure.
So wooden pencil capacity expansion is something which we first do in this 44-acre project, followed by enhancement in production capacity for our writing instruments, then pencil and pencil accessories, which is basically eraser, sharpeners, followed by scholastic art materials.
But again, Sneha, basically, one of the strategies that we've always followed is to be a little flexible when it comes to introduction of capacities to meet the demands of the market as much as possible, be a little more flexible when it comes to initiating these capacity additions.
So if there is any change in the market demand scenario, then we will probably change. But otherwise, the current plan is to first do pencil capacity addition followed by writing instruments and then scholastic arts.
Sneha Talreja: Understood. Also I wanted to understand in our hygiene segment now what would be the breakup between the diapers? I know we've recently launched a wet wipes, but still any breakup here would be helpful.
Rahul Shah: So more than 90% of the sales is still diapers. Wipes is something which is still building up. We started with a single SKU in the wipes segment with packs having 72 wipes. We recently introduced a smaller pack with 30 wipes. So that sales in this segment is building up. But right now, more than 90% of the sales comes from the diaper business.
Sneha Talreja: Understood. And eventually, what would be the actual mix here? Can it become like more like 60-40 or it has to be like -- can you share which is an ideal share in this particular business?
Rahul Shah: Not targeted anything, diaper remains the core focus area, wipes is like a complementary product. So the key focus would be diapers. And currently, the way we have the capacity, I assume that this percentage of 90-10 or 85-15, would continue for some time.
Moderator: The ne

xt question is from the line of Aradhana Jain from B&K Securities.

Aradhana Jain: Congratulations for the continued good set of numbers. A couple of questions. First, I wanted to know a little more on the JV. So basically, the INR15-odd crores that we are initially investing. What is the plan or what is the sort of revenue potential that you are expecting from this particular JV? And like you said that SKIDO will be -- we have positioned SKIDO as mass brand, while this will be a premium brand. So initially, is the plan that we'll just be exporting? Or will we also be targeting the domestic audience in India, like, what is the thought process? And like the initial investment is INR15-odd crores, but going forward, do we expect more investment in this particular JV? And where exactly will the manufacturing be done? That's my first question.
Rahul Shah: Aradhana, basically, the approval that we've taken right now and disclosed to the stock exchange, is basically a total investment of upto INR15 crores by both partners in proportion to their shareholding in the JV company. This JV company, like I mentioned initially, will first focus on the export opportunity, which is available whereby the JV company will be an OEM manufacturer for the backpack and supply to Seven and other FILA Group companies across the world.
In terms of product category, these bags are ultra-premium backpacks. The audience in India for such backpacks is very, very limited. But right now, also considering SKIDO also operates the entire business through the DOMS distribution network, when we decide to launch these ultra-premium backpacks in the India market, it will be done through the same distribution network, but targeting a very small, very niche set of end consumers.
In terms of projections, we don't have -- we have not yet prepared anything because this investment will happen in a step-by-step manner, but with our experience of running SKIDO for almost 1.5 years now, we believe that even in this business, achieving a 3x to a 4x sort of gross fixed asset turnover is something which is achievable, but it will happen across the next year or so once the buildup starts.
Aradhana Jain: Understood. And the manufacturing will happen in Umbergaon for this, or…?
Rahul Shah: It will happen in Umbergaon.
Aradhana Jain: Understood. My second question is on office supplies, like office supplies has done really well this quarter as well. What is leading to this kind of traction? Have we like added new pens, which is leading to the growth or the growth is primarily coming from the existing pens that's giving traction. And in the pen segment, do we like have a hero product, which is like standing out amidst all the other products? And have you like expanded beyond the INR10 price point at this point in time.
Rahul Shah: So Aradhana, basically, for us, all our products are hero products. We invest so much in making a product. So all the products are very close to our heart, and the reception that we get from the market is also something similar. So basically, the growth that you see in the office supply segment is definitely driven by writing instruments, the pens, where we'll be continuously increasing our capacity. And we -- earlier when we started our new moulding unit for pens, you typically start with a few set of machines getting operational and over a period of time, all machines getting operational.

So in this quarter, you basically seen the entire pen segment capacity addition that buildup that happened in the last previous 2 quarters, coming in production, therefore, you see good results from this segment. In terms of focus, we still continue to focus primarily on the INR5 pen segment and with expanding our portfolio in the INR10 segment also. So mix-wise we are still s

imilar to what we were earlier.
Aradhana Jain: So it's like 70% coming from...
Rahul Shah: We have not move beyond INR10 segment as yet.
Aradhana Jain: Okay. And in terms of -- we also had plans of bringing in tips in-house. So any progress there? Or are we still obtaining the tips from outside?
Rahul Shah: No, we still continue to obtain tips from outside. As we said that we want to get into the manufacturing of tips. This is more from a perspective of having some amount of internal control over the type of tips and to understand how -- it will be more like an R&D plus in-house consumption requirement that we have. We are in the process of getting there. So once the new facility starts, then we'll also get into tip manufacturing.
Aradhana Jain: And in terms of guidance for FY '27...
Moderator: Sorry to interrupt you, Aradhana, I request you to rejoin the queue for a follow-up question, please. The next question is from the line of Percy from IIFL Capital.
Percy: Rahul, bag seems to be a focus area for you. Just wanted to understand in SKIDO till now what

has been our investment? And what is the revenue turnover of this business, whatever you want to say, either on, FY '25, '26 basis or a quarterly number or an ARR, just for us to get a sense as to how the business is ramping up.

Rahul Shah: So, Percy bhai, backpack or I think the entire back-to-school segment is a segment which we were keen at exploring since a long time. With SKIDO, we found partners who helped us in getting into this segment, especially in the mass market segment very well. The bags were launched in the last back-to-school season, towards the end of the last back-to-school season. And now this is going to be actually the first complete back-to-school season where we'll be launching this product.

Till now, we've invested about INR1.02 crores in SKIDO. And for the 9 months ended 31st December, we generated a sale of about INR9.5 crores in this business. This is both the products that we sell in the market under the DOMS brand and also the bags, which SKIDO manufactures and supplies to DOMS for its kits and combo packs.

Percy: You said, sorry, 9 months FY '26 is INR9 crores?

Rahul Shah: Yes. The total investment in SKIDO will be roughly about INR2 crores plus.

Percy: Understood. Understood. Coming to...

Rahul Shah: We have put in about INR1 crores, INR1.02 crores proportionate to our shareholdings.

Percy: So coming to this scholastic art business, I think it has grown about 12% in this quarter. So just wanted to understand, see, we understand your growth drivers, which is the pens segment and all these new initiatives, bags, etc. But your core bread and butter, which is the stationery business, the scholastic art and scholastic stationery business. I mean, where are we now in this segment in terms of distribution? Where are we in terms of market share? What is the market growth here? And what do you think we can grow this business over the next 3 to 4 years, which would include our own market share gains.

So just -- I mean, not asking for a guidance, but just asking for a way to sort of evaluate and model this business out. Do you still think that this is a business which can grow at sort of close to 15% to 20%? Or do you think that no, there will have to be these other new growth businesses like pens, bags, etc., which will need to grow at maybe 50% to 100% in order for the company to do that high teens kind of a number?

Rahul Shah: So Percy, basically, scholastic stationery, scholastic art and kits and combo is something which we look together because there are a lot of complementary products in these categories. So overall, when we see all these 3 categories put together, we've grown by about 11.5%. One of a few reasons for this growth, especially if you see scholastic stationery is, despite the impact of U.S. tariffs, one of the ke

y products that we used to export to the FILA Group company in the U.S. is wooden pencils, the blacklead wood pencils, where after the impact of 50% tariff, the sales has come down consider. Despite that in this segment year-on-year, we've grown by about 2%. This has been because, one, we've launched mechanical pencils, which were launched in Q2 FY'26, and they've got a good reception from the market. These are categories under the scholastic stationery segment. Plus a little bit of capacity -- spare capacity which we had from the decline in sales to U.S. for the wooden pencils was used to increase the capacity for wooden color lead pencils, which gets categorized in scholastic art. So that is one reason where you see the sales in the scholastic art segment increasing significantly year-on-year.

Plus like we mentioned that we are slowly starting to increase our capacities for the wooden pencils. In the 45 acres, the first plant that we are going to get ready will be focused on wooden pencils. Out of that, some capacity buildup has already started because we had some space in our color pencil division. So we've increased our capacity there. So overall color pencil as a subsegment has done really well. In terms of overall capacity increase, our target to increase the capacity of our wooden pencil is from about 5.8 million that we have -- sorry, 5.53 million that we have currently to about 8 million going in the next couple of years. This will be a gradual increase. So in the coming year and actually more in the year after, in FY'28, you'll see significant growth coming from the sales of scholastic stationery and scholastic art material where wooden pencil will become a key growth driver.

We believe that there is still significant potential in the market, both in domestic and on export front. There are already now talks of the U.S. tariffs coming back to normal. So once this comes back to the normal range, again, the lost sales to U.S. will reinitiate with more capacities in place, we'll be able to get a better output for both the domestic and export market. So we are confident on the growth prospects on these 2 segments as well. In terms of market share, honestly, we'll not have -- we don't track or follow any market reports, but it would be fair to assume that we'll

be especially in the pencil segment upwards of about 35%. And with the new capacities coming in, we'll be close to about 45% of the market share.
Percy: And this 11.5% is with exports. Can you tell me what the number would be for only the India business?
Rahul Shah: For the growth of...
Percy: For the three segments you said?
Rahul Shah: Scholastic, arts and kits together.
Percy: The scholastic arts, scholastic stationery, kits and combos, which you said together is 11.5%, that includes exports. What would it be for the India business?
Rahul Shah: I would not have, Percy, this answer right now. Probably we can come back to you all with this reply. I will have our IR team get in touch to answer. I don't have the numbers off hand right now.
Percy: No problem. And this 11.5%, which you have done going ahead, let's say, over a 3-year CAGR, what do you think should be a target for a 3-year period?
Rahul Shah: So Percy, this will all depend upon when the capacity is going to come up and how it is going to be built up but this should follow -- once there will be a time when there is a major capacity addition happening, you will see this number to increase significantly in that year and then moderate down.
Percy: But that's why I am telling you -- no, I don't want year on year, sir, or understanding.
Rahul Shah: Yes, yes. So this segment also should follow the company's overall growth rate in the next 3 to 5 years.
Moderator: The next question is from the line of Kunal Vora from BNP Paribas.
Kunal Vora: So first, how should we look at the new capacities

and their contribution? Would it like add 5%,
7% every quarter? Will it be lumpy? And how does the capacity come in over the next 6 to 8 quarters? That's the first question. Second one, I'll come to little bit later, but like if you can answer the first one.
Rahul Shah: So, Kunal bhai, basically historically, the way we have seen it is once we get the possession of the building to start the plant, it takes us almost about a 90-day sort of a period. And once we start the plant, it takes us about 6-odd months to reach a decent level of capacity utilization. Because in the initial phases, there are some buildup happening, some connections and assemblies and synergies that get developed, you need to sometimes change the positioning of certain machines and all. So it takes us about 6 to 7 months to reach a decent level of production. So this is how we see typical buildup happening.

So the idea is every 3 months having some new capacities starting first with pencils, then with office supplies with purely writing instruments, which includes pens, markers, highlighters, then would be pencil accessories, which is erasers, sharpeners, because that complement the growth in capacity for pencil because in a pack of pencils, you need to give 1 sharpener and eraser free. And then eventually followed with some amount of additional capacity for scholastic art materials.
Kunal Vora: But I wanted to understand whether it will be uniform, or it will be lumpy? I mean, like, will there be 1 large factory or it will be like similar sized factories, similar contribution from each of the factory?
Rahul Shah: So basically, Kunal bhai, in the 45-acre project, most of the buildings are similar in size, which is about 150,000 square feet, each building. So this is -- since you've seen the plants, just to give you a reference, this is almost double the size of our current eraser plant, which you would have seen. So they are similar. So the growth will not be very lumpy.
Yes, there will be some quarters where you will probably see a lump compared to the base quarter because probably in the base quarter, you might not have had that amount of capacity addition. But sequentially, it should be pretty much in line.
Kunal Vora: Understood. And how many factories will come in total over the next, whatever, 2, 3 years, 4 years?
Rahul Shah: So right now, we have plans to construct about a total of 9 buildings.
Kunal Vora: 9 buildings. Understood. Okay, okay, okay. And second one is regarding the...
Rahul Shah: There is construction going on for sheds. These are going to be basically storage units, and there will be utility buildings. So these are all in addition. But right now, we are planning to have 9-odd buildings constructed for production purposes.
Kunal Vora: And these 9 buildings will come over about 9 quarters -- in the 8, 9 quarter? How does it come?
Rahul Shah: Yes.
Kunal Vora: Understood. Okay. Okay. Second and last one is regarding the ultra-premium bags, you'll be manufacturing. Where are these bags currently getting manufactured? And what is the cost

saving you are able to achieve? And will the margins be comparable to what you make currently?
Rahul Shah: This production with Seven SpA does -- is right now, they have production facilities, a small facility in Italy and also source considerably from China. Definitely with the Seven, the partners, like FILA's, partners at Seven also being involved in this JV and working closely with DOMS, they will also have their skin in this venture. So they would also want to shift production, as much production as possible to India over a period of time. So it can become a sizable business for DOMS as well.

Kunal Vora: But what's the rationale? I mean, will the cost be, which you will be able to deliver much lower compared

to what the China cost will be or the quality? Or like what's the rationale of shifting the production?
Rahul Shah: So this Seven SpA will have a little more control because this will be now their own joint venture like we have 50%, they will also have 50%. So they have more control. Plus with the FILA and DOMS' partnership, we've been able to demonstrate in certain key categories like pencils, scholastic art materials, that from a production perspective, we can be as competitive, but much more trustworthy and better quality products than China. So we would want to replicate the same success for the Seven DOMS JV as well.
Kunal Vora: Okay. And lastly, what's the current turnover? And do you think like almost everything which is getting manufactured can come to you or you'll have to prove yourself or -- I mean how does that work?
Rahul Shah: We'll definitely have to prove ourselves. It's not that everything will come to us. Today, after almost more than 1.5 decades sort of a partnership with FILA, we've still not been able to get all the production because our focus is always equally important to grow the DOMS brand as well. So I wouldn't say that 100% will come to India. But once we start this process, I think we can have a significant portion coming to India in the next few years.
Moderator: The next question is from the line of Sunny, an Individual Investor.
Sunny: Hello, am I audible?
Rahul Shah: Yes, we can hear you.
Sunny: So I just wanted a qualitative view about, number one, where do you see your new acquisitions in the foreseeable future? What are your learnings from the new acquisitions like in the diaper segment or in SKIDO and other companies? And number two, when do you expect a bump-up in your earnings given the huge capex you have been doing in the last 2, 3 years? So in which financial year do you see a bump-up in your earnings from the huge capex? So these are the only 2 questions, sir.
Rahul Shah: Sunny, right now, all our acquisitions and subsidiaries have decent business. Like I just mentioned, SKIDO which we started, which we invested about nearly 2 years back, has done a sale of -- YTD sale of almost close to INR10 crores on a total investment of -- by both the partners to put together of about INR2 crores. Wowper business is doing well. When we invested in this company last year, they closed last full financial year at INR160-odd crores. This year, we are targeting to close -- at close to INR200 crores.
Pioneer. There has been a shift in the business model, where earlier Pioneer used to do direct sales. Now it gets routed through DOMS. Despite that, the company has grown in sales. Micro Wood, which is basically supplying material to DOMS -- the packing material to DOMS is also doing well. So overall, all companies are doing well.

STPL, Super Treads is something which we have invested very recently and this is now the first back-to-school season where we'll participate through them also. But given its strategic location, the pedigree of the management and plus some amount of backward integration that we are in the process doing there, we believe this would also be a successful acquisition for us.
Sunny: Right, right. And regarding the -- when do you expect the sales uptick?
Rahul Shah: So Sunny, we'll basically -- the way we planned, it is not right now, but even historically has been always to achieve a very steady growth. Capex and investment in capital expenditure is like an ongoing activity. During the last few years, also after listing, you would have seen that the sales of DOMS has been very measured and grown without any bumpiness. It's something where we've grown sustainably. So we'll want to follow the same approach.
So right now also, while there has been some amount of delay in our new projects, but we believe there have been other significant investments that have been happ

ened in our current
infrastructure plus certain other brownfield investment that we've done, which will support a similar sort of a growth pattern in the coming few financial years as well.
Sunny: Congratulations from my side for great results or consistent results over these years, sir.
Moderator: The next question is from the line of Ananya Nichani from Thinqwise Wealth Managers LLP.
Ananya Nichani: I wanted to ask about Uniclan. Your EBITDA margins in this quarter are at 12%, whereas the guided range was around 7% to 8%. So I wanted to understand what caused the spike in margins and whether it's sustainable?
Rahul Shah: Ananya, basically, for Uniclan, or for the entire diaper business, you could say that the third quarter is one of the strongest quarters in terms of performance with more than about 30% of sales coming in single quarter because of the winter season. And this is slightly a seasonal business where with the onset of monsoon, the business starts; during peak winter, it is the highest sales and then it tapers down after Holi sort of a season. And Q1 is almost the weakest. So in this quarter, what typically happens is your fixed cost utilization is highest. That's the reason why you will see the EBITDA margins to be the highest in this quarter. But when you consolidate the full year numbers where Q1 is weak followed by Q4 and then Q2 and Q3, at a same level, we think this business will do about 8% to 9% annual margin.
Moderator: The next question is from the line of Mosam Shah from Wealth Guardian.
Mosam Shah: Congratulations on a good set of numbers. My first question is regarding the Jammu Kashmir land that we have acquired. So basically, around at what cost have we acquired?
Rahul Shah: So Mosam, we paid about INR16 crores for acquisition of land, building and certain electrical fittings, which will be of the use to the company. The land is spread across about 2.5-plus acres with a buildup area of close to 50,000 square feet. And this is strategically located very near to our current operations in Jammu. So management would be more easier. Here, we plan to enhance some amount of our capacities for wooden slat processing as well as there are certain

attractive products in the fine art category also which requires some amount of processed wood, which we will get from this new investment in Jammu.
Mosam Shah: Okay. And also so we are guiding for 18%, 20% of revenue growth, whereas in the first 9 months, we have already done 23%. So is this something that we are guiding limited revenue growth? Or are we seeing a degrowth in quarter 4 being back-to-school season and everything?
Rahul Shah: Mosam, if you would have seen the numbers in the third quarter, if you compare year-on-year, our growth has been about 18.5%, 18.7% to be precise. This is because in the base period now starting from third quarter, the base period, we already had the impact of the Uniclan acquisition. So growth -- when we forecasted for the full year growth of close to 18%, 20%, we knew that first 2 quarters will be higher growth because there was no Uniclan consolidation impact in the base quarters, while in the next 2 quarters, we will have an impact of the Uniclan so the growth percentage on a much larger sort of a base will be a little lower.
But having said that, it's not that we are looking at any sort of a degrowth. We are confident that we'll close the year at the upper end of the guided range and at the same time, continue to be a little conservative. That's normally the way we always be. But we are confident that we'll achieve or reach at the upper end of the guided range.
Mosam Shah: Okay. Okay. Thank you. And also, this quarter, we have achieved revenue -- we have -- in our revenue mix, there's a lot of higher proportion given to the Eastern market. So is it because of the new acquisition, STPL?
Rahul Shah: In the Eas

tern market?
Mosam Shah: Yes, yes.
Rahul Shah: No, no. Typically, you're comparing sequential -- growth or year-on-year?
Mosam Shah: No,. Year-on-year.
Rahul Shah: Typically, I will have to see, but Mosam, one of the reason is sometimes what happens is it really depends upon the festive season also. So if the Durga Puja season in the fiscal year 2025 was in the third quarter, then the sales in East India becomes a little less during that period. And this year, I remember that Durga Puja was actually in the second quarter. So probably that can be one reason. But otherwise, there has been no impact of the STPL acquisition on it; it is just that the business fundamentals are playing out.
STPL, like I said, that -- now is the season where we will see good impact of STPL acquisition coming in because one earlier, it's a new acquisition, then the GST rate change had impacted the sales of paper stationery overall. And after that, we -- during that time and currently, we invested something in backward integration in terms of printing line being set up, which is already close to completion. This quarter, we see significant revenue -- decent revenue being consolidated from STPL to DOMS.
Moderator: The next question is from the line of Aniruddha from ICICI Securities.

Aniruddha Joshi: Yes. So Rahul bhai, two questions. One, commodity price inflation is pretty high. So how are you managing it in terms of price hike, trade spends management or changing revenue mix, product mix? Because rather than inflation, the volatility in commodity prices is also extremely high. So that is question number one.
And question number two, if you can share more details on the ESOP plan, in terms of means how many employees have got that and vesting period target, whether it is in lieu of cash salaries or bonuses or it is in addition to the cash salaries, bonuses, etc. So any further details that you can share?
Rahul Shah: Okay. Aniruddha bhai, thank you for your question. You rightly put that in the current quarter, especially from the time there have been these discussions about Greenland and Iran, there has been a significant increase in prices. There has -- the volatility has also increased. But as a company right now, we are just waiting and watching whether these are sustainable or if these are something which are like a temporary phenomenon.
Once 1.5 months sort of a thing plays down, we will decide that if these remain sustainable, then we will have to change our pricing structure either in terms of the channel margins or the MRP of the product depending on how the cost sheets pan out and how much it will increase.
So definitely, this will have a little bit of impact on our margins in the current quarter. But to what extent, we still don't know. And plus, we have a very large purchase basket. We've not seen still an increase across the purchase basket but these are in some of the key raw materials, while for some other key raw materials, the prices continue to remain constant. So that's something which we will wait and then decide on how and when to pass on any increases if any.
Secondly, in terms of ESOP, so Aniruddha bhai, these ESOP grant that we've done, we've done it from our existing approved ESOP scheme, which was the ESOP 2023 scheme. From this scheme in October 2024, we had done certain grants, I think about 117,000-odd grants had happened to about 900-plus employees. This year from the same pool, we granted about 137,000 plus of ESOPs to 1,000-plus employees. So basically, the vesting period and time frame remains the same. This is in addition to their current CTCs.
Ankit Kedia: Okay, sure, sure. This is very helpful. And congrats for great set of numbers.
Moderator: We'll take the last question from the line of Anik Mitra from Finnomics Solutions Private Limited.
Anik Mitra: Am I audible, sir?
Rahul Shah: Yes, you

are.
Anik Mitra: Sir, your new brownfield capacity expansions and also greenfields are coming in phased manner. So what sort of revenue addition we can see over the period of time, if you can guide us from another 4 to 6 quarters point of view?

Rahul Shah: So Anik, honestly, right now, what we are seeing right now for the coming financial year, we will probably continue our growth momentum of close to 18% to 20% revenue growth since same sort of a growth that we will be closing with this current financial year will achieve -- we'll try to achieve the same growth in the coming financial year as well.
And after that, we should also remember that the pace on which this growth is being achieved is increasing. So after that, we still not made a plan of what we would, but that will depend on how the capacity buildup, stands up. And at least for next year, we can say that we'll continue the current growth momentum and target to achieve a sales growth of 18% to 20%.
Anik Mitra: Okay. So sir, whatever 18% to 20% you are projecting for the next year, is it like will it come from these additional capacities? Or is it the normal, like, with the current capacity?
Rahul Shah: Predominantly from the full utilization of the current capacity because the capacity addition that has happened during the course of this year for the 9 months plus in the next 3 months will get full benefit of that in the coming financial year and plus some new capacities being added in the coming financial year. But it will be more of a volume driven growth.
Anik Mitra: Okay. Okay. And sir, with the backward integration, whatever you doing in for pencil capacities? So what sort of margin improvement we may see at full capacity utilization or optimum -- at optimum level of utilization?
Rahul Shah: So I think basically, we are already one of the most backward integrated company, when it comes to manufacturing of wooden pencils. So this is the new capacity addition that we might be doing for backward integration will be to support the increase in capacity for the main product, like now the pencil capacity is going to increase. So there would not be any significant impact of this on the margins.
Anik Mitra: So we can consider margin will be as it is, means it will be maintained, like to maintain the

margin this capacity utilization will -- mean this additional capacity will help.
Rahul Shah: Absolutely.
Anik Mitra: I got it. Congrats for a good set of numbers, sir.
Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for the closing comments.
Rahul Shah: Thank you, everyone, for joining us. We appreciate your continued support and confidence in our journey. Should you have any further questions, please reach out to our Investor Relations team. Thank you and have a great day ahead.
Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Ref. No. DOMS/SE/26-27/17
Date: May 21, 2026

To,
The Manager The Manager
Corporate Relationship Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051

BSE Symbol - DOMS NSE Symbol - DOMS
BSE Scrip Code - 544045

Subject: Transcript of the Investor Conference Call on the Audited (Standalone and Consolidated) Financial Results for the financial year ended March 31, 2026

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III and other applicable regulations of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, ('SEBI LODR Regulations') please find enclosed the transcript of the Investor Conference Call on the Audited (Standalone and Consolidated) Financial Results for the financial year ended March 31, 2026, held on Tuesday, May 19, 2026, at 15:30 hours (IST).

The transcript of Investor Conference Call has also been uploaded on the website of the Company and can be accessed through the following link:

https://domsindia.com/pdf/Investor_Relations/Investor_Presentation_and_Transcripts/Q4_FY26.pdf

This is for your information and records.

Thanking you,
Yours faithfully,
For DOMS Industries Limited

____
Mitesh Padia
Company Secretary and Compliance Officer
Membership No.: A58693

Encl.: As above

"DOMS Industries Limited
Q4 & FY26 Earnings Conference Call "
May 19 , 202 6

Disclaimer: E&OE - Please note that some portion of the concall may have an audio spoken in language other than English which has been translated in English language in this transcript primarily for ease of reading. This transcript is edited for factual errors. In case of d iscrepancy, the audio recordings uploaded on the Company's website will prevail.

MANAGEMENT : MR. RAHUL SHAH – CHIEF FINANCIAL OFFICER – DOMS INDUSTRIES LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the DOMS Industries Limited Q4 FY26 Conference Call , hosted by ICICI Securities Limited. Th e presentation, which DOMS Industries Limited has uploaded on the stock exchange and their website and the discussions during this call, contains or may contain certain forward -looking statements concerning DOMS Industries Limited business prospects and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in such forward -looking statements.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Aaron. On behalf of ICICI Securities, we welcome you all to Q4 FY26 and FY26 results conference call of DOMS Industries Limited. We have with us today senior management represented by Mr. Rahul Shah, Chief Financial Officer.
Now I hand over the call to Rahul bhai for his initial comments on the quarterly performance, and then we will open the floor for question -and-answer session. Thanks, and over to you, Rahul bhai.
Rahul Shah: Thank you, Aniruddha bhai. Good afternoon, and a very warm welcome to everyone. Thank you for taking the time to join our Q4 and FY26 earnings call. Joining me on this call is the team from Marathon Capital, our Investor Relations Advis or. I hope that everyone had an opportunity to go through the investor presentation and the results release that has been uploaded on the exchanges and our company's website.
To begin with, let me take you through the highlights for Q4 and FY26 performance. I am pleased to share that we have closed the year on a positive note, delivering steady performance across key metrics. Our revenue for the year grew by 21.6%, surpassing our full year guidance.
Some of the key drivers aiding the growth we re:
First, new product launches across categories with attractive ergonomic and user -friendly designs that resonated strongly with consumers and gained strong traction. These new launches include pencil boxes and well -designed school bags in time for the BTS season, exciting new range of pens and mechanical pencils, stamp pads in the office supply segment and a number of differentiated SKUs in scholastic stationery, scholastic art, hobby and craft, and kits and combo packs. The new range of paper stationery pro ducts with fresh designs were also well appreciated by our consumers.
Secondly, we witnessed sustained growth across all our product categories. Growth in certain categories, which were aided by capacity additions during the year , outpaced the growth in other categories. Nevertheless, through improvement in our product offering and increase in ASPs,

we were happy to state that other categories , where no substantial capacity additions were made during the past year , also delivered positive sales growth.
Thirdly, the demand scenario in the domestic market continues to remain buoyant and was a key contributor to growth, underpin ned by strong entr enched distribution network, robust brand equity and a well -diversified product portfolio. At the same time, exports also delivered steady double -digit growth despite global uncertainties, including trade tensions, geopolitical conflicts and regional instability , reflecting continued demand for our products in international markets as well.
The love, trust and acceptance that our consumers

have shown towards our brand and products
is unparalleled. Building on this bond , we continue to focus on strong consumer engagement through active participation in events, conferences, exhibitions in India as well as globally. I'm pleased to share that our social media community has scaled significantly. YouTube subscribers have now crossed 4 million and Instagram followers are over 170,000, reinforcing DOMS as one of the most admired brands in stationery a nd art materials.
Coming to the details of our financial performance - firstly, on Q4 performance.

Revenue for Q4 FY26 grew by 18.7% to INR604 crores, highlighting a sustained growth trajectory, primarily led by buoyant demand scenario in the domestic market with higher growth coming from office supplies, hobby and craft and back -to-school, aided by increased capacities and new launches.
Our consumption margins remained broadly stable despite raw material volatility linked to the West Asia crisis intensified in the later part of the quarter. The consumption was primarily of lower cost inventory built as a part of our strategic stocking.
EBITDA for Q4 FY26 grew by 14.4% to INR100.9 crores with an EBITDA margin at 16.7% in Q4 FY26 as compared to 17.3% in Q4 FY25. The moderation in EBITDA margin is partly due to the onset of the seasonal slowdown in the baby hygiene segment, which impacted fixed cost absorption. Further, the increase in contribution of e -commerce sales in the baby hygiene segment also led to higher advertising and marketing and freight expenses.
PAT for Q4 FY26 grew by 13.5% to INR58.2 crores and PAT margin for the same period stood at 9.6% compared to 10% in Q4 FY25.
Coming to our performance for the financial year.
Revenue from operations for financial year 2026 grew by 21.6% to INR2,326.4 crores as compared to FY25, surpassing our guided range led by healthy growth, both from domestic market as well as direct export of DOMS branded range of stationery products.
Consumption margins were broadly consistent for FY26 at 43.6% similar to FY25.
We are pleased to report an EBITDA growth on an absolute basis of 15.5% for the full year to INR402.6 crores with EBITDA margin at the higher end of our guidance. The EBITDA margin

softened to 17.3% as compared to 18.2% in FY25 on account of higher Uniclan contribution in the overall consolidated operations.
PAT for FY26 grew by 12.2% to INR239.6 crores. PAT growth was relatively lower than revenue growth primarily due to decline in other income. This was a result of higher utilization of cash towards capital expenditure, which aligns with our disciplined growth -focused capital allocation strategy. Despite this, PAT margin for the year remained healthy at 10.3%, reflecting the underlying strength of our core operations.
Coming to our expansion initiatives, we continue to focus towards building the base for our future growth in terms of capacity creation and expansion. Our capex was primarily towards the development of our 45 -acre land parcel, acquisition of additional land parcels, both in Umargam and Jammu for our future expansion as well as procurement and installation of plant and machinery in the existing infrastructure as we ll as for the commercialization of the 45 -acre facility.
The company totally spent around INR292 crores in FY26 towards these objectives. As a part of the phased development of our 45 -acre facility, the first building is on track for completion in June 2027 with commercial production expected to commence towards the end of Q2 FY27. Significant investment were also done in expansion of our mo ulding capacities, writing instruments as well as in the adhesive manufacturing infrastructure.
Speaking about our outlook - As we enter the new financial year, we do so in an environment of elevated uncertainty and volatility primarily stemming from the ongoing devel

opments in West
Asia, which has resulted in significant increase in prices of raw material. As a part of our operati ng framework, we have initiated a set of calibrated measures to minimize the impact of such geopolitical disruptions.
Our first priority is to maintain continuity of our manufacturing and safeguard our supply chain. We are actively working to minimize any margin impact and have started implementing focused measures as the situation evolves. These include balanced and grad ual approach to pricing and continued focus on cost efficiencies. The overriding principle is that any pricing action must be taken in a way that does not impact our market share or competitive positioning.
Our approach continues to be measured and disciplined drawing on past experience in navigating periods of disruption , where a focused and prudent response has supported sustainable growth over time. With our strong brand, distribution reach, new products pipeline and capacity investments underway, we believe we are well positioned to deliver on consistent growth.
Therefore, despite the current geopolitical and regulatory uncertainties, we have lined u p a capex plan between INR250 crores to INR275 crores for FY27.
Thank you. And with this, I would now request to open the floor for question and answers.
Moderator: Our first question comes from the line of Aradhana Jain with 360 ONE Capital.
Aradhana Jain: Congratulations on the continued good set of performance. My first question is the core stationery segment delivered 19% growth this quarter. Could you help us understand whether

there was any element of channel stocking ahead of the raw material price increases that led to this kind of growth or it was entirely driven by the underlying consumption demand?
And related to that, how was the secondary sales trend versus the primary sales during the quarter? With this also, if you could highlight which are the specific categories or SKUs where we are seeing those kind of price hikes currently? And how much is th e price hike that we've taken? That's my first question.
Management: Hi Aradhana, thank you. So Aradhana i n Q4 FY26, revenues from operations were about INR604 crores total, growing at about 18.7%. Our core stationery business also grew at similar levels. This was not a part of any channel stocking or anything because we closely monitor our primary sales vis -a-vis, the primary and our secondary sales. This wa s, I think it's the back -to-school season and in the season, there is always an undercurrent for higher demand of products. So that was what we've seen and n othing with respect to any channel stocking for expected price rise or something like that.
In terms of your second question with respect to raw material -- to mitigate the impact of raw material prices, the company has taken certain calibrated steps where we are gradually passing on some of this to our consumers. As a first step, what we've done is – wherever we could believe we could rationalize our channel margins or we could rationalize the schemes and discounts, we've taken that step, which has resulted in about 4% to 5% increase, which has been passed to consumer, and this is across differen t products, not any specific SKU or product category.
Aradhana Jain: Understood. And the second question is, so if the current geopolitical situation sustains for, say, another 2 to 3 months and the crude yield inflation remains at the current elevated levels that they are, would -- could the EBITDA margins take a hit going forward? Or would we still continue to guide at the 16.5% to 17.5% band?
Management: So the near -term environment remains uncertain. A significant portion of our input basket is directly linked to crude derivatives, which makes cost trends especially sensitive and highly volatile to the developments in the West Asia conflict. Wh

ile the sit uation has improved versus the peak uncertainty in the month of April, the environment is still very volatile and far from stable.
On an average, we have seen our raw material cost increase by approximately 15% to 17%, while the pricing actions taken so far are around 4% to 5%, which naturally creates a near -term gap. But given the current commodity environment and the volatility aris ing, we do expect margins in Q1 to remain slightly under pressure versus the corresponding period last year. But we do not view this as a structural revision of our margin – long-term margin profile, but more of temporary.
Our focus currently is to maintain healthy growth momentum, ensure we protect and improve our market share while simultaneously driving cost efficiencies through calibrated pricing actions. Hence, providing a definitive margin profile for FY27 at this point of time would be a little difficult. But in the near term, we might see certain impacts. But in the long term, we believe that structurally, the company would continue to do the same sort of a margin profile.

Aradhana Jain: Understood. Last question from my end. On the office supply side, we've delivered very great growth over the last few quarters. What are the major growth drivers in the office supplies, which is leading to -- I mean, I know it's pens, but if you could thro w some light of how the pens segment has been performing? And also, if you could help us understand what is our current market share in the organized office supply space, specifically pens and how do we see that evolving over the next 3 - to 5-year period?
Management: Aradhana, along with ball point pens, as you rightly said, another category within the office supplies broad category was highlighters, again, a product which we launched towards the end of last financial year. That product category has also done well. So highlighters along with ball pens has helped to increase or resulted in the increase in sales of the office supplies segment.
We continue to invest significantly in our writing instruments segment, especially ball point pens and highlighters. We believe both these segments have a huge headroom for growth. And once the new capacity additions come in, plus the capacity additions that happened towards the later half of the year , last year when -- they are available for utilization throughout the current year, we believe these segments to continue to grow.
We typically don't evaluate or measure the market share or the size of the market number, so would not be able to share absolute details on it. But we believe there is significant headroom to grow in the office supply segment and the company is taking the required capital plans to increase capacities in this segment.
Moderator: The next question comes from the line of Percy Panthaki with IIFL Securities.

Percy Panthaki: Just wanted to get a sense in the last such inflation that we saw, which was around the Ukraine war, I think, FY'23. If you can just tell us what was the total price increases over whatever 12 -, 15-month period that you had pushed through at that point of time compared to the 4% to 5% that we have taken now?
Management: Hi Percy bhai . I will not have a definite answer to what we did in the past in terms of the exact numbers. But the approach was very similar. It was an approach which was taking calibrated and gradual measures. The first thing that we typically do in such a scenario is try to figure out what scheme, discount or margin rationalization that we can do.
Second is then we do selective and gradual MRP increases. These are done only after the scheme rationalization, margin rationalizations are done. So we evaluate and then take selective balance and gradual direct MRP increases. In the branded product segment like ours, sometimes it becomes very difficult to take any

immediate and frequent price changes. So hence, we believe that MRP changes should be triggered only when you exhausted all other options.
Percy Panthaki: No, I get the broad approach, Rahul, but since you were there at that time, even if you don't know the exact number, some kind of ballpark idea you would have, what kind of price increases, including scheme rationalization, etc, at a net realization level, what was the increase that we have taken?

Rahul Shah: At that point of time, Percy bhai, one, our dependence on polymers in our total raw material basket was not that very large because we were just about to enter the pen segment that time. That time, primary sales used to come from scholastic stationery and scholastic art. So the dependence was less.
But having said that, at that point of time also, we've taken about 4% to 5% increase across the impacted products. And what happens is certain inflationary cycles are structural and driven by long-term demand supply imbalances, while others are more event -driven and volatile like what we are seeing right now. So in such an environment, our pricing actions have always been in a phased manner rather than abrupt price increases. So similar action we have taken during the Ukraine /Russia war as well as if you s ee during the COVID disruption, where for some time, the prices had increased significantly.
And what we've seen in the past that whenever we've taken aggressive pricing moves, can sometimes lead to loss of shelf space to new entrants and existing competitors. Hence, we would want to be a little balanced and gradual in this approach, which we beli eve will support long - term sustainable growth both in revenues and margins.
Percy Panthaki: And if there is a gap between the cost inflation and the price increase you have taken and there is margin pressure on account of that, what are the drivers or levers that you have in order to sort of at least partially mitigate that margin pressure? And t o what extent you can mitigate, supposing if the overall gross margin is down by X percent, I mean, X amount, will it be half of that, that can be mitigated? Or is it 75% or roughly what amount can you mitigate of the pressure?
Management: Percy bhai, eventually, we believe that we will be able to mitigate all of these pressures, but it will have to come in a gradual manner. That is what we are trying to say. First thing what we typically do is evaluate that in our current margin profile, op erating structure, what are the cost efficiencies we can get, restrict certain expenses like marketing, advertising, be very efficient -- in such time you try to be efficient with these spends.
Then like I said, we work very closely with our channel partners and with constant interaction and a consultative process with them, we try to rationalize the schemes, rationalize the product offering and then look at MRP increases.
In the past also when there has been a sustained price increase and after they had stabilized towards the higher end of the increase, then we have taken calls to increase our MRP of our products also. That's how pencils moved from INR55 a pack to INR60 a pack.
Moderator: The next question comes from the line of Jinesh Joshi from PL Capital.
Jinesh Joshi: Sir, my first question is on the RM basket. Can you share what proportion of our RM basket is crude linked? And secondly, out of the INR377 crores of inventory on the balance sheet, can you share how much of it is the RM inventory?

Management: So Jinesh, basically, to answer your first question, we would categorize our raw material basket into 3 segments. One would be about -- which has a direct link to crude and its derivatives, which would be roughly about 40 -odd percent, then there is about 3 0%, which is indirect linka

ge. When
I mean indirect linkage, means probably in manufacturing of that raw material, there are some crude derivatives which are used. And third would be having something like a minimalistic impact. So that's how the raw material basket is structured.

When I compare the data from the time this geopolitical tension started till about 15th of May on a weighted average basis, we think that there has been an inflation of about 15% to 20% in the raw material basket putting across the weights in the purchase. Jinesh, your second question was, sorry?

Jinesh Joshi: RM inventory, out of that INR377 crores of inventory that we have ?

Management: So out of the INR377 crores of inventory that we have, about INR140 crores would be in terms of raw material and packing material, around INR55 crores would be in terms of work in process and the rest is finished goods, stock -in-trade, etc.

Jinesh Joshi: Understood. And secondly, how are we trying to tackle this RM inflation, especially in pens? So I believe we operate at 2 price points, which is INR5 and INR10. Now even if I randomly assume a 10% hike, the revised MRP could be INR6 and INR11. And these price points may not be very convenient to operate given the change issue. So I mean, is it safe to assume that we are absorbing the polymer inflation in the pens category?

Management: So what has happened is if you see, the market has evolved a lot. Definitely earlier times, the market was where single pen used to be sold. But over a period of time and especially with after DOMS entry, what we've done is, let's say, we made packs of 5 p ens, which is one of our high - selling SKUs today . In that also, if you remember earlier also, the 5 pieces packs were always priced at INR30. That seems to be like INR6 per pen. But the way it was structured in the market was as if it was INR5 pen.

So such decisions that we had taken in the past has really helped us because now you just need to revise that to like INR6 MRP product, right? So that is what -- that's how the margin rationalization in the channel has helped us in the initial phase of this uncertainty. How it's like INR30 pack, then you'll make it like – if you have to further increase it, you make it a INR35 pack. So then you'll, in a way, try to mitigate the impact of coinage issue.

Jinesh Joshi: Okay. Sir, just one follow -up on this. I mean, what proportion of our pens are sold in the packs that you mentioned? And one related bit on the RM inflation is that while we have seen inflation hit us in the month of March, we have seen gross margins expan d on Y -o-Y basis, but EBITDA margin has compressed. So if you can just explain this bit as well.

Management: Am I audible? Sorry, can you hear me?

Jinesh Joshi: No, sir, I did not hear your response.

Management: Okay. So gross margins for the quarter were largely steady, but EBITDA declined due to higher operating costs. The main reason was increased contribution from e -commerce sales in our baby hygiene business, which is done through Uniclan . The e-commerce business has a slightly higher selling and distribution cost structure, including digital marketing spends.

While we take very -- we are happy that e -commerce business is growing because it shows that the repeat order levels have increased. But at the same time, because of this, there was slight EBITDA margin compression despite stable gross margins. And going f orward, once the Uniclan business becomes like a steady business, then this would also get absorbed.

Moderator: The next question comes from the line of Sneha with Nuvama Wealth Management.

Sneha: You mentioned a lot on Uniclan , that margins have actually deteriorated. One of the reasons is Uniclan's operations. So where are we in terms of margins only on the Uniclan basis?

Management: Where are we on the margin profile? What did you ask?

Sneha: Yes, for the Uniclan. What are the margins for Uniclan?

Management: For the quarter?

Sneha: Yes, for the quarter?

Management: So in Q4, Uniclan's revenues were about INR55.9 crores and EBITDA margins were close to 6.3%.

Sneha: Which last quarter was more than 7%, 8%, right?

Management: Which was around 7.5% -- last quarter means fourth quarter of FY25, right?

Sneha: No. I was thinking about Quarter -on-quarter, third quarter?

Management: Yes. Third quarter because this is -- it was much higher, close to 10% because Uniclan is a seasonal business. The third quarter is the strongest for the company and is the highest EBITDA. So in that quarter, the EBITDA was close to 12% actually, which is now at about 6.3%.

Sneha: Understood. So that explains some increase in your costing mix.

Management: Yes. And if you compare it with the previous year, fourth quarter of previous year, there also the margins, EBITDA margins in Uniclan were around 7.5%, which has come down to 6.3% on account of, like I said, increas e in e-commerce sales. And as this business evolves, we will try to mitigate this impact also.

Sneha: Understood. And Rahul, while a lot has already been discussed on the raw material pricing and margins taking a hit and of course, you're not giving any guidance at this point of time for FY27. Can we just get some indication that we have already been in this for close to 40, 50 days now. What would have been the current margin levels for the company? Like on a gross margin level, how much is the impact you're seeing?

I understand you're partially passing it on and it's an ongoing process where MRPs could be changing gradually or changing the discounting system. But if I have to make something, where are we currently in terms of passing it on?

Rahul Shah: See you very well know the volatility is still high. There has been high increases followed by substantial decreases also and again, certain prices starting to increase again. And it's in a way, always like a catch -up approach that we have to do because on ce the raw material prices increase and then you take actions in terms of pricing. So from that perspective, it becomes a little difficult to forecast something on sitting today. But like I said, we've seen about 15% to 20% inflation and 4% to 5% has already been passed and this 15% to 20% was peak inflation.

After that, we've also seen some amount of decrease in prices also. But like I said, current focus is maintain the growth. And more importantly, in this time, we believe maintaining the market share and trying to increase it is a prudent strategy from long -term sustainable growth and margins will definitely follow.

Sneha: Got that. Lastly, Rahul, anything on the top line guidance? Are you maintaining the similar guidance of 20% growth for the next 1, 2 years on the top line?

Rahul Shah: Yes. At consolidated level with the planned capacity expansion and the current demand trends, we expect revenue to grow by 17% to 20% in FY27. It's the same guidance that we had in the previous call.

Moderator: The next question comes from the line of Mosam Shah with Wealth Guardian.

Mosam Shah: Congratulations on a good set of numbers. My question is related to capex that you just estimated around INR250 crores, INR275 crores. Can you just help for what product category we are planning our capex and their timelines and when it will be operational?

Management: So this capex is generally going towards increasing our capacities for one, mo ulding and a lot of other writing instrument products that we planned, plus a large part of it will also go towards the construction of facilities for a lot of land that we acquired in the current financial year. But a lot of our molding capacities are inte rchangeable. So exactly giving the name of the products would be a little difficult. We'v

e lined up significant capex also for wooden pencils, a segment where we've not done capex in a very long time now. So in this year as well as next year, we'll do some capex there also. So it's going to be across a host of products.

Mosam Shah: Okay. And the current ongoing capex that we'll be commercializing from quarter 2 onwards, that was particularly for writing instruments, right?

Management: Yes, it was for writing instruments. But it's a large facility, and we had that time thought of developing a part of it. Now we are -- as this capacity comes into commercial production, we'll start the development for other parts of it also.

Mosam Shah: Okay. And do you want to comment on any particular timeline or something?

Management: So this is like going to be an ongoing project. We believe that it will take another 3 -odd years for the company to complete the construction potential at the 45 -acre plant. And based on the current demand trends, what we believe the company can achieve, w e think that every year, we'll end up doing a similar level of capex for the next few years to completely utilize the 45 acres plus some new land that we purchased around it and close to our current flagship plant. So it's going to be an ongoin g project with next 3 years, the company will be in that high capex cycle. And I'm sure as things evolve, we will start planning our next phase of development also.

Mosam Shah: Okay. Okay. And my second question is regarding Uniclan integration. So once this -- year was some full year of integration, right? So what would be the projected margins that you guide for Uniclan post 1 or 2 years?

Management: So again, like DOMS, Uniclan is also a product -- the diapers are also product where the contribution of crude derivatives is very high. So in this segment also, we'll see some softness in the margins in the near term. But going forward, bases our current operating plan for Uniclan, we believe in this segment also from a revenue basis, we'll be able to maintain a growth of close to 20% and then again start planning for additional capital expenditure to increase the growt h further. And in terms o f margins from a long -term perspective, we believe in this segment, we'll be happy to achieve a 10% sort of an EBITDA and stay at that level, maximizing revenue growth.

Moderator: Thank you. The next question comes from the line of Jayant Parasramka with 3P Investment

Management. Please go ahead.
Jayant Parasramka: Yes. Thank you for taking my questions. Just a couple of questions on capex. So we've increased our capex guidance to about INR250 crores to INR275 crores versus, let's say, a previous call of somewhere between INR225 crores to INR250 crores. Just to understand, is it because of rising cost of materials over there? Or are we bringing forward some of our capex ? That's my first question.
Management: Hi. So, it accounts for a little bit of increase in cost also. And at the same time also, like I said, there are some multiple new land parcels also with the company acquired, which is strategically located, one near our flagship unit in Umargam, current flagship unit in Umargam and also in our flagship unit in Jammu. So we have a large plant in Jammu , next to that plant, we were able to find a large parcel, which we've acquired. So we'll be doing certain capacity enhancements there as well as i n addition to the development that is happening at the 45 -acre plant, we've acquired certain land parcels close to our existing plants, which were available strategically. So we'll simultaneously develop them also. So because of that, we've increased our capital outflow for -- the projected capital outflow for the coming financial year. And there is some amount of increase in prices also. So it accounts for both of them.
Jayant Parasramka: Sure. Thank you. And the second q

uestion is from the pens business, I believe most of your RM pressure on the pens business is due to the rise in polymer prices. So from a strategic point of view, are we also now focusing on increasing mix to the INR10 price point versus, let's say, earlier our -- I believe our majority of our sales was happening in the INR5 price point. Are we trying to also shift the mix to the INR10 price point? Thanks.

Management: So, again, historically, you've always seen DOMS across all our products, SKU, our margin profile has always been similar. So irrespective, I was selling a INR5 or INR5 pencil vis -a-vis a INR10 pen or INR10 pencil, the margins were pretty much similar, the EBITDA margins around that 17 %-odd sort of a level.
So it really doesn't make a lot of difference at what price point we are selling the product. But we believe there is enough scope, still this is like a temporary cycle. We don't see these prices to be at the elevated levels, this elevated levels for a ver y long time. There would be some amount of correction that would happen, plus the calibrated increases that we've done in selling prices that we'll come back to our original levels of EBITDA margin. It will take some time, but we'll come back to that level . And like I said, what we did in the past also when we launched our INR5 pens, after that, we started packing them in packs of 5 and that packet of 5 was priced at, let's say, INR30. So as such, the price per pen was INR6. But in the market, it operated as if you're selling a INR5 product. That's how our selling price was. That's how the channel margins and schemes and discounts were given. So now it becomes a little easier to go back to the INR6 price point because consumers are always aware this is a INR6 product.
Jayant Parasramka: Sure. Thank you. Thank you, sir and all the best.
Moderator: The next question comes from the line of Kunal Vora with BNP Paribas. Please go ahead.
Kunal Vora: Yes. Thanks for the opportunity. Rahul bhai, first question, what is the extent of Chinese imports in stationery industry? And how does the 20% depreciation of rupee against RMB impact the competition in various areas in which you face Chinese competition? Is there a market share gain opportuni ty? And like on the similar lines, does this also have some impact on your capex as you are looking to import machinery for your new factories? That's the first one.
Rahul Shah: So yes, there is some amount of imports that come from China, Vietnam, a few other countries also in India. To what extent, what percentage, that's a little difficult to judge. I honestly don't have an answer in terms of percentage. But there are a decent amount of imports that happened. The currency fluctuation probably has made imports slightly expensive.
This gives a good opportunity for a branded company like DOMS to -- with their aggressive pricing decision, you can probably reduce or discourage such imports, which can eventually result in market share gains. So we are -- in a way, that should benefit the company.
With respect to , in terms of imports becoming expensive for us both on the raw material as well on capital goods, we have a natural hedge. There is exports also that the company does. Most of our imports are in U.S. dollars, so are our exports. So in a way, they should partially offset each other.
Kunal Vora: Understood. That's clear. Second one is, would you expect a stronger second half of FY27, considering that by that time, the full benefit of pricing will be there, you'll have higher capacities which you are adding and potentially you'll also have some mod eration in commodity costs. While in the first half, you are taking the hit in terms of margins because the commodity costs have increased and you've not taken the full like pricing.

And again, like on similar lines, would you, let's say, look to bridge the gap? Currently, you mentioned about 5% price hike against 15% cost inflation. So would you look to bridge that if the commodity cost remains high?

Management: Yes. So Kunal bhai, basically, times are still uncertain. I don't know when this is going to end when it started, everybody was talking 15 days. It's been more than 45 days, still there is no uncertainty. The near -term environment continues to be very flui d. And given that a significant portion of our input basket is directly linked to crude and volatility that we are seeing, there would be some impact, which will gradually be passed to our consumers through calibrated balance and gradual increase. But when that happens, a little difficult to say and in how much time will it get covered, it's a little difficult to project at this point of time.

Kunal Vora: But in second half, you will have a much larger capacity and your factory will start. So, would you expect that to recover?

Management: Yes. So, capacity will come, new capacities will come. And like I said, that will be a very good moment for the company to again focus on gaining more market share. Historically, we've seen that when there have been uncertain times, it has more impacted th e unorganized players and importers rather than branded large companies. So, this gives time for market share gains. So, we would like to focus more on this opportunity to gain market share, which will eventually help us in long -term growth in our revenues and margins as well. So historically, also after COVID, if you see the company's margin profile pre -COVID and post -COVID, you will see that there has been certain change, similarly pre -Ukraine, post -Ukraine. So, these times, if you follow a balanced approach, which is somethin g more long term -- with a long -term strategy, I think it will greatly benefit the company.

Kunal Vora: Understood. That's clear. And just one last question, if I can. One is on Uniclan, like what's the numbers which you've done for FY26 full year revenue and margin? And what's the outlook for FY27?

Management: So, FY26 on a full year basis, we've done a revenue of around INR203 crores at Uniclan. This represents close to -- for Uniclan, this represents close to a 23% growth over their base year revenue. In terms of margins, the margins have been around 8.6%. Kunal, we've been talking about Uniclan since the time we acquired t his company. And like we said that our idea, when we acquired this company was a 4 % - 5% EBITDA margin and was to gradually increase it to 10%. We've reached about 8.6%. And we believe with the new -- with the increasing revenues and certain new product SKUs that we'll be launching at Uniclan very soon, improvement in the product that we've been doing , with this we'll be able to maintain a 20% sort of a growth rate at Uniclan also. And eventually, these margins on a long -term basis will stabilize around 10%, which has been our target.

Moderator: The next question comes from the line of Nikil Sudhirkumar with Lister Ventures.

Nikil Sudhirkumar: So, my question is mainly regarding the capacity expansion that is right now happening...

Moderator: Sorry to interrupt you. You're not quite clear. Could you please use your phone on the handset mode in case if you are using it in a hands -free mode?

Nikil Sudhirkumar: Yes. So, with respect to the capacity expansion, so I just want to know what is the capacity expansion percentage? That is, are we adding another 50% or 100% capacity expansion to the existing facilities? Or is it like SKU -wise? So just want to know an ide a on that ? And my second question is regarding the distribution channel growth plan. So, what is the company looking at for the current financial year?

Management: Nikil bhai, honestly, we

never looked at capacity from a perspective at the product level because we would want to be agile towards the requirements of the market, not commit anything in terms of specific products. But yes, I can give you a certain flavor where the capacity is dedicated for certain products, like for pencils, for the wooden pencils, the capacity right now is around 5.8 million pieces a day, which eventually once the new plant is entirely ready, to increase to about 8 million.

Other than that, there are a lot of mo ulding capacity that we are adding and mo ulding is in a way interchangeable, which can be used for a host of products like pens, highlighters, markers, sketch pens, sharpeners, scale, etc. So, depending on the market requirement, we would want to be flexible. How do we add those -- which products we add capacities .

But having said that, today, our operations are spread across close to 2 million square feet of built-up area. And what we are constructing in 45 acres, eventually once all the phases of construction are over, would be again close to 2 million. So, in a way, it would be doubling our

reach in terms of manufacturing infrastructure in the next few years.
To answer your second question with respect to the distribution network, so you could -- historically, if you would have seen DOMS has never been in terms of -- specifically targeting a number to grow in terms of its distribution reach. We've always been focused on maximizing the throughput where we believe that when we get into a relationship or a partnership with a particular retail store, it is more important to ensure that we have maximum shelf space in their store. Till their demand is not fulfilled, w e would really not want to go in an adjacent store and try to keep 2 people waiting for products. So, from that perspective, we are actually not from a number perspective.
This entire universe of stationery outlet is close to about 300,000 to 350,000 stores in India. Out of this, we believe the directly serviceable stores are around 225,000 stores. Beyond these numbers, they are either located in remote geographies or it really doesn't make economical sense to cater them on an individual basis, and these stores are very well catered to the wholesale segment, which is a good segment for DOMS also.
So, our universe to target would be about direct target, direct reach about 225,000 stationery stores. And by that time, I think our distribution through Uniclan in the general merchant outlet would have also reached a substantial point, which is basically into Kirana stores.

And that's when we will also start cross -selling a lot of stationery products in that distribution network also. So, both ways, we believe there is still significant headroom to grow our network, both in the stationery store segment as well as in the gener al merchant outlet segment.
Moderator: The next question comes from the line of Priyank Chheda with Vallum Capital.
Priyank Chheda: Rahul bhai, just clarification. You gave a guidance of 17%, 18%. This doesn't include the plant, the new plant that will get operationalized from H2, right?
Rahul Shah: No, no. So Priyank bhai, this is an annual guidance of close to 17% to 20%, which includes the new capacities coming in from H1 for the new plant. It will be a gradual - end of H1 from the new plant. It will be a gradual ramp -up in capacities that will come in the 45 acres. So that has been considered while guiding for around 17% to 20% growth for FY27.
Priyank Chheda: Just reconciling the capex numbers, it's INR450 crores or higher for the Phase 1 of this plant?
Management: No, no. So, we've done a capex of close to INR292 crores in this financial year, FY26. And for FY27, the capex planned is around INR250 crores to INR275 crores. INR250 crores to INR275 crores.
Priyank Chheda: Sorry. I'm asking for the

whole of this new expansion. Earlier, we had guided for total capex of INR450 crores and 2x asset turnover. Now is that any change in the numbers with respect to additional land and anything coming in?
Management: So Priyank bhai, this entire project of 45 acres starting from the land that we purchased to full development of the construction and full development of plant and machinery, the total capex would be close to INR850 crores to INR1,000 crores. We've done a substantial part of it from the proceeds that we raised from IPO. There will be certain other investment that we'll continue to do from our internal accruals. So eventually, the total investment in this plant over the next - - considering we bou ght this land in June -- sorry, January 2023 to another 3 -odd years of complete development, would be close to INR850 crores to INR1,000 crores.
Priyank Chheda: Phase 1 is what you said was INR550 crores, right? INR290 crores plus INR 250 crores.
Management: No, no. So we start ed investing in this plant. INR290 crores is the total cape x that we've done at the company level. This includes a lot of capital expenditure that happened in our current infrastructure, capital expenditure that happened at our subsidiary levels and capital expenditure that happened in the 45 -acre project plus the new land that we purchased also in both Um bergaon and Jammu. So at a company level, we did IN R292 crores.
It's not that separately. This 45 acres is like a separate project. Why we are discussing? Because it was a part of our IPO document where the object was to raise funds for the development of this land.
Priyank Chheda: Got it. And one last question on exports to FILA, which has fairly remained flat over the last 2, 3 years, while the third -party exports have grown this year. How should we look at this element

of exports to FILA as well as third party with new capacity coming in over whatever timeline you still want to guide?
Management: So yes, exports to FILA were a little lower than expected in the last year. And the key reason for that was at least the initial period was on account of the higher tar iffs that were imposed by the US government. A large portion of i ntercompany export happens to U S. Plus there was some

amount of decline in demand in European countries also and these economies also struggled a bit.

So overall, the intercompany exports were a little lower. But having said that, the outlook with now tariffs being done away with, our entity, FILA Group entity in US also recalibrating their pricing structures, we believe this business to pick momentum again. So these exports would increase. Also with the new capacity addition that we are lining up, especially for the wooden pencil segment, where a lot of goods are so ld to FILA and FILA Group companies, the capacity addition in wooden pencil will also help in the FILA Group inter -company exports.

Moderator: Thank you. The next question comes from the line of Badal Rawat with Trust Plutus. Please go ahead.

Badal Rawat: So actually, most of my questions got answered. So yes, that was related to capacity utilization. Thank you so much.

Moderator: The next question comes from the line of Aradhana Jain with 360 ONE Capital. Please go ahead.

Aradhana Jain: Thank you for the opportunity again. Just a coup le of more questions. One, the cape x that we plan to do of around INR 500 plus -odd crores for the next 2 years, would we continue with the stance that all of that will be funded through internal accruals or we plan to take some debt for it because we see that this year, we've already reduced our debt quite a bit compared to last year. So how would the cape x be funded going ahead?

Management: So it would depend upon, one, the utilization of funds that we generate as free cash flows for the company. If there are free cash fl

ows available, we'll definitely want to utilize them for capital expenditure rather than distributing it as higher than our stated policy of 10% of stand -alone profits to be distributed as dividend. So for that. And there's a lot of headway available to take a little bit of additional debt if required. So it will be a prudent decision -making depending upon the capi tal allocation and how the company sees the use of funds.

Aradhana Jain: Okay. Because the question , the reason I was asking is because this year, we were not able to generate any free cash flow , so.

Management: Because of the cape x, we did a little higher -than-expected cape x. If you , when we started the year, we were lo oking at around a figure of INR225 crores to INR 250 crores, which eventu ally got increased to about INR 290-plus crores. And there were certain good assets in terms of land parcels, which were available in absolute vicinity of the company's operations, which we believe strategically made sense to acquire them. So that's why it was a little higher.

Aradhana Jain: Understood. Sir, second, on SKIDO and Seven SpA, if you could throw some light as to how has the performance been of SKIDO, specifically this quarter because of the back -to-school season. And second, where are we progressing on the Seven SpA JV? And so how has the performance been?

Management: So SKIDO s revenu e for the quarter was about INR4.5 crores as compared to INR 2.8 crores in the same period previous year, which is a 60 -plus percent year -on-year growth. This growth was primarily on account of the successful launch of backpacks that we did in SKIDO last year, for the DOMS branded products.

And as we go ahead, we are now , the Seven team and SKIDO team have started discussing multiple projects together. At the same time, we plan to do some amount of additional capital expenditure at SKIDO in terms of buying new land and constructing new factory premises to increase our prod uction capacities there significantly.

For a full year sort of a basis, if you look, the revenues increased from INR9 crores to INR 14 crores. But we are still learning this business. The management of SKIDO has exceptional talent in terms of product design and product engineering using the DOMS brand, the DOMS design philosophy and the distribution reach. We believe this business will grow significantly in the coming few years and benefit from the association with Seven SpA also.

In terms of our JV formation with Seven SpA, we are in the process of formation of the joint venture entity, and this should be completed before the end of June 2026.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

Rahul Shah: Thank you. Thank you once again for joining us. We appreciate your continued support and confidence in our journey. Should you have any further questions, please reach out to our Investor Relations team. Thank you once again, and have a great day ahead.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. w